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Global IT Hardware

# AI + Chipflation: Two Tailwinds, One Trade... For Now

'Chipflation' is accelerating infrastructure demand, which our new AlphaWise survey reconfirms. We are U/Ging our Industry (to In-Line) as well as HPE/P (to OW) and NTAP (to EW). However, these tailwinds are primarily cyclical & thus we remain tactical while watching for potential signs of the peak.

AlphaWise 

## Key Takeaways

- Chipflation is driving "Fear of Missing Procurement," accelerating—not delaying—enterprise server & storage spending, counter to our beliefs from last November.
- Our AlphaWise survey confirms this cycle is driven by refresh, pull-forward & AI, making this a longer but still predominantly cyclical infrastructure upcycle.
- Storage spending shows the most duration, with PCs expected to roll over in 2H26/2027 and Servers in 2027/2028.
- While later in the cycle, still see stock opportunity. Raising IT HW industry view to 'In-Line' & upgrading HPE/P to OW, NTAP to EW, & downgrading TDC to EW.
- Globally, STX/Wiwynn remain our US/Greater China Hardware 'Top Picks' but within enterprise Hardware most constructive OW-rated HPE, P, SNX, and Lenovo.

### A call to action: You can still buy the enterprise hardware bottlenecks.

Admittedly, we have been on the wrong side of the enterprise hardware trade, previously believing that record component inflation would quickly stymie a recovery in hardware spending. But our views are changing, and we are not only upgrading our US IT Hardware industry view to 'In-Line' (from Cautious), but also upgrading HPE and P to Overweight (from Equal-weight) and NTAP to Equal-weight (from Underweight), while downgrading TDC to Equal-weight (from Overweight), reorienting our end-market preferences towards Storage over Servers over PCs. We are also raising estimates across our US and Asia Hardware OEM universe, with our median CY26 EPS 8% above Consensus, and median CY27 EPS 11% above Consensus. STX and Wiwynn remain our 'Top Picks' in our US and Asia Hardware coverage, respectively, but within our enterprise hardware coverage, we are most positive on OW-rated HPE, P (Everpure) and SNX in the US, and OW-rated Lenovo in Asia.

**What's changing our views...**Two major factors are causing us to pivot more positively. First, it's increasingly clear enterprises are viewing **memory 'Chipflation'** as a multi-year structural headwind, and rather than delaying or deferring hardware

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| IT HARDWARE                             |              |              |
|-----------------------------------------|--------------|--------------|
| North America                           |              |              |
| Industry View                           |              | In-Line      |
| WHAT'S CHANGED                          |              |              |
| Acer Inc. (2353.TW)                     | From         | To           |
| Price Target                            | NT\$21.00    | NT\$23.50    |
| Asustek Computer Inc. (2357.TW)         | From         | To           |
| Price Target                            | NT\$570.00   | NT\$700.00   |
| Giga-Byte Technology Co. Ltd. (2376.TW) | From         | To           |
| Price Target                            | NT\$375.00   | NT\$405.00   |
| Teradata (TDC.N)                        | From         | To           |
| Rating                                  | Overweight   | Equal-weight |
| Price Target                            | \$35.00      | \$29.00      |
| NetApp Inc (NTAP.O)                     | From         | To           |
| Rating                                  | Underweight  | Equal-weight |
| Price Target                            | \$137.00     | \$173.00     |
| Everpure, Inc. (P.N)                    | From         | To           |
| Rating                                  | Equal-weight | Overweight   |
| Price Target                            | \$87.00      | \$108.00     |

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purchases until pricing cools, enterprises are quickly prioritizing/accelerating purchases of PCs, servers and storage arrays to lock in the most favorable prices and limit supply shortages, aka the 'Fear of Missing Procurement'. Second, our proprietary AlphaWise survey makes clear this pull-forward, as well as AI-related capacity expansions, is accelerating growth in Servers and Storage to all-time survey highs in 2027, 180-340bps above the trailing 8 year survey average. Despite the fact that earnings revision breadth for our group is already 60%, we believe enterprise hardware names – especially those with Server/Storage exposure – have further estimate upside, and we are ~5% above Street revenue and 9-12% above Street EPS in CY26/CY27 across our US and Asia OEM universe.

**...and why we're not too late to the party.** Hardware stocks are up over 100% since the start of 2025 and in the US, trade at an aggregate 25x P/E, nearly double the prior peak multiple. Even when removing US AI "winners", traditional enterprise hardware stocks still trade at 20x NTM P/E on EPS, i.e., 20%+ above the historical peak. In other words, we are probably closer to the end than the beginning of the upcycle, and Hardware stocks are historically very expensive. But not all stocks are created equal, and rather than chasing names that have already materially re-rated, trade well-above historical ranges, and are over-exposed to cyclical tailwinds, we want to remain disciplined. We still see opportunities at this stage of the cycle to own quality names with exposure to more durable infrastructure spending, supported by structural valuation tailwinds, and further margin expansion, aligning with [our US Equity Strategy teams mid-cycle "quality" bias](#). HPE, P, SNX and Lenovo fit this criteria.

**So what's the trade, and what's the trade *after* the trade? This is where we believe our AlphaWise survey provides an important and differentiated signal.** Infrastructure spending is strong and accelerating, but our survey suggests the majority of these tailwinds are cyclical, not secular. In fact, our survey shows that 70-75% of CIOs are pulling forward their 2026 PC, Storage and Server spending while 20-30% are also pulling forward 2027 spending, with this trend most acute in Servers and PCs. Furthermore, while 60% of CIOs expect to increase their on-prem compute/storage capacity to meet the demand from AI workloads, these on-prem workloads represent the minority, and over 70% of AI inferencing is still expected to take place in the public cloud, growing over the next 3 years. As a result, our survey points to an elongated cycle, but one that CIOs expect to rollover beginning in 2027 for PCs, 2027/2028 for Servers, and 2028 or beyond for Storage. This last observation tells us that we can still own select Hardware OEMs – preferably those with more Storage/Server exposure vs. PCs – but we also have to remain tactical, and signs of peaking estimate revisions will be our call to get more cautious again, and ride the other side of this upcycle.

**Globally, our IT Hardware preferences are as follows....** In the US, HDD's remain our most-preferred OW's (STX remains our Top Pick), though we are also positive on OW-rated HPE, P (Everpure) and SNX given attractive storage/server/networking end market exposure, margin tailwinds, and valuation re-rating potential. EW-rated DELL will see significant positive earnings revisions in the months ahead given elevated Server and Storage exposure (and industry leading supply chain mgmt), but at 16x our new FY28 EPS, we believe valuation largely reflects this strength.

|                                    |               |                   |
|------------------------------------|---------------|-------------------|
| Hewlett Packard Enterprise (HPE.N) | From          | To                |
| Rating                             | Equal-weight  | <b>Overweight</b> |
| Price Target                       | \$71.00       | <b>\$69.00</b>    |
| Dell Technologies Inc. (DELL.N)    | From          | To                |
| Price Target                       | \$477.00      | <b>\$430.00</b>   |
| IT Hardware Industry View          | From Cautious | To <b>In-Line</b> |

Conversely, we are UW HPQ and LOGI given spending headwinds to PCs. In Asia IT Hardware, Wiwynn remains our Top Pick given AI server exposure, but within traditional OEMs we are most positive on OW-rated Lenovo (most storage exposure, growing AI server pipeline, room for margin improvement, etc. - [see our deep dive here](#)) vs. most cautious on UW-rated Acer given limited server exposure, high low-end PC exposure, and elevated valuation.

**Exhibit 1:** We update our enterprise infrastructure price targets and upgrade HPE and P to OW, upgrade NTAP to EW and downgrade TDC to EW.

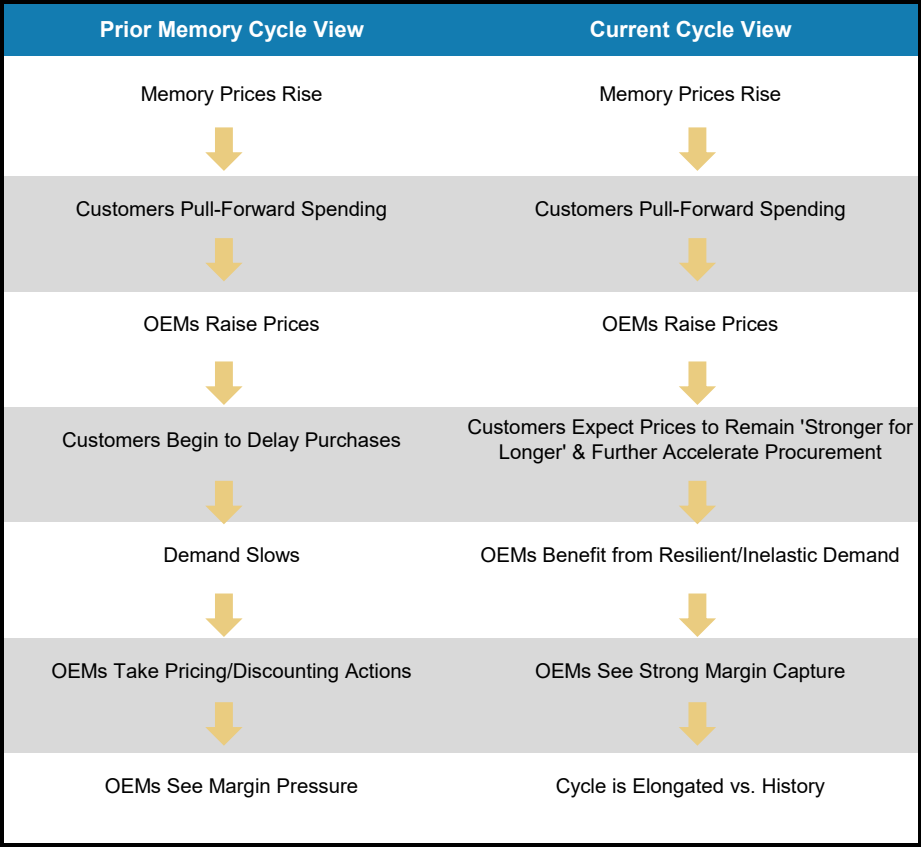
| Company   | Rating                                                                               |     | Price Target |            |        | Price Target Methodology    |                                  |
|-----------|--------------------------------------------------------------------------------------|-----|--------------|------------|--------|-----------------------------|----------------------------------|
|           | New                                                                                  | Old | New          | Old        | % Chng | New                         | Old                              |
| HPE       | OW  | EW  | \$69.00      | \$71.00    | -2.8%  | 15x FY27 EPS of \$4.58      | 17x FY27 EPS of \$4.17           |
| P         | OW  | EW  | \$108.00     | \$87.00    | 24.1%  | 32x FY28 EPS of \$3.37      | 32x FY28 FCF per Share of \$2.72 |
| DELL      | EW                                                                                   | EW  | \$430.00     | \$477.00   | -9.9%  | 15x FY28 EPS of \$28.66     | 20x FY28 EPS of \$23.83          |
| Giga-Byte | EW                                                                                   | EW  | NT\$405      | NT\$375    | 8.0%   | 11.8x CY27 EPS of NT\$34.37 | 12.6x FY27 EPS of NT\$29.75      |
| NTAP      | EW  | UW  | \$173.00     | \$137.00   | 26.3%  | 15x FY28 EPS of \$11.56     | 14x FY28 EPS of \$9.81           |
| TDC       | EW  | OW  | \$29.00      | \$35.00    | -17.1% | 10x CY27 EPS of \$2.90      | 12x CY27 EPS of \$2.90           |
| Acer      | UW                                                                                   | UW  | NT\$23.50    | NT\$21.00  | 11.9%  | 12.8x CY27 EPS of NT\$1.83  | 13.6x CY26 EPS of NT\$1.54       |
| Asustek   | UW                                                                                   | UW  | \$700.00     | NT\$570.00 | 7.9%   | 10x FY27 EPS of NT\$68.06   | 10x FY27 EPS of NT\$57.19        |

Source: Morgan Stanley Research

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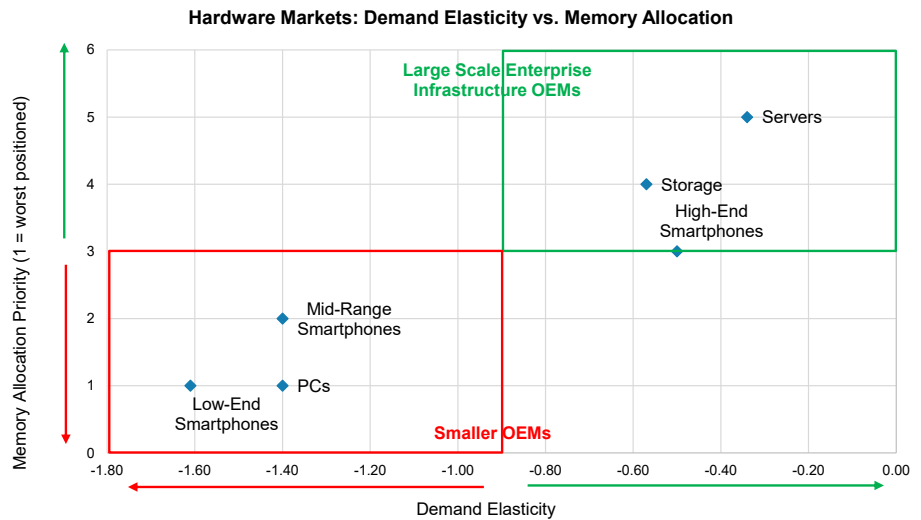
# Key Charts

**Exhibit 2:** While we previously thought component inflation would be a material headwind to demand, it's clear that it is more of a tailwind.



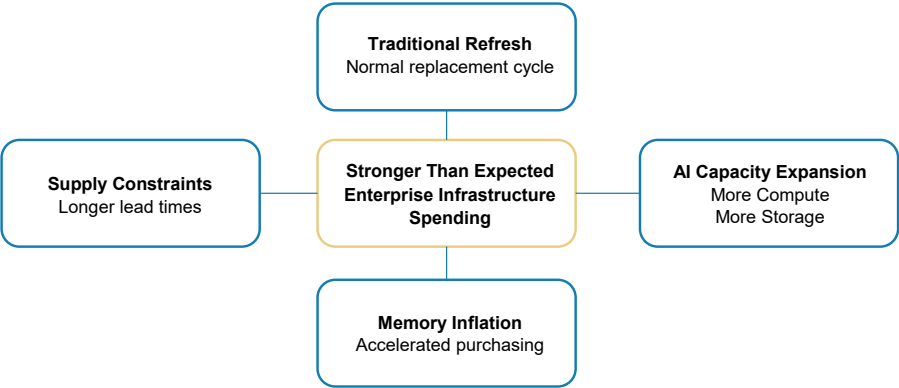
Source: Morgan Stanley Research

**Exhibit 3:** The combination of low demand elasticity and favorable allocation increasingly favors enterprise infrastructure.



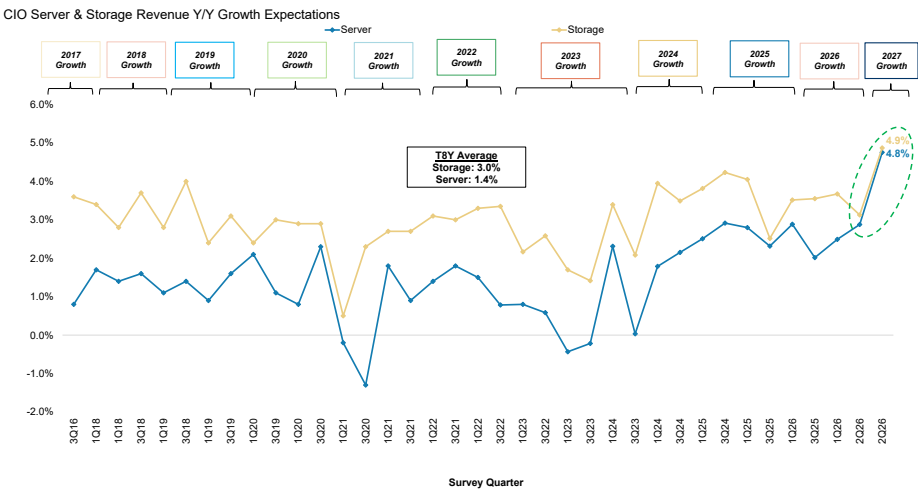
Source: IDC, Morgan Stanley Research.

**Exhibit 4:** Enterprise infrastructure demand is being driven by more than just traditional refresh needs.



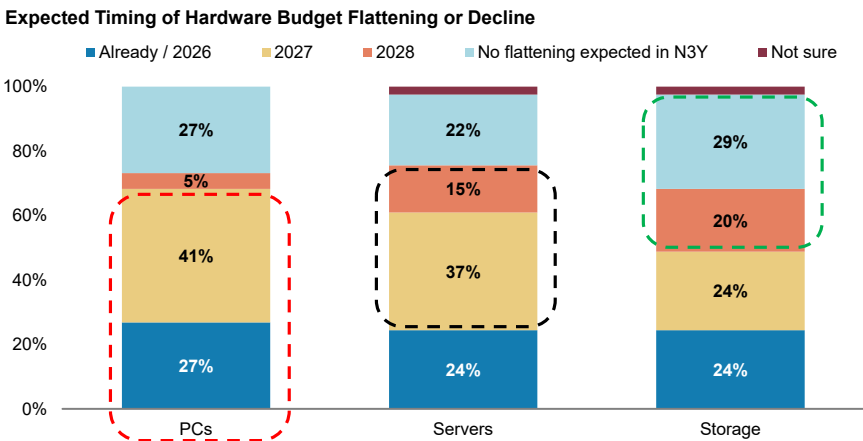
Source: Morgan Stanley Research

**Exhibit 5:** Hardware domain experts expect spending on servers and storage to accelerate materially Y/Y in 2027, well above historical levels to all time survey highs.



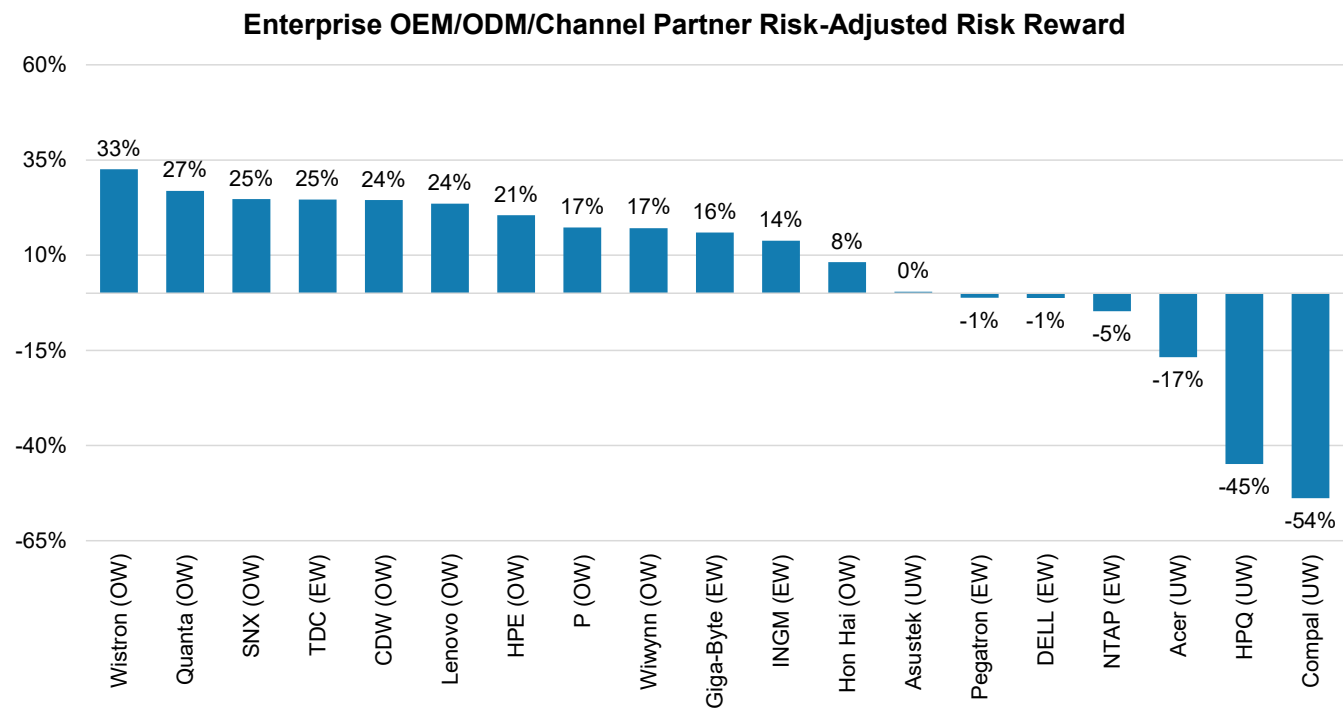
Source: AlphaWise n=60 (US and EU data), Morgan Stanley Research

**Exhibit 6:** Looking forward, storage has the longest runway for growth, followed by servers and lastly PCs where spend is already deteriorating.



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**Exhibit 7:** We have an average +7% risk-adjusted risk reward skew for our OW OEM, ODM and VAR/Disty coverage.



Source: Factset, Morgan Stanley Research. Risk-adjusted risk reward is calculated by taking the average up/downside to our bull, base and bear valuations divided by the spread between the upside to our bull and downside to our bear valuations.

# Executive Summary

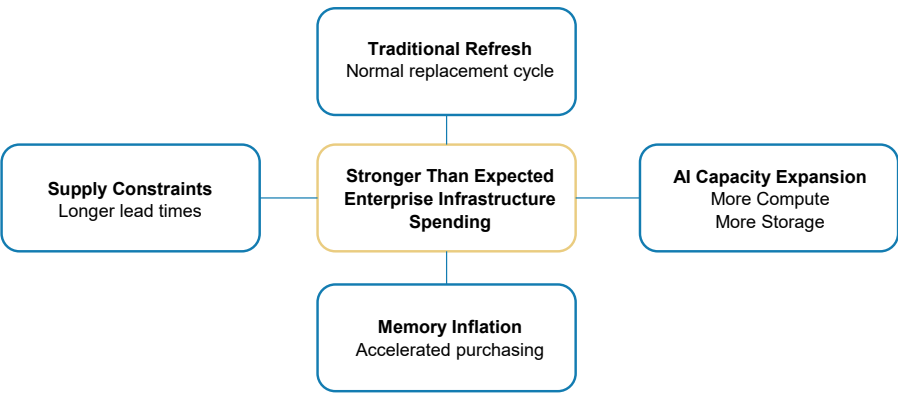
## AI and "Chipflation" Are Creating Two Distinct Tailwinds for Enterprise Infrastructure

**We are raising our North America IT Hardware Industry view to In-Line (from Cautious),** upgrading HPE and Everpure (P) to Overweight, upgrading NetApp to Equal-weight, and downgrading Teradata to Equal-weight. Our work over the past several months—including CIO surveys, enterprise channel checks, supply chain conversations and OEM commentary—points to an infrastructure cycle that is proving both stronger and more durable than we previously anticipated.

**Our conclusion is straightforward: enterprise infrastructure is benefiting from two simultaneous tailwinds.** AI continues to drive incremental compute and storage demand, but equally important, structurally higher memory prices are accelerating enterprise purchasing rather than delaying it. Together, these dynamics are supporting stronger revenue growth, greater pricing power and further earnings upside across enterprise hardware.

**Importantly, however, we do not believe this is the beginning of a multi-year secular enterprise hardware supercycle.** Much of today's strength reflects refresh activity, purchasing pull-forward and budget reprioritization—tailwinds that are powerful, but inherently cyclical. Accordingly, we have become more constructive on fundamentals while becoming increasingly selective on valuation, and remain tactical, understanding signs of peaking estimate revisions will be our call to transition back to a more cautious posture.

**Exhibit 8:** Enterprise infrastructure demand is being driven by more than just traditional refresh needs.



Source: Morgan Stanley Research

## Chipflation Is Driving "Fear of Missing Procurement"

**Our biggest change in thinking relates to memory inflation.** Our original memory supercycle thesis assumed higher DRAM and NAND prices would eventually delay enterprise purchases and compress OEM margins, consistent with prior cycles. Instead, enterprise customers increasingly view memory shortages as structural rather than cyclical. Rather than waiting for prices to normalize, customers are accelerating purchases

to secure supply and avoid paying even higher prices in the future.

**We characterize this dynamic as "Fear of Missing Procurement" (FOMP).** Enterprise OEMs continue to receive relatively favorable memory allocation while successfully passing through higher component costs. Pricing power has strengthened rather than weakened, demand remains resilient and infrastructure spending has accelerated beyond what AI adoption alone would imply.

Memory inflation is therefore no longer a broad hardware headwind. It has become a differentiator, creating clear winners and losers across the hardware ecosystem.

**Exhibit 9:** While memory inflation continues to intensify, our understanding of how it impacts enterprise infrastructure has fundamentally changed.

| Our Memory Framework: Then vs. Now             |                                                                     |
|------------------------------------------------|---------------------------------------------------------------------|
| Our Prior View                                 | What We've Learned                                                  |
| Memory inflation is cyclical                   | Memory inflation is structural                                      |
| Higher prices cannibalize demand               | Higher prices & supply scarcity are accelerating demand             |
| OEMs absorb some higher costs                  | OEMs are successfully passing through pricing & are margin stacking |
| Supply eventually catches up                   | Supply to remain constrained for years                              |
| Refresh cycle                                  | Refresh + capacity expansion + pull forward                         |
| Memory inflation - bearish for all of Hardware | Memory Inflation creates winners and losers                         |

Source: Morgan Stanley Research

## Our AlphaWise Survey Confirms Enterprise Infrastructure Is Accelerating, But Tailwinds Are Primarily Cyclical - 4 Key Takeaways

**First, enterprise infrastructure spending continues to improve.** CIOs expect server and storage spending growth to accelerate to all-time survey highs in 2027, driven by pricing inflation, while PC spending remains comparatively modest.

**Second, purchasing pull-forward is widespread in enterprise hardware.** 70-75% of CIOs are pulling forward their 2026 PC, Storage and Server spending while 20-30% are also pulling forward 2027 spending, due to pricing, lead times and supply constraints, with this trend most acute in Servers and PCs vs. Storage.

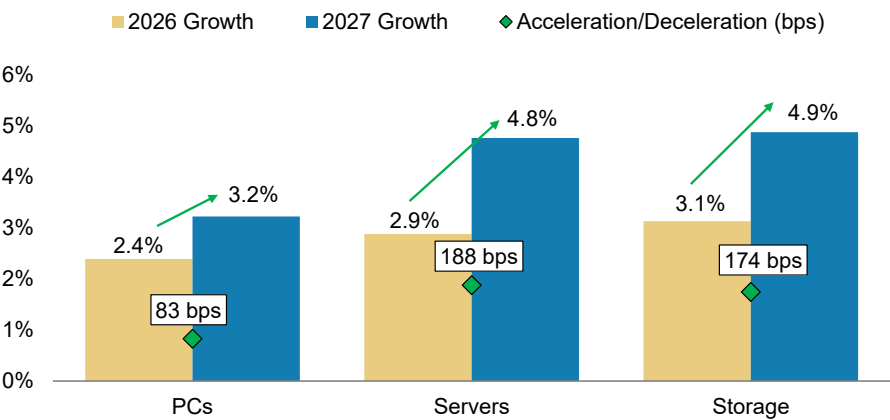
**Third, AI remains supportive of this trend but not the dominant driver.** ~60% of survey respondents expect incremental on-prem compute and storage capacity requirements due to AI over the next twelve months. However, the majority (70%+) of AI inferencing continues to occur in the cloud, suggesting today's infrastructure cycle remains driven by a combination of AI, refresh activity and purchasing pull-forward rather than broad-based enterprise AI deployment.

**Fourth, and most importantly, our survey makes clear the cycle peak is near-ish.** CIOs expect their spending on PCs to rollover beginning in 2027, 2027/2028 for Servers, and 2028 or beyond for Storage.

**Collectively, our survey leaves us more constructive on infrastructure spending through 2026 and likely into 2027, while reinforcing that the majority of today's upside remains cyclical rather than structural.**

**Exhibit 10:** Hardware domain experts expect spending on servers and storage to accelerate more meaningfully Y/Y in 2027.

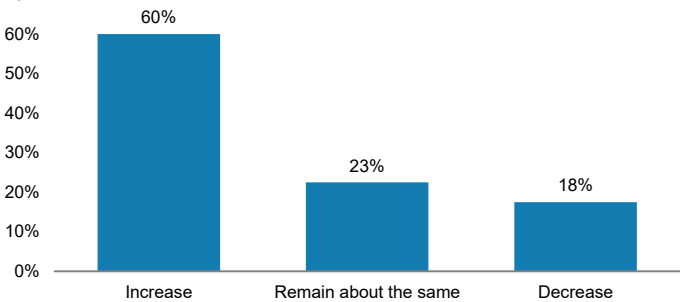
IT Hardware Spending Expectations by Category (2Q26 Survey)



Source: AlphaWise n=41 (US and EU data), Morgan Stanley Research

**Exhibit 11:** 60% of Hardware domain experts cite they are increasing their compute capacity due to AI needs.

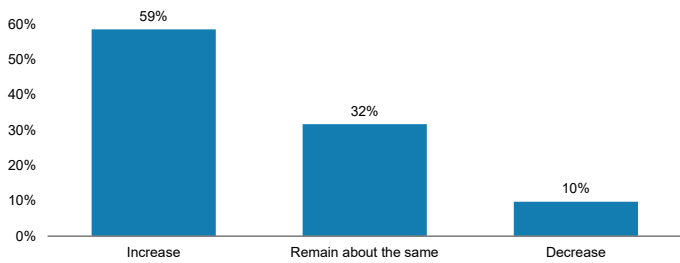
**Expected Change in On-Premise Compute Capacity Needs Due to AI Workloads Over Next 12 Months**



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**Exhibit 12:** ~60% of Hardware domain experts cite they are increasing their all-flash storage capacity due to AI needs.

**Expected Change in On-Premise All-Flash Storage Capacity Needs Due to AI Workloads Over Next 12 Months**

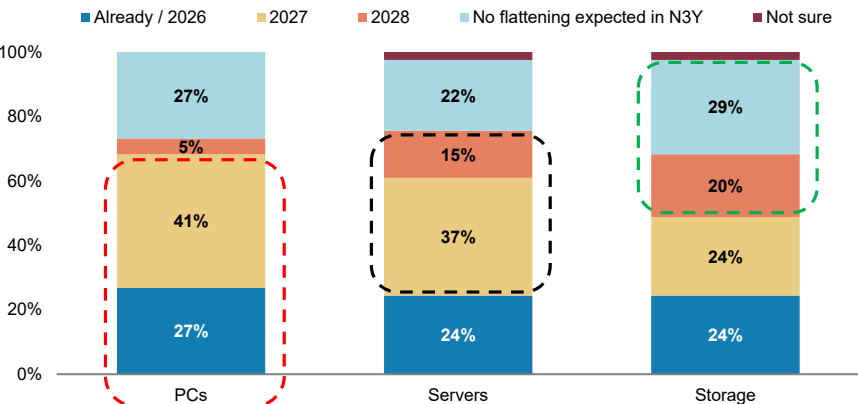


Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**Exhibit 13:**

Looking forward, storage has the longest runway for growth, followed by servers and lastly PCs where spend is already deteriorating.

**Expected Timing of Hardware Budget Flattening or Decline**



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

## Storage > Servers > PCs

### Storage offers the most attractive combination of earnings durability and valuation.

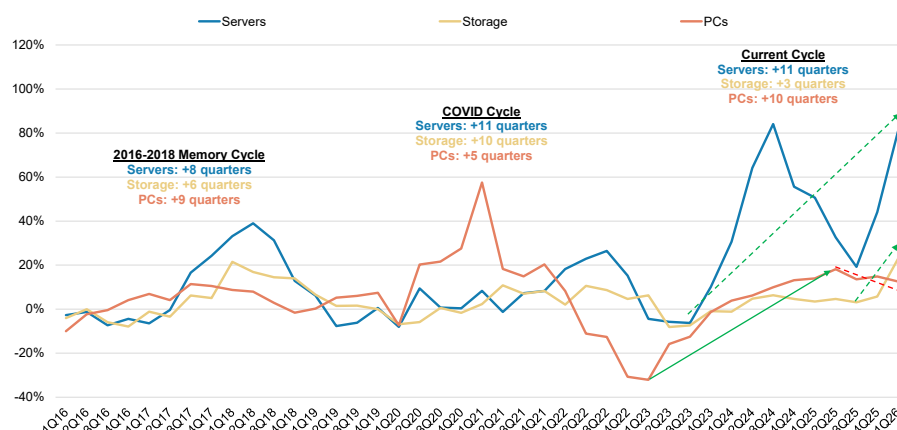
Historically, storage cycles lag servers by approximately four to five quarters, suggesting the current storage recovery remains in its early innings. Spending expectations continue to improve, estimate revisions remain relatively modest and valuations have yet to fully re-rate.

**Servers remain fundamentally attractive.** Pricing realization continues to exceed expectations, OEMs continue to capture attractive margins and AI-driven compute demand remains supportive. However, servers also exhibit the greatest evidence of purchasing pull-forward, increasing cyclical risk entering 2027-2028.

**PCs remain our least preferred end market.** Demand remains more price elastic, the Windows refresh cycle is increasingly mature and CIOs consistently identify PCs as the first area where budgets are likely to normalize.

**Exhibit 14:** Storage is only in the early days of an upcycle while Servers are much further along and the majority of the PC opportunity is behind us.

Server vs. Storage vs. PC Upcycles (Trough to Peak; Y/Y Revenue)



Source: IDC, Morgan Stanley Research. Note: Storage is only external OEM storage and Servers excludes ODM direct.

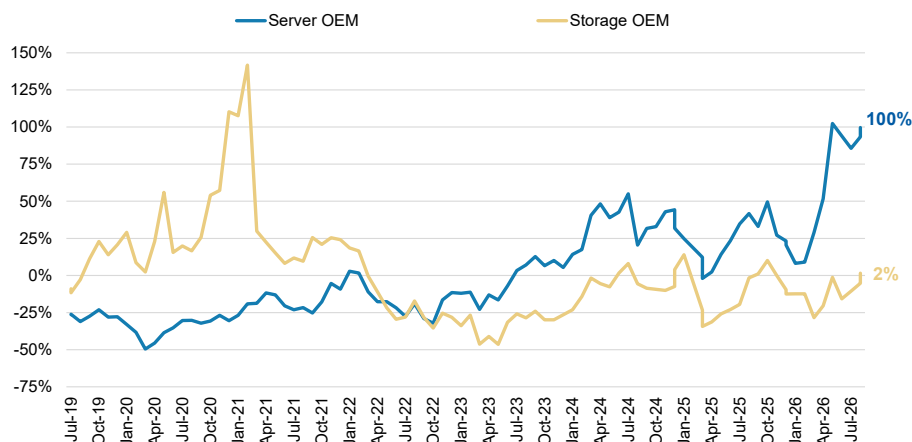
## Valuation Matters More Than Ever

**Although fundamentals continue to improve, valuation increasingly differentiates opportunities.** Enterprise infrastructure stocks have appreciated substantially since early 2025, with much of the server ecosystem now trading near historical valuation highs. Earnings revisions remain exceptionally strong, supporting current multiples, but history suggests hardware valuations rarely remain elevated once estimate revisions begin to normalize.

**Accordingly, our investment framework shifts from owning the trade to owning the right parts of the trade.** We prefer companies where earnings revisions remain ahead, valuations have yet to fully adjust, and structural improvements support more durable multiple expansion.

**Exhibit 15:** Server OEMs trade at a significant discount to history while Storage OEMs are trading largely in-line with the T7 year average.

Next Fiscal Year P/E vs. History (T7 Year Average)



Source: Factset, Morgan Stanley Research. Note: Server OEM average includes DELL & HPE and Storage OEM average includes P & NTAP

## Ratings Changes

**We are upgrading our US IT Hardware Coverage to 'In-line' (from Cautious) and communicating a global preference for Storage over Servers over PCs.** According to our AlphaWise survey, Storage spending has the longest duration whereas PC demand is already starting to roll over. Server spending shows the most strength relative to history, but also the most pull-forward, and thus, less elevated cyclical risk vs. PCs, but more risk vs. Storage. Furthermore, storage cycles historically lag servers by 4-5 quarters, suggesting the current storage recovery remains in its early innings. Lastly, we'd highlight that relative to Server OEMs, Storage stocks are cheaper with greater potential for future estimate revisions.

**Upgrading HPE to Overweight:** HPE becomes our preferred US enterprise OEM. While Dell remains the purest beneficiary of server strength, HPE offers comparable exposure to enterprise infrastructure alongside an increasingly underappreciated networking business following the Juniper acquisition, improving free cash flow and greater multiple expansion potential.

**Upgrading Everpure (P) to Overweight:** We see Everpure as the most attractive combination of storage spending exposure, share gains, attractive valuation vs. peers, and hyperscale optionality within our coverage. Continued enterprise share gains, improving storage demand, and the potential for a second hyperscale customer announced at the Sept 23rd Analyst Day creates a compelling catalyst rich earnings revision and re-rating opportunity.

**Upgrading NTAP to Equal-weight:** Improving storage fundamentals support higher earnings estimates, although valuation at peak P/E already reflects meaningful credit for this improving outlook.

**Downgrading TDC to Equal-weight:** The AI opportunity remains compelling, but the expected growth acceleration and estimate upside have yet to materialize, limiting the case for further multiple expansion.

**We believe enterprise infrastructure spending remains stronger than consensus appreciates.** AI continues to support incremental demand, but the more important development is that memory inflation has fundamentally altered enterprise purchasing behavior. Higher prices are accelerating procurement, not delaying it, extending the current infrastructure cycle beyond historical norms.

**However, today's cycle remains driven primarily by cyclical forces - refresh activity, purchasing pull-forward and infrastructure modernization - rather than a broad-based secular enterprise AI deployment. As a result, we upgrade the industry to In-Line, raise estimates across much of our coverage and become increasingly selective, with a clear preference for Storage > Servers > PCs, and HPE and Everpure as our preferred Server and Storage OEM exposure.**

**Exhibit 16:** We update our enterprise infrastructure price targets and upgrade HPE and P to OW, upgrade NTAP to EW and downgrade TDC to EW.

| Company   | Rating                                                                                 |     | Price Target |            |        | Price Target Methodology    |                                  |
|-----------|----------------------------------------------------------------------------------------|-----|--------------|------------|--------|-----------------------------|----------------------------------|
|           | New                                                                                    | Old | New          | Old        | % Chng | New                         | Old                              |
| HPE       | OW    | EW  | \$69.00      | \$71.00    | -2.8%  | 15x FY27 EPS of \$4.58      | 17x FY27 EPS of \$4.17           |
| P         | OW    | EW  | \$108.00     | \$87.00    | 24.1%  | 32x FY28 EPS of \$3.37      | 32x FY28 FCF per Share of \$2.72 |
| DELL      | EW                                                                                     | EW  | \$430.00     | \$477.00   | -9.9%  | 15x FY28 EPS of \$28.66     | 20x FY28 EPS of \$23.83          |
| Giga-Byte | EW                                                                                     | EW  | NT\$405      | NT\$375    | 8.0%   | 11.8x CY27 EPS of NT\$34.37 | 12.6x FY27 EPS of NT\$29.75      |
| NTAP      | EW  | UW  | \$173.00     | \$137.00   | 26.3%  | 15x FY28 EPS of \$11.56     | 14x FY28 EPS of \$9.81           |
| TDC       | EW  | OW  | \$29.00      | \$35.00    | -17.1% | 10x CY27 EPS of \$2.90      | 12x CY27 EPS of \$2.90           |
| Acer      | UW                                                                                     | UW  | NT\$23.50    | NT\$21.00  | 11.9%  | 12.8x CY27 EPS of NT\$1.83  | 13.6x CY26 EPS of NT\$1.54       |
| Asustek   | UW                                                                                     | UW  | \$700.00     | NT\$570.00 | 7.9%   | 10x FY27 EPS of NT\$68.06   | 10x FY27 EPS of NT\$57.19        |

Source: Morgan Stanley Research

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# Changes To Our Views: A Summary of Changes Across Our Global OEM/ODM Universe

## Overweight Rated Stocks

**Hewlett Packard Enterprise (HPE): Upgrading to Overweight with a new \$69 PT.** HPE is our preferred OEM to play the enterprise infrastructure cycle, offering an attractive risk/reward. Our enterprise infrastructure work continues to point to upside across servers, storage and networking, while HPE-specific channel checks, CIO survey work and management commentary suggest the company's competitive positioning continues to improve post Juniper acquisition. At the same time, networking is increasingly transitioning from an integration story to a higher-growth, higher-margin earnings driver, supporting both positive estimate revisions and longer-term multiple expansion. With shares having largely retraced their post-earnings re-rating, improving free cash flow conversion, faster-than-expected deleveraging and growing capital return optionality, we believe the market is underappreciating HPE's earnings power and valuation asymmetry. While execution remains the key risk, we believe HPE now offers the best combination of earnings upside, valuation support and re-rating potential within our enterprise infrastructure OEM group.

### Key changes to our model and valuation approach:

- **Revenue:** We raise our FY26 and FY27 revenue by 1-5%, to \$46.3B (+22% Y/Y pro forma) and \$54.2B (+17% Y/Y), respectively, primarily a function of server ASP upside, incrementally more positive storage and networking demand backdrops and improved competitive positioning in networking post Juniper acquisition.
- **Gross margin:** Our FY26 and FY27 gross margins move 0-10bps lower, to 35.7% and 35.1%, respectively, driven entirely by a higher mix of server revenue, partially offset by our slightly stronger Networking outlook.
- **Valuation:** Our \$69 price target (down from \$71 prior) is based on 15x (down from 17x prior) our new FY27 EPS of \$4.58 (up from \$4.17 prior). This implies an 18x P/E multiple on HPE's networking business and a 12.5x P/E multiple on HPE's non-networking business (~0.5x turn discount to traditional enterprise hardware peers). Our new bear case valuation of \$33 reflects a 9x multiple on \$3.67 of bear case EPS, while our new \$91 bull case valuation reflects an 18x multiple on \$5.04 of bull case EPS, reflecting a +21% risk-adjusted risk reward, commensurate of an Overweight rating.

**Everpure (P): Upgrading to Overweight with a new \$108 PT.** We are upgrading Everpure to Overweight as we see a favorable combination of improving industry fundamentals, an attractive valuation, and hyperscaler upside optionality. Like NTAP, P stands to benefit from a strengthening enterprise storage spending environment driven by memory-related supply constraints, ongoing refresh cycles, data center monetization efforts, AI-driven capacity additions, budget pull-forwards, and price realization. However, we believe P offers a more compelling risk-reward profile, with the market not fully reflecting the 2nd hyperscaler customer win optionality, which could serve as a catalyst for both earnings revisions and valuation re-rating. At the same time, P continues to gain share in its core

business, particularly in the high-end enterprise storage segment. Taken together, an potentially accelerating hyperscale business and an increasingly favorable mix toward higher-end solutions should support gradual margin expansion despite continued memory cost headwinds. In our view, the combination of earnings upside and potential multiple expansion justifies our Overweight rating.

**Key changes to our model and valuation approach:**

- **Revenue:** We raise our FY27-FY29 revenue estimates by 3-5% to reflect improving enterprise storage spending intentions and resilient demand despite memory-driven price increases. Our FY27-FY29 revenue forecasts are now 8-12% above Consensus.
- **Gross margin:** We leave our gross margin estimates largely unchanged. We expect P's Product gross margin to gradually improve from the low end of its long-term target range of 65-70% as the company continues to pass through higher input costs and benefits from the growing contribution of its highly margin-accretive hyperscale business. With a relatively stable operating expense trajectory, we expect meaningful operating leverage, resulting in EPS growth that significantly outpaces revenue growth. As a result, our FY27-FY29 EPS estimates increase by 5-11%.
- **Valuation:** Our new \$108 price target is based on 32.0x FY28 EPS of \$3.37, compared with our prior \$87 price target based on 32.0x FY28 FCF/share of \$2.72. The 32.0x multiple is slightly above P's T3Y average P/E and the stock's current valuation of ~28x.

**Lenovo (OW):** We recently upgraded Lenovo from Equal-weight to Overweight with our report, [Lenovo: From Memory Headwind to Structural Tailwind \(9 Jul 2026\)](#). The pivot in our thesis rests on the "Chipflation" argument that AI has structurally—not cyclically—tightened memory supply across HBM, DRAM, and enterprise SSDs. Unlike past upcycles when buyers delayed purchases while expecting prices to fall (which historically compressed OEM margins), customers now assume elevated memory costs will be here to stay and are willing to absorb higher system prices or even pull purchases forward. We believe this shift in buyers' behavior has handed Lenovo real pricing power, letting it fully pass through higher component costs while preserving margins—the opposite of what we assumed when we downgraded the stock in November 2025. At Lenovo's June 25 Investor Day, the management also framed higher memory costs as the new normal and said they will prioritize profitability over chasing unit volume, which should be backed by structural cost advantages, including Lenovo's larger procurement scale (no.1 PC OEM globally in terms of shipment volume), supplier relationships, and access to China's domestic memory supply.

**Lenovo's gradual earnings mix shift toward Infrastructure Solutions Group (ISG)** also underpins our upgrade thesis. While the PC business remains a stable cash generator (we are modeling for Lenovo's PC OpM to hold stable at ~7.7% even with FY27e shipments falling ~9% on supply constraints), ISG is becoming the growth and profit engine—driven by AI server deployments, a ~US\$21bn AI infrastructure pipeline, improving pricing, and operating leverage. We forecast ISG will contribute ~41% of group profit by FY29e, vs. only near break-even in FY26, with its operating margin expanding from ~0.4% to ~8.1%. This diversification away from a PC-centric profile justifies a re-rating for Lenovo, in our

view. Our SOTP cross-check also lands at ~13x FY28e P/E, roughly in line with the 13.5x implied from our residual income model, and above Lenovo's ~9.5x three-year historical average.

**Combined, these factors drive our earnings forecasts for Lenovo that sit meaningfully above the Street:** Our FY27-29e EPS are 14%, 20%, and 25% above consensus, respectively, driven mainly by margins rather than revenue (revenues are only ~5% above), reflecting our view that the market still underestimates Lenovo's pricing power and ISG margin trajectory.

## Equal-weight Rated Stocks

**Dell Technologies Inc. (DELL): Remain Equal-weight with a new \$430 PT.** Superior supply chain execution continues to support share gains and meaningful earnings upside across enterprise infrastructure and AI servers, which combined with materially higher pricing realization, is driving the strongest year of revenue and earnings growth - by far - since Dell returned to the public markets in 2018. However, with shares having re-rated materially (~6x turns of P/E multiple expansion since May 1st), the debate increasingly shifts from near-term upside to estimates and execution, to the durability of today's earnings power. While we remain constructive on Dell's near-term fundamentals, uncertainty around the longevity of supply-driven share gains, purchasing pull-forward and peak earnings leads us to balance near-term upside against a valuation that increasingly reflects that. As a result, we remain Equal-weight rated.

### Key changes to our model and valuation approach:

- **Revenue:** We raise our FY27-28 revenue by 4-10%, to \$213B (+88% Y/Y, 24% above Consensus) and \$254B (+19% Y/Y, ~30% above Consensus), respectively. Our stronger topline outlook is a function of 3 key factors: First, we raise our FY27 and FY28 traditional server ASP growth to ~100% Y/Y (up from ~60% Y/Y prior) and +16% Y/Y (up from +8% Y/Y prior), respectively as we assume DELL is able to hold traditional server gross margins steady Y/Y. Second, our latest supply chain checks point to even stronger AI server revenue this year, though we believe supply will be a gating factor, pushing some of the AI server rack shipments into FY28 and we now forecast \$93B (+280% Y/Y) of AI server revenue in FY27 (up from \$91B prior and well above mgmt guidance for \$60B and Consensus at \$62B) and ~\$124B (+33% Y/Y) in FY28, up from our prior \$111B forecast and 55% above Street estimates. And third, we raise our FY28 storage revenue 5%, to \$18.9B (+7% Y/Y, 2% above Consensus) to account for our incrementally more positive storage market outlook.
- **Valuation:** Our new \$430 price target (down from \$477 prior) is based on 15x (down from 20x prior) our new FY28 EPS of \$28.66 (up from \$23.83 prior and 35% above Consensus at \$22). This implies a 16x P/E multiple on DELL's AI server business (in-line with AI infrastructure peers) and a 14x P/E multiple on the traditional business (~2x turn premium to traditional enterprise hardware peers given better execution and share gains). Our new bear case valuation of \$258 reflects a 12x multiple on \$21.50 of bear case EPS, while our new \$612 bull case valuation reflects an 18x P/E multiple on \$34 of bull case EPS, reflecting a -1% risk-adjusted risk reward, more commensurate of an Equal-weight rating.

**NetApp (NTAP): Upgrading to Equal-weight with a new \$173 PT.** We are upgrading NTAP to Equal-weight as improving enterprise storage spending trends support a stronger earnings outlook, even as valuation upside appears more limited. Similar to P, NTAP should benefit from an improving storage demand environment driven by memory-related supply constraints, ongoing refresh cycles, data center monetization efforts, AI-driven capacity additions, budget pull-forwards, and price realization. While we believe NTAP's operating margin is likely near a cyclical peak – potentially leading to some multiple compression from current levels – we expect stronger storage spending and a more favorable revenue trajectory to drive earnings estimate revisions higher. In our view, these earnings revisions should largely offset potential valuation downside and support the shares around current levels.

**Key changes to our model and valuation approach:**

- **Revenue:** We raise our FY27-FY29 revenue estimates by 5-7% to reflect improving enterprise storage spending intentions and resilient demand despite memory-driven pricing increases. Our FY27-FY29 revenue forecasts are now 10-17% above Consensus.
- **Gross margin:** We leave our gross margin estimates largely unchanged. We expect NTAP's Product gross margin to remain below its long-term target range over the coming quarters as higher memory input costs continue to work through the model. That said, a relatively stable operating expense trajectory should enable incremental operating leverage, resulting in EPS growth that outpaces revenue growth. As a result, our FY27-FY29 EPS estimates increase by 11-18%.
- **Valuation:** Our new \$173 price target is based on 15.0x FY28 EPS of \$11.56, up from our prior \$137 price target based on 14.0x FY28 EPS of \$9.81. The 15.0x multiple is slightly above NTAP's T3Y average P/E but below the stock's current valuation of more than 19x. Therefore, the increase in our price target is driven more by higher earnings estimates rather than multiple expansion.

**Giga-Byte (Equal-weight):** Lowest revenue exposure to PCs with relatively higher PC ASPs. We also assume Giga-Byte will face lower margin pressure from higher memory price, but we adjust down CY26-28 GM. This is mainly because of higher mix from lower margin AI server business. We raise CY26-28 revenue by 10%, 20%, and 34%, respectively, mainly baking in higher AI server revenue. This drives down our CY26-28 gross margin assumptions by 40bps, 40bps, and 80bps, respectively. We stay Equal-weight on the stock with raised PT of NT\$405 (from NT\$375 prior).

**Key changes to our model and valuation approach:**

- **Revenue:** We raise our CY26-28 revenue by 10%, 20% and 34%, respectively to reflect higher AI server demand and higher component prices. Our CY26 revenue estimate of NT\$522B implies 55% y/y growth, and our CY27 revenue estimate of NT\$623B implies 19% y/y growth, which are both 8% above consensus.
- **Gross margin:** We lower CY26-28 GM assumption by 40bps, 40bps, and 80bps, respectively mainly driven by higher mix of AI server revenue. Compared to Consensus gross margin assumptions, we are 10bps above, 30bps below, and 130bps below for CY26-28 respectively.
- **Valuation:** Our new NT\$405 PT (raised from NT\$375 prior) is based on 11.8x our CY27 EPS of NT\$34.37 (vs. 12.6x CY27 EPS of NT\$29.75 prior). The PT increase is

primarily driven by our raised CY26-27 EPS estimate.

**Teradata (TDC): Downgrading to Equal-weight and lowering our price target to \$29 from \$35.** The key change in our thesis is not that the AI opportunity has diminished, but that TDC's favorable positioning has yet to translate into the growth acceleration and estimate upside we had expected. Despite a solid 2Q and continued execution against its core financial targets, management now expects recurring revenue to decline modestly in 2H, with 3Q total revenue guided down 4-6% Y/Y and recurring revenue down 2-4%, while cloud ARR growth slowed to 8% Y/Y. While ASC 606 explains some of the weaker 2H revenue shape, we believe stronger net-new customer and workload activity should ultimately show up in reported growth, and we are not yet seeing enough evidence of that acceleration. At the same time, TDC has materially lagged the positive estimate-revision cycle across enterprise hardware, with CY27 EPS estimates up just 7% YTD vs. 35% for our hardware average, and sales estimates up 2% versus 18%. With revenue declining and margins compressing in 2H after four consecutive quarters of Y/Y margin expansion, we see limited support for further multiple expansion. We therefore move to a 10x multiple on our \$2.90 CY27 EPS estimate, supporting a \$29 price target and an Equal-weight rating until TDC demonstrates more durable revenue growth, stronger new-logo/workload momentum, and sustained margin expansion.

**Key changes to our model and valuation approach:**

- **Revenue:** We largely maintain our CY26 and CY27 revenue of \$1.6B and \$1.7B, respectively, implying -1%/2% Y/Y growth, which puts us in-line with Consensus.
- **Valuation:** We lower our price target to \$29 (From \$35), reflecting a lower 10x target P/E (from 12x) on our slightly higher CY27 EPS of \$2.90 (from prior \$2.84), a 6-turn discount from TDC's trailing 5 year average.

## Underweight Rated Stocks

**Acer (UW):** We raise CY26, CY27 and CY28 GMs slightly by 20bps, 60bps and 70bps to 11.5%, 11.7% and 11.7%, respectively, to reflect less profit pressure from rising component costs, as our view is that OEMs will prioritize profitability instead of competing on price. However, we believe Acer will benefit the least compared to other OEMs because Acer only has low-end consumer PC exposure, and no server/storage exposure, which is where margins and demand is most defensible. We stay UW but raise PT to NT\$23.5 (up from NT\$21.0), driven by our CY26-28 EPS increases of 18%, 13% and 12%, respectively.

**Key changes to our model and valuation approach:**

- **Gross Margins:** We raise '26/'27/'28 gross margin assumptions by 20/60/70bps, respectively as we bake in lower impact from higher cost of memory. We are now 16bps, 63bps and 68bps above the Street on CY26-28 gross margins.
- **Valuation:** Our price target rises to NT\$23.5 (from NT\$21 prior), reflecting a 12.9x multiple on our CY27 EPS of NT\$1.83 (from NT\$1.61 prior).

**Asuttek (UW):** We raise CY26-28 EPS estimates by 10%, 19%, and 23%, respectively on lower impact from higher memory prices. However, we stay UW on the stock but increase PT to NT\$700. Within its PC business, Asustek has higher exposure to the consumer

market, which is more pricing sensitive vs the enterprise market. And while Asustek has a server business, its server business is smaller at ~US\$10-15B in CY26-27, compared to Lenovo's ~US\$33B and Giga-Byte's ~US\$16-17B. However, dividends could be a support for the stock if payout is unchanged at ~80%.

**Key changes to our model and valuation approach:**

- **Gross and Operating Margins:** We raise CY26-28 gross margin assumption by 10bps, 40bps, and 40bps, respectively, as we bake in less margin impact from higher memory prices. We also bake in less advertising expense related to selling PC and PC components, which drives up our operating margins by 80bps, 120bps, and 130bps, respectively. As a result, we are 120bps, 110bps, and 120bps above consensus on CY26-28 operating margin assumptions, respectively.
- **Valuation:** Our price target rises to NT\$700 (from NT\$570 prior), reflecting a 10x multiple (unchanged from 10x prior) on our CY27 EPS of NT\$68.06. In our SOTP valuation, we keep Asustek's core business multiple unchanged at 9x, which is slightly below the average of its historical band of 7-15x since 2009.

**Exhibit 17:** We update our enterprise infrastructure price targets and upgrade HPE and P to OW, upgrade NTAP to EW and downgrade TDC to EW.

| Company   | Rating                                                                                 |     | Price Target |            |        | Price Target Methodology    |                                  |
|-----------|----------------------------------------------------------------------------------------|-----|--------------|------------|--------|-----------------------------|----------------------------------|
|           | New                                                                                    | Old | New          | Old        | % Chng | New                         | Old                              |
| HPE       | OW  | EW  | \$69.00      | \$71.00    | -2.8%  | 15x FY27 EPS of \$4.58      | 17x FY27 EPS of \$4.17           |
| P         | OW  | EW  | \$108.00     | \$87.00    | 24.1%  | 32x FY28 EPS of \$3.37      | 32x FY28 FCF per Share of \$2.72 |
| DELL      | EW                                                                                     | EW  | \$430.00     | \$477.00   | -9.9%  | 15x FY28 EPS of \$28.66     | 20x FY28 EPS of \$23.83          |
| Giga-Byte | EW                                                                                     | EW  | NT\$405      | NT\$375    | 8.0%   | 11.8x CY27 EPS of NT\$34.37 | 12.6x FY27 EPS of NT\$29.75      |
| NTAP      | EW  | UW  | \$173.00     | \$137.00   | 26.3%  | 15x FY28 EPS of \$11.56     | 14x FY28 EPS of \$9.81           |
| TDC       | EW  | OW  | \$29.00      | \$35.00    | -17.1% | 10x CY27 EPS of \$2.90      | 12x CY27 EPS of \$2.90           |
| Acer      | UW                                                                                     | UW  | NT\$23.50    | NT\$21.00  | 11.9%  | 12.8x CY27 EPS of NT\$1.83  | 13.6x CY26 EPS of NT\$1.54       |
| Asustek   | UW                                                                                     | UW  | \$700.00     | NT\$570.00 | 7.9%   | 10x FY27 EPS of NT\$68.06   | 10x FY27 EPS of NT\$57.19        |

Source: Morgan Stanley Research

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

**Exhibit 18:** Our CY26 revenue and EPS estimates are 5-12% above Consensus, on average.

|                | Company   | CY26 Revenue (\$B) |         |             |           |             | CY26 EPS  |           |             |           |              |
|----------------|-----------|--------------------|---------|-------------|-----------|-------------|-----------|-----------|-------------|-----------|--------------|
|                |           | New                | Old     | % Chng      | Consensus | % vs Cons   | New       | Old       | % Chng      | Consensus | % vs Cons    |
| <b>OW</b>      | HPE       | \$46.3             | \$46.0  | 0.7%        | \$45.0    | 2.9%        | \$3.59    | \$3.45    | 4.1%        | \$3.43    | 4.7%         |
|                | P         | \$4.7              | \$4.5   | 3.4%        | \$4.5     | 4.0%        | \$2.62    | \$2.50    | 4.7%        | \$2.43    | 7.9%         |
| <b>EW</b>      | DELL*     | \$213.3            | \$205.1 | 4.0%        | \$170.8   | 24.9%       | \$23.93   | \$20.73   | 15.4%       | \$18.33   | 30.5%        |
|                | Giga-Byte | NT\$522            | NT\$475 | 9.9%        | NT\$498   | 4.7%        | NT\$33.82 | NT\$32.40 | 4.4%        | NT\$30.46 | 11.0%        |
|                | NTAP*     | \$7.9              | \$7.5   | 5.3%        | \$7.5     | 5.4%        | \$9.83    | \$8.83    | 11.4%       | \$8.89    | 10.6%        |
|                | TDC       | \$1.6              | \$1.7   | -0.3%       | \$1.6     | -0.1%       | \$2.70    | \$2.63    | 2.6%        | \$2.69    | 0.4%         |
| <b>UW</b>      | Acer      | NT\$320            | NT\$302 | 6.1%        | NT\$320   | 0.1%        | NT\$1.81  | NT\$1.61  | 12.4%       | NT\$1.66  | 9.0%         |
|                | Asustek   | NT\$882            | NT\$904 | -2.4%       | NT\$898   | -1.8%       | NT\$65.16 | NT\$59.22 | 10.0%       | NT\$55.14 | 18.2%        |
| <b>Average</b> |           |                    |         | <b>3.3%</b> |           | <b>5.0%</b> |           |           | <b>8.1%</b> |           | <b>11.5%</b> |
| <b>Median</b>  |           |                    |         | <b>3.7%</b> |           | <b>3.5%</b> |           |           | <b>7.3%</b> |           | <b>9.8%</b>  |

Source: Factset, Company Data, Morgan Stanley Research

**Exhibit 19:** Our CY27 revenue and EPS estimates are 5-9% above Consensus, on average.

|                | Company   | CY27 Revenue (\$B) |           |             |           |             | CY27 EPS  |           |              |           |              |
|----------------|-----------|--------------------|-----------|-------------|-----------|-------------|-----------|-----------|--------------|-----------|--------------|
|                |           | New                | Old       | % Chng      | Consensus | % vs Cons   | New       | Old       | % Chng       | Consensus | % vs Cons    |
| <b>OW</b>      | HPE       | \$54.1             | \$51.8    | 4.6%        | \$50.3    | 7.6%        | \$4.58    | \$4.17    | 9.8%         | \$4.05    | 13.2%        |
|                | P         | \$5.3              | \$5.1     | 4.0%        | \$5.2     | 3.0%        | \$3.37    | \$3.17    | 6.3%         | \$3.00    | 12.4%        |
| <b>EW</b>      | DELL*     | \$254.2            | \$229.6   | 10.7%       | \$198.0   | 28.4%       | \$28.66   | \$23.83   | 20.3%        | \$22.20   | 29.1%        |
|                | Giga-Byte | NT\$623            | NT\$519   | 20.2%       | NT\$606   | 2.8%        | NT\$34.37 | NT\$29.75 | 15.5%        | NT\$33.90 | 1.4%         |
|                | NTAP*     | \$8.4              | \$7.9     | 6.7%        | \$7.9     | 6.4%        | \$11.56   | \$8.83    | 31.0%        | \$9.80    | 18.0%        |
|                | TDC       | \$1.7              | \$1.7     | -0.6%       | \$1.7     | 0.2%        | \$2.90    | \$2.84    | 2.2%         | \$2.90    | 0.0%         |
| <b>UW</b>      | Acer      | NT\$325            | NT\$307   | 5.8%        | NT\$353   | -8.1%       | NT\$1.83  | NT\$1.54  | 18.8%        | NT\$2.09  | -12.4%       |
|                | Asustek   | NT\$981            | NT\$1,006 | -2.5%       | NT\$1,013 | -3.1%       | NT\$68.06 | NT\$57.19 | 19.0%        | NT\$60.29 | 12.9%        |
| <b>Average</b> |           |                    |           | <b>6.1%</b> |           | <b>4.7%</b> |           |           | <b>15.4%</b> |           | <b>9.3%</b>  |
| <b>Median</b>  |           |                    |           | <b>5.2%</b> |           | <b>2.9%</b> |           |           | <b>17.2%</b> |           | <b>12.7%</b> |

Source: Factset, Company Data, Morgan Stanley Research

# Chipflation Is Causing "FOMP" – Fear of Missing Procurement

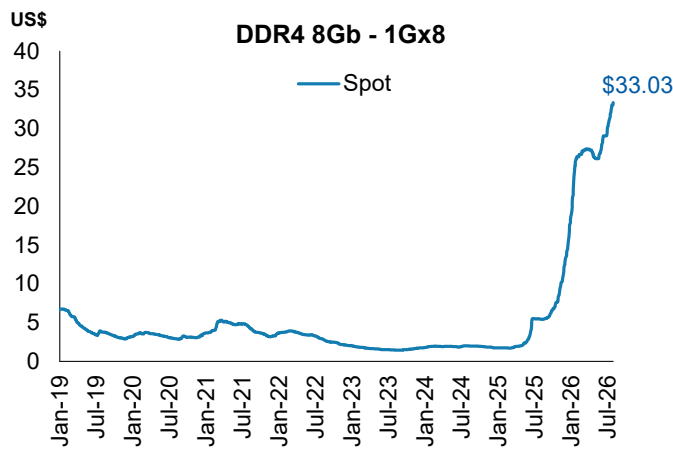
**Revisiting our original memory thesis.** Our [original November 2025 "memory supercycle" thesis](#) held that historical periods of modest component cost inflation have generally been relative tailwinds to inelastic hardware products and headwinds for more elastic products. However, we argued this cycle was different: (1) higher memory prices were driven by insatiable demand from hyperscalers rather than strength in enterprises/on-prem hardware spending, leading to greater device price elasticity than history, and (2) this kind of memory inflation – where DRAM prices rose 50-300% in September 2025, was anything but modest ([Exhibit 20](#), [Exhibit 20](#) and [Exhibit 21](#)). Combined with widespread memory shortages, we expected component cost increases to drive delayed purchasing decisions and elongate sales cycles as customers waited for lower prices, resulting in OEM margin compression, and ultimately, a hardware downcycle before memory pricing could normalize. While we expected enterprise demand to prove relatively more resilient than consumer hardware demand, we nevertheless viewed memory inflation as a broad headwind across the Hardware ecosystem.

**But 'Chipflation' changes this.** Rather than viewing memory as a cyclical headwind, companies are increasingly viewing this cycle through the lens of a secular, multi-year headwind, with hyperscaler memory demand expected to far outpace capacity additions through the end of the decade, supporting both (1) higher memory prices, and (2) supply shortages. Under this framework, enterprise customers are *accelerating* infrastructure investments to secure supply and avoid higher future costs, rather than delaying purchases. *"I believe with certainty the price I pay today will be lower than my cost tomorrow"* is the prevailing sentiment. Furthermore, the memory supply shortages we expected to prevail for Hardware OEMs broadly has not materialized. Enterprise OEMs are receiving relatively decent memory supply because memory vendors recognize they can make higher margins selling to Hardware OEMs than to the hyperscalers. While shortages still exist, Hardware OEMs appear to be better supplied than we expected ([Exhibit 22](#)).

**Combined, our 'memory supercycle' views have changed.** Altogether, we believe the "fear of missing procurement" is becoming an increasingly powerful *tailwind* to enterprise infrastructure spending this cycle on top of any enterprise AI demand, which our AlphaWise survey proves out (see: [Survey Says: Accelerating Cyclical Demand Adding To Enterprise AI Tailwinds](#)). Conversely, most consumer markets, inclusive of PCs, have already begun to weaken because of less favorable supply and/or memory-induced price hikes leading to more elastic demand ([Exhibit 23](#)).

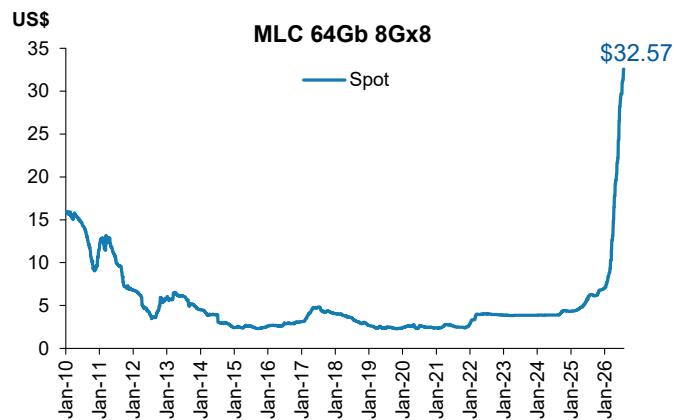
**As a result, our updated memory "supercycle" thesis is as follows: memory "Chipflation" is accelerating enterprise infrastructure demand beyond AI-driven spending, even as consumer markets weaken ([Exhibit 24](#)). This supports further earnings upside for Enterprise Hardware OEMs and extends the current spending cycle, though our AlphaWise survey work suggests the incremental spending tailwind is more cyclical than secular, implying investors should tilt positively, but remain selective as valuations reach all-time highs.**

**Exhibit 20:** DDR4 spot prices continue to move higher, up over 500% Y/Y.



Source: TrendForce, Morgan Stanley Research.

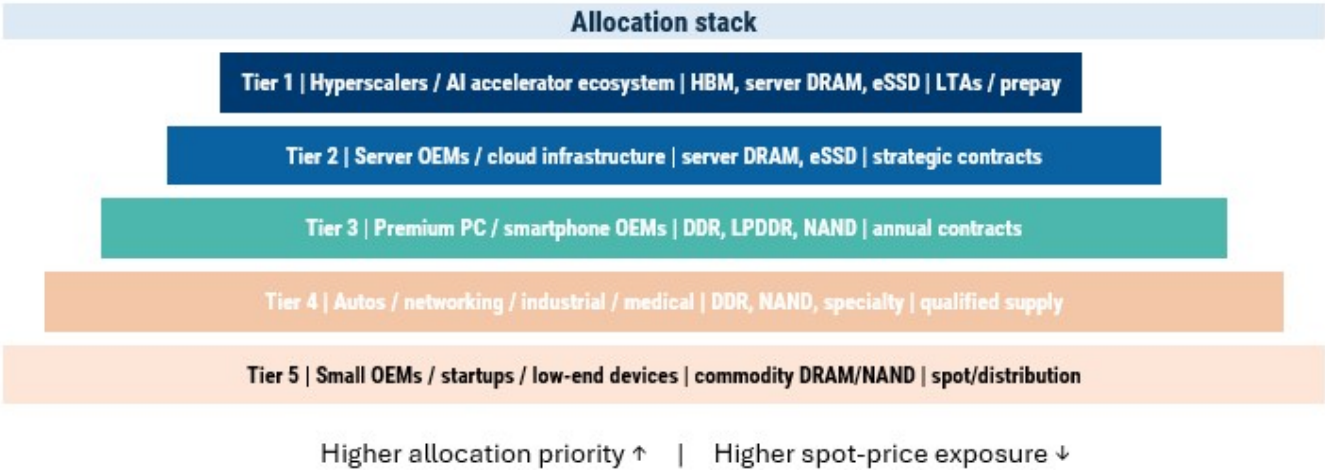
**Exhibit 21:** Similar to DRAM, NAND spot prices are up 420%+ Y/Y.



Source: TrendForce, Morgan Stanley Research

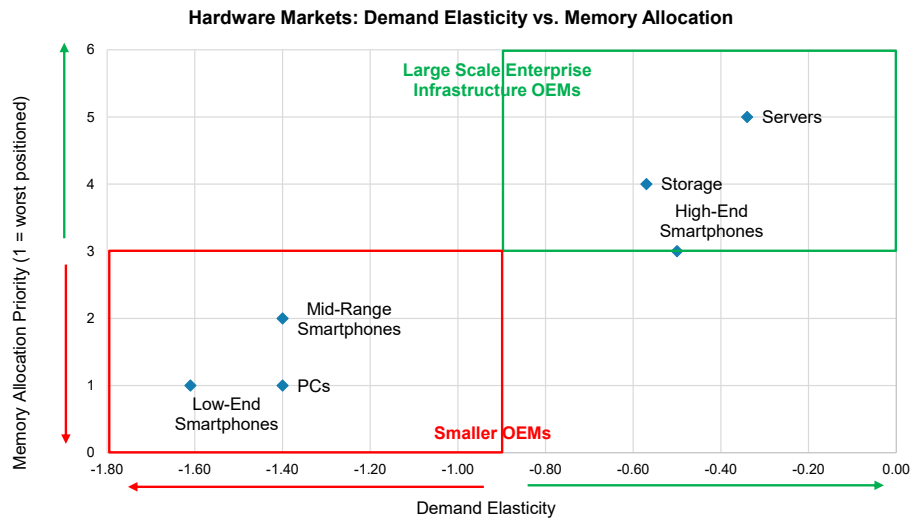
**Exhibit 22:**

Enterprise Infrastructure is moving higher in the allocation hierarchy while consumer hardware increasingly competes for residual supply.



Source: Morgan Stanley Research

**Exhibit 23:** The combination of low demand elasticity and favorable allocation increasingly favors enterprise infrastructure.



Source: IDC, Morgan Stanley Research.

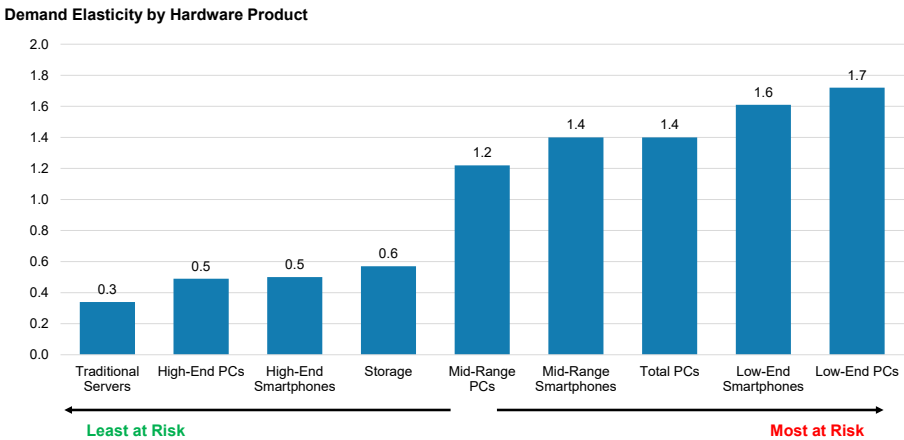
**Exhibit 24:** While memory inflation continues to intensify, our understanding of how it impacts enterprise infrastructure has fundamentally changed.

| Our Memory Framework: Then vs. Now             |                                                                     |
|------------------------------------------------|---------------------------------------------------------------------|
| Our Prior View                                 | What We've Learned                                                  |
| Memory inflation is cyclical                   | Memory inflation is structural                                      |
| Higher prices cannibalize demand               | Higher prices & supply scarcity are accelerating demand             |
| OEMs absorb some higher costs                  | OEMs are successfully passing through pricing & are margin stacking |
| Supply eventually catches up                   | Supply to remain constrained for years                              |
| Refresh cycle                                  | Refresh + capacity expansion + pull forward                         |
| Memory inflation - bearish for all of Hardware | Memory Inflation creates winners and losers                         |

Source: Morgan Stanley Research

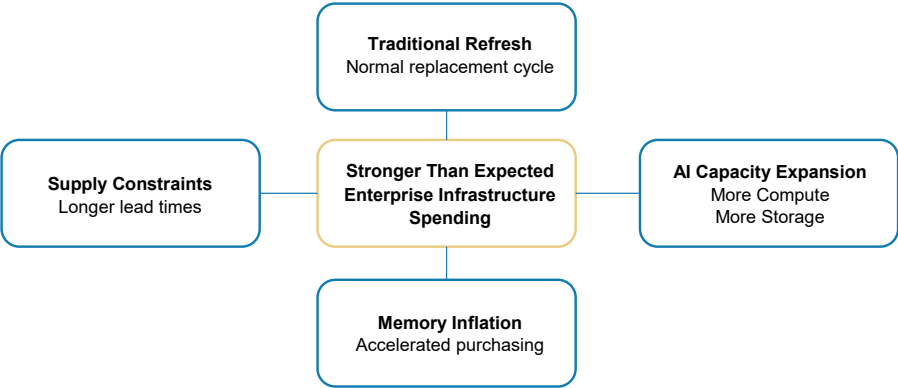
**Enterprise demand is more inelastic than we previously assumed.** Perhaps the biggest surprise this cycle has been enterprise customer behavior. Rather than waiting for prices to normalize, enterprises increasingly expect memory costs to remain elevated and are accelerating purchases to secure supply and preserve deployment schedules. Our survey work, procurement discussions and channel checks consistently point to lower demand elasticity (vs. expectations and vs. history; [Exhibit 25](#)), stronger pricing realization and meaningful pull-forward across enterprise infrastructure. Collectively, these factors support a more constructive outlook for enterprise infrastructure spending/demand, although we believe many of today's strongest tailwinds remain cyclical rather than structural ([Exhibit 26](#)).

**Exhibit 25:** Our quant analysis implies low-end smartphones and PCs are the most demand elastic, while servers, storage and high-end smartphones are least at risk of demand destruction from higher prices



Source: IDC, Company data, AlphaWise, Morgan Stanley Research. Demand elasticity takes the absolute value. PC data goes back to 1995, for storage it starts in 2008, servers in 2003 and smartphones in 2007.

**Exhibit 26:** Enterprise infrastructure demand is being driven by more than just traditional refresh needs.



Source: Morgan Stanley Research

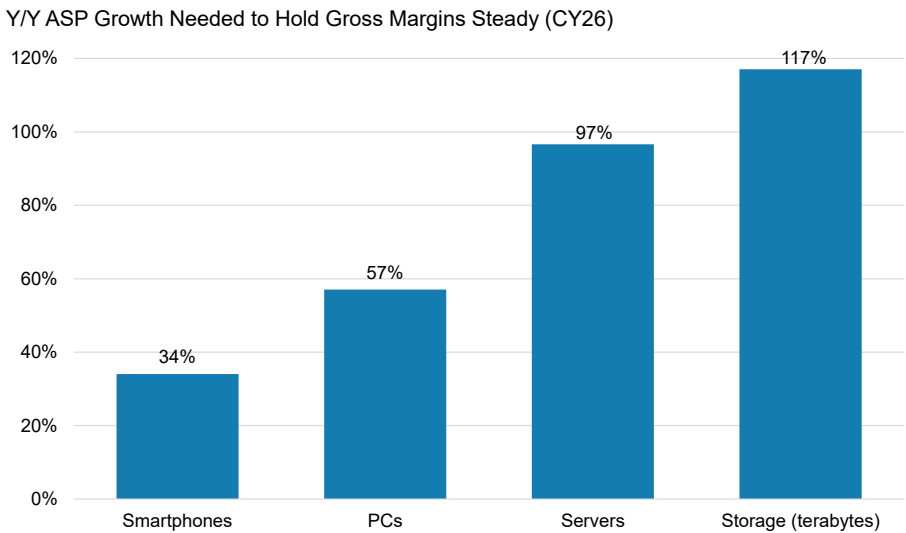
**IBM's recent pre-announcement provides a confirmation of our thesis.**

Memory inflation is also changing how enterprises allocate IT budgets. [IBM's negative June quarter pre-announcement](#) provides another independent confirmation of our thesis. In the announcement, management attributed the quarter's weakness to enterprises reprioritizing capex toward memory-intensive server and storage deployments where shortages exist, delaying spending on other areas of IT spend (i.e. Mainframe and associated software). In our view, this reinforces that memory shortages are reshaping enterprise spending priorities, with compute and storage increasingly becoming more important. While we believe this reflects a combination of cyclical refresh activity, pull-forward and higher price realization – not a broad-based on-prem AI buildout – it further supports our increasingly constructive view on enterprise infrastructure spending.

**Yet stronger enterprise demand comes with a significant cost.** Hardware OEMs continue to face one of the most inflationary component backdrops in decades. Based on current TrendForce forecasts, for companies to maintain their gross margins in 2026, it would require like-for-like pricing increases of ~35% for smartphones, ~60% for PCs, ~100% for servers and ~120% for storage arrays ( [Exhibit 27](#) and [Exhibit 28](#) ). Enterprise demand is inelastic for now – and these prices are generally being realized ex-smartphones and PC – though this is clearly a trend we do not believe can sustain.

**Peak enterprise infrastructure margins are likely behind us, but relative margin strength should persist as OEMs continue to 'margin stack'.** While enterprise OEMs have generally been able to pass through these much higher costs, the pricing environment remains exceptionally challenging and we do not expect C1Q26 gross margins to represent the new baseline. In our view, the March/April quarter benefited from an unusually favorable combination of strong pricing realization and lower-cost memory COGS purchased earlier in the cycle, as evidenced by April quarter results from DELL where ISG gross margins *expanded* ~80bps Y/Y and outperformed our expectations by ~240bps. As the year progresses, and component costs remain on an up-and-to-the-right trajectory, higher-cost DRAM and NAND will increasingly move from the balance sheet to the income statement and get monetized via sales, while price hikes remain lagging, which should modestly reduce this COGS tailwind even as OEMs continue to realize favorable pricing ( [Exhibit 29](#) [Exhibit 29](#) and [Exhibit 30](#) ).

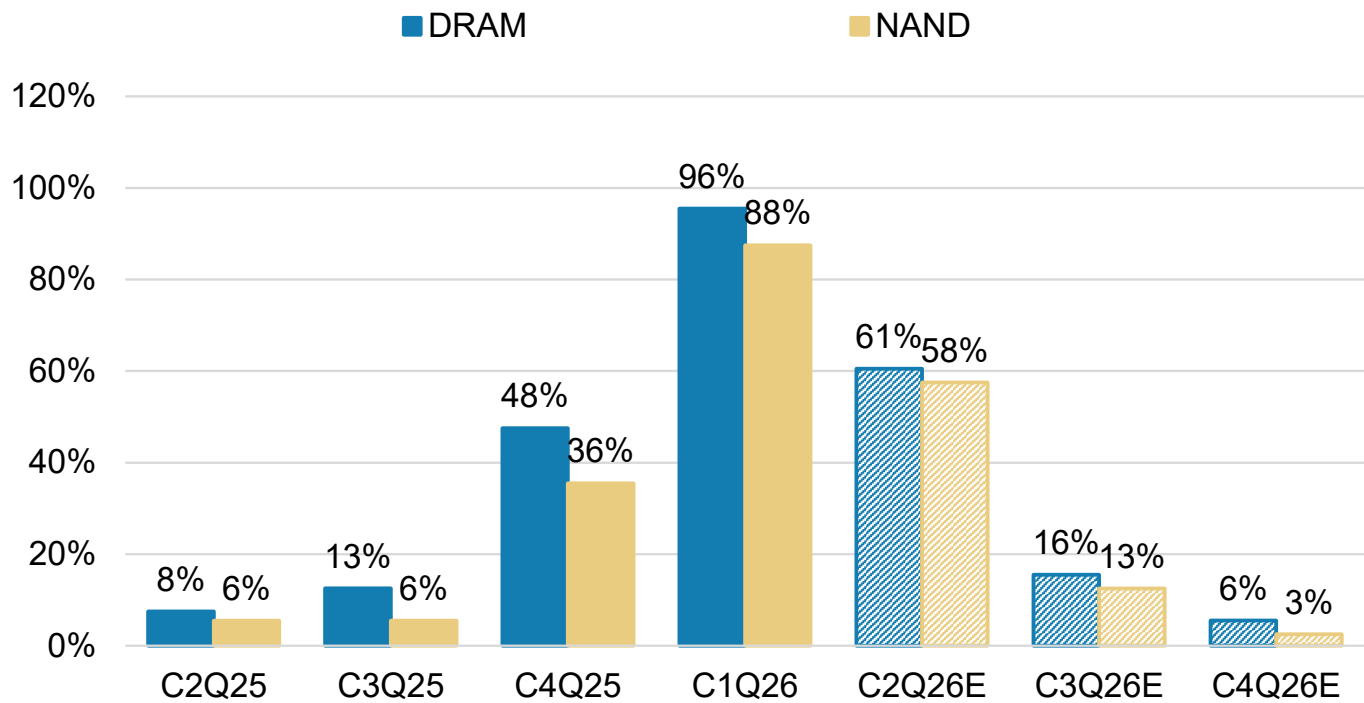
**Exhibit 27:** We estimate that in order to protect gross margins, hardware vendors would need to raise prices by 35-120% Y/Y in CY26.



Source: TrendForce, IDC, Company Data, Morgan Stanley Research estimates. Note: analysis assumes the BoM is ~60% of COGS.

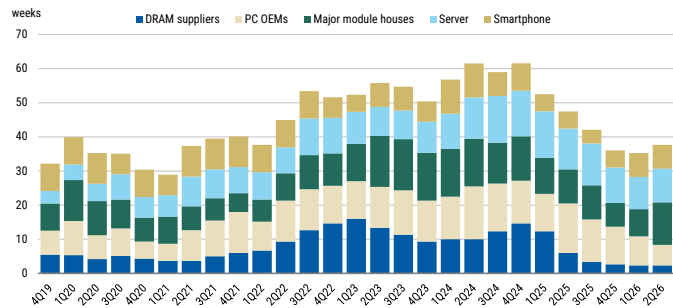
**Exhibit 28:** Based on the latest estimates by TrendForce, DRAM and NAND contract prices are expected to move higher Q/Q throughout the year.

DRAM & NAND Q/Q Contract Price Forecast



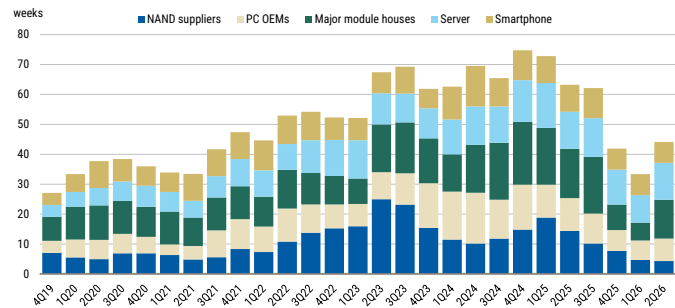
Source: TrendForce, Morgan Stanley Research

**Exhibit 29:** PC and Smartphone OEMs only have 6-7 weeks of DRAM inventory on hand, below servers at ~10 weeks.



Source: TrendForce estimates, Morgan Stanley Research

**Exhibit 30:** Similarly, server OEMs have nearly 2x the amount of NAND inventory on hand vs. PC and Smartphone OEMs.



Source: TrendForce estimates, Morgan Stanley Research

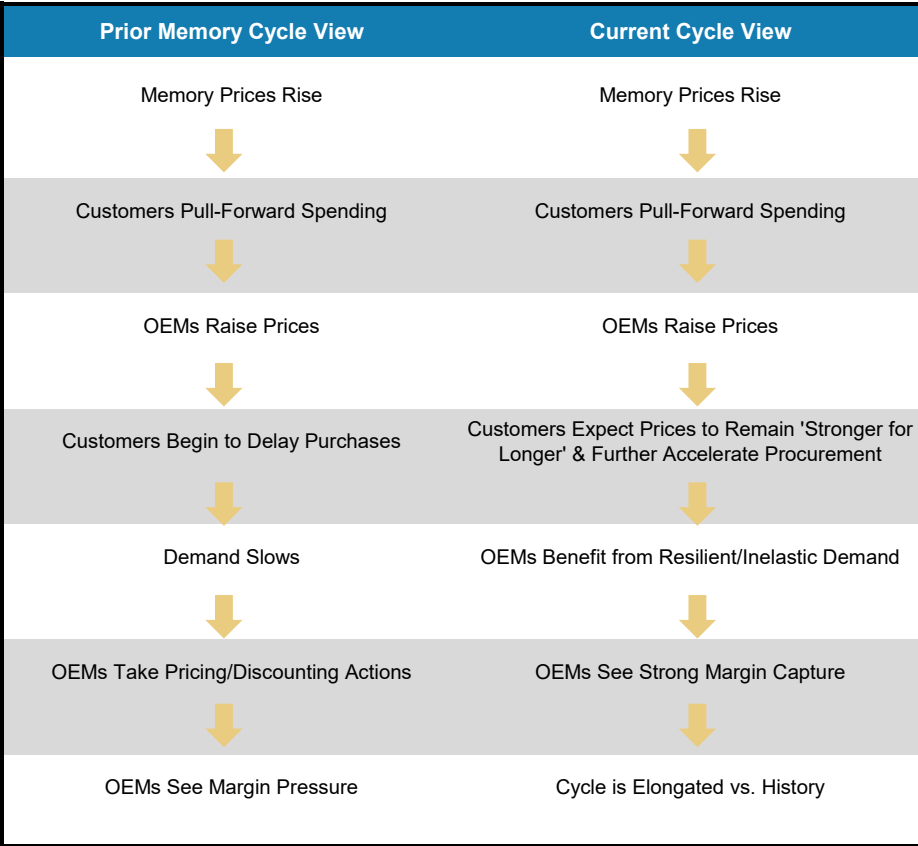
**For now, we believe the investment implication is straightforward.** Memory has become the industry's primary bottleneck, driving enterprises to prioritize compute and storage while deferring more discretionary areas of IT spend ([Exhibit 31](#)). In many of our checks, we are hearing of enterprise compute budgets that are inflating well-outside of historical norms as companies pull-forward more than a year of demand. On one hand, this supports our increasingly constructive view on this enterprise infrastructure cycle over the next 12 months. On the other hand, enterprises are actively trying to find ways to address their inflating budgets, though we don't believe these actions take hold until 2028 at the earliest. As a result, we would stop short of characterizing today's

environment as the beginning of a multi-year secular enterprise AI cycle, which we attempt to support using survey data in the following section ( [Exhibit 32](#) ).

**How Are Large Enterprises Proactively Addressing Memory Inflation In Compute Markets?**

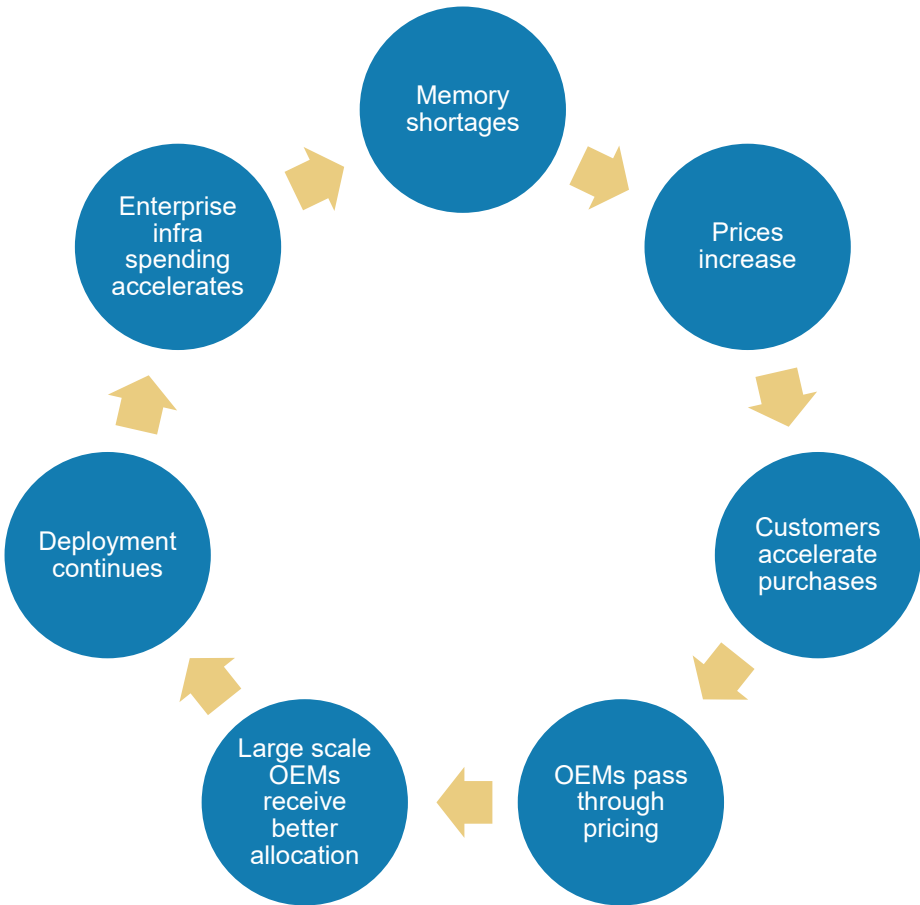
Large enterprises are responding to memory inflation by pulling forward demand, but then attempting to find numerous ways of reducing the future stress on budgets. Our recent discussions with a large enterprise computing team suggests organizations are increasingly looking to "sweat" existing assets, reallocate idle compute capacity, increase virtualization and more materially evaluate cloud versus on-prem economics. In parallel, enterprises are beginning to evaluate alternative sourcing models and, where appropriate, whitebox infrastructure as a means of reducing future server costs. In our view, the focus is rapidly shifting from expanding infrastructure budgets to trying to maximize existing infrastructure, though targeted capacity additions are still required where existing infrastructure cannot support demand.

**Exhibit 31:** While component inflation has historically been a headwind to demand, it's more of a tailwind this cycle.



Source: Morgan Stanley Research

**Exhibit 32:** The enterprise infrastructure spending flywheel - what eventually breaks the cycle?



Source: Morgan Stanley Research

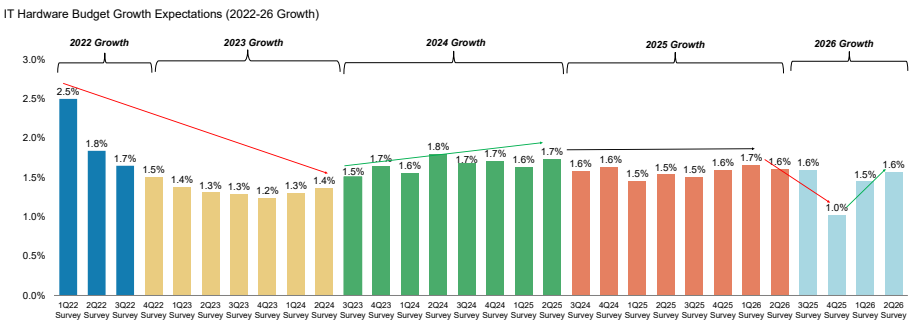
# Survey Says: Accelerating Cyclical Demand Adding To Enterprise AI Tailwinds

## Our AlphaWise 'Enterprise Hardware Spending Survey' Methodology

Our Enterprise Hardware Spending Survey was conducted online among 41 respondents (31 US / 10 EU), representing organizations across industries. Survey respondents hold responsibility for purchasing, integrating and maintaining hardware strategies. Interviews were conducted from June 12th through June 19th, 2026.

**The 4 Key Takes from Our AlphaWise Enterprise Hardware Spending Survey:** While aggregate hardware budgets remain broadly stable and continue to trail average pre-COVID spending growth – per our 2Q26 CIO Survey – we are seeing a defined rotation in spending towards Servers and Storage. Importantly, today's infrastructure strength is not being driven by one single factor ( [Exhibit 33](#) ). Rather, our survey points to a combination of cyclical refresh activity/infrastructure prioritization, data center modernization and capacity additions due to AI tailwinds, a clear pull-forward of budgets, and price realization. These tailwinds support a more constructive outlook for enterprise infrastructure spending over the next 6-12 months. But our survey feedback also indicates that the majority of CIOs expect Hardware budgets to flatten or start to decline in 2027/2028, with PCs first to roll, followed by compute, and then storage. **Collectively, our survey gets us more bullish on areas of infrastructure spending strength, but it also reinforces the need to remain disciplined on valuation across our universe.** Let's dig into the details.

**Exhibit 33:** Our 2Q26 survey shows that CIOs now expect 2026 hardware spend to grow 1.6% Y/Y, up ~10 bps from +1.5% Y/Y in our 1Q26 CIO Survey.



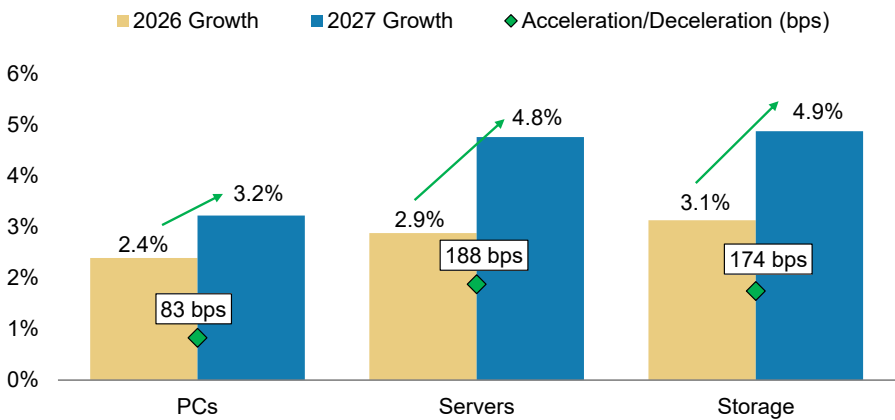
Source: AlphaWise CIO Survey (n=100), Morgan Stanley Research.

**First, we'd highlight that Server and Storage spending growth expectations are hitting all-time highs in this survey.** The Hardware specialists we surveyed in June expect Server spending growth to accelerate from 2.9% Y/Y in 2026 to 4.8% Y/Y in 2027, while Storage spending accelerates from 3.1% Y/Y to 4.9% Y/Y over the same period ( [Exhibit 34](#) ), both well above historical averages ( [Exhibit 35](#) [Exhibit 35](#) and [Exhibit 36](#) ). By comparison, PC

growth expectations remain more modest, despite record price inflation. This reinforces what we continue to hear through OEM earnings, supply chain checks and channel conversations – enterprise infrastructure demand/spend is accelerating and outpacing historical growth rates as customers prioritize areas of memory-induced shortages.

**Exhibit 34:** Hardware domain experts expect spending on servers and storage to accelerate more meaningfully Y/Y in 2027.

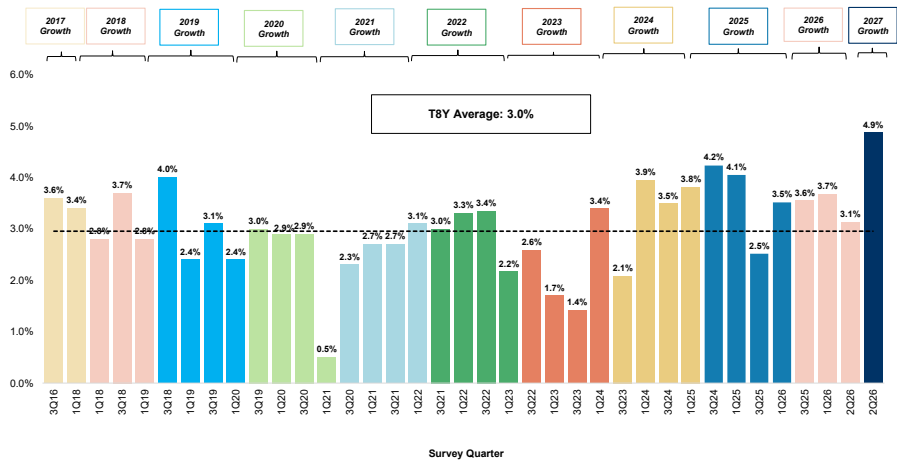
IT Hardware Spending Expectations by Category (2Q26 Survey)



Source: AlphaWise n=41 (US and EU data), Morgan Stanley Research

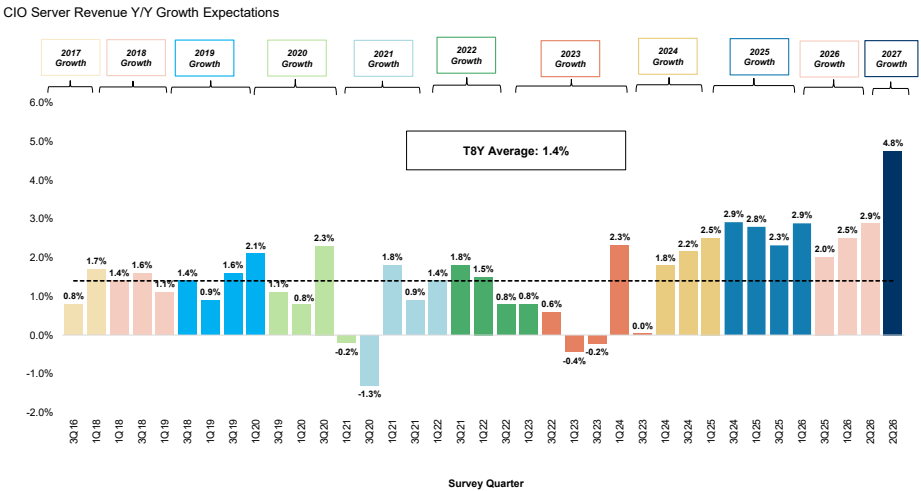
**Exhibit 35:** 2027 storage growth expectations in our 2Q26 survey is well above its trailing 8 year average of 3.0%.

CIO Storage Revenue Y/Y Growth Expectations



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

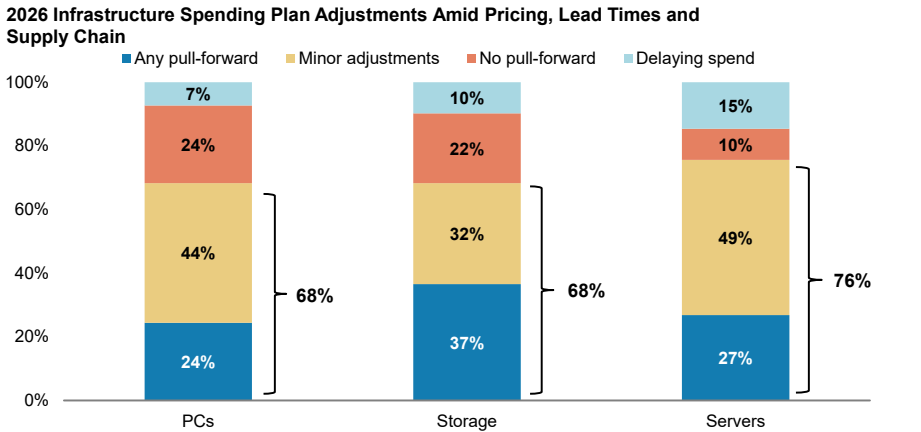
**Exhibit 36:** 2027 server growth expectations in our 2Q26 survey are also well above the trailing 5 year average of 1.4%, at 4.8% Y/Y.



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**Second, our survey confirms that pull-forward is a clear tailwind to this cycle.** One of the most important conclusions we attempt to draw from this survey is not simply that demand is improving, but sharing more details on why it is improving. The first detailed takeaway is clear – the majority of survey respondents report explicitly pulling forward 2026 hardware spending plans due to higher pricing, longer lead times and supply constraints (Exhibit 37). This dynamic is most prevalent in Servers – 76% of CIOs are pulling forward or making minor adjustments to their 2026 Compute budgets – compared to Storage (68% of CIOs) and PCs (68% of CIOs). Confirming some of our large enterprise checks, our survey also shows CIOs are pulling forward future budgets as well, with 17% of respondents pulling forward planned 2027 Server spending into 2026, while 27% of respondents are taking the same action across Storage and PCs (Exhibit 38). In our view, these results provide the clearest supporting evidence that demand pull-forward is generally widespread across enterprise hardware markets, supporting our thesis that strength in this cycle is first and foremost, cyclical.

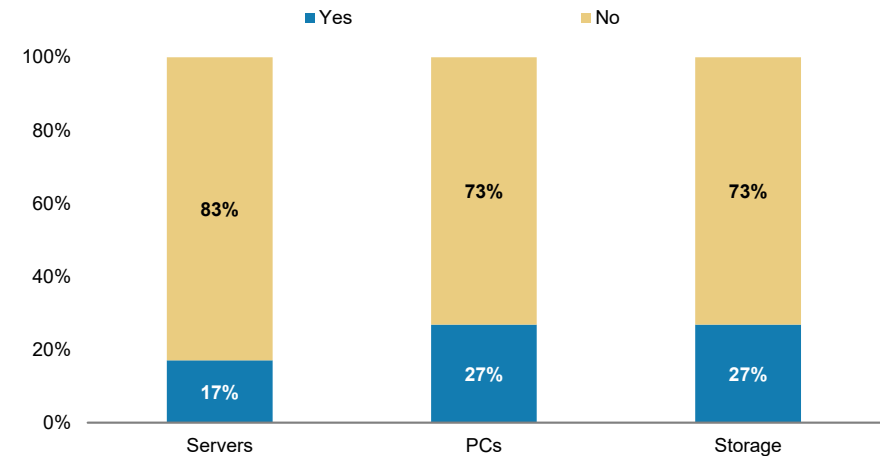
**Exhibit 37:** Servers are seeing the greatest amount of pull-forward in CY26, followed by Storage and PCs.



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**Exhibit 38:** Given the greater amount of pull-forward of 2026 spend for servers, hardware experts are pulling forward more spend from 2027 across servers and PCs.

**Pull-Forward of Planned-2027 Infrastructure Spending into 2026**

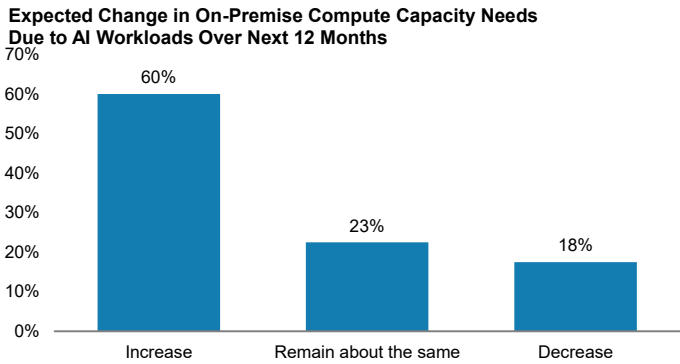


Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**However, third, our survey also indicates the strength of this spending cycle has secular elements to it.** An equally important conclusion from our survey is that what we are seeing is not simply a refresh of existing on-premise infrastructure, but an increase in enterprise capacity requirements due to a great mix of AI workloads going into production. ~60% of our survey respondents expect on-prem compute and storage capacity requirements to increase over the next 12 months due to AI, and nearly two-thirds expect to increase their physical server installed base due to AI ( [Exhibit 39](#) [Exhibit 39](#) - [Exhibit 41](#) ), with only 10% indicating a shrinking on-prem footprint due to workload migrations to the cloud.

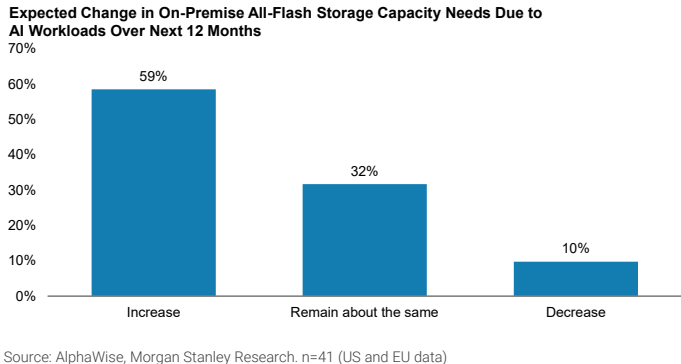
That said, we would caution against over-extrapolating these results into concluding we are in the midst of a broad-based and material enterprise AI deployment cycle. Our survey work also indicates that the majority (71%) of inferencing for AI is happening in the cloud today, with that figure increasing to 73% over the next twelve months, suggesting the large majority of enterprise AI workloads will continue to reside in public cloud environments ( [Exhibit 42](#) ). We interpret this data as indicating we are in the midst of an early-stage AI infrastructure buildout on-prem, but that these investments are likely to be dwarfed by continued spend, and workload mix-shift, to the cloud. We therefore view AI investments as one contributor to stronger enterprise infrastructure demand, rather than the primary driver of the cycle.

**Exhibit 39:** 60% of Hardware domain experts cite they are increasing their compute capacity due to AI needs.



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

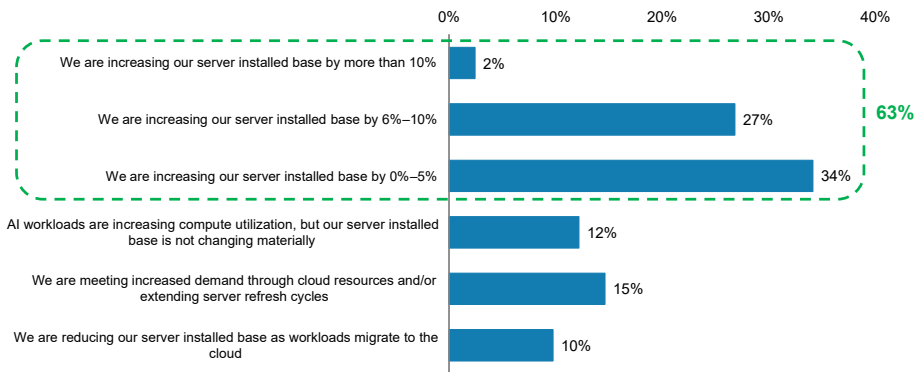
**Exhibit 40:** ~60% of Hardware domain experts cite they are increasing their all-flash storage capacity due to AI needs.



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**Exhibit 41:**  
Over 60% of Hardware domain experts cite they are increasing their server installed base to meet the growth in AI workloads.

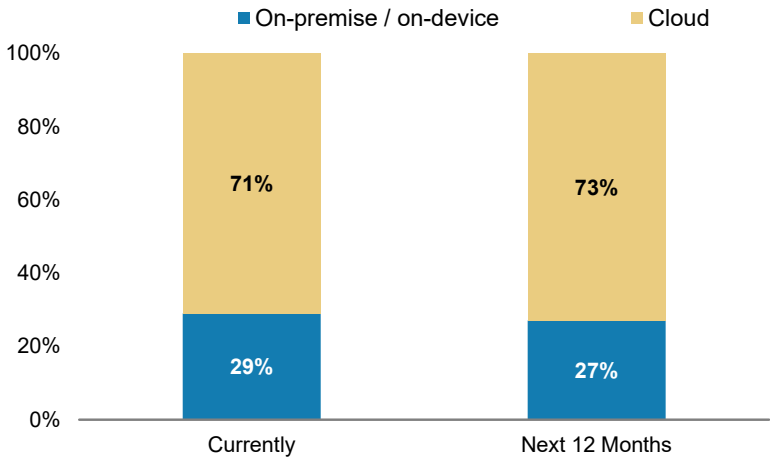
**Response to AI-Driven Growth in Compute Demand**



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**Exhibit 42:** While the majority of AI inferencing workloads are expected to be in the cloud, ~30% is expected to take place on-prem.

**Average Share of AI Inferencing Workload: On-Premise / On-Device vs. Cloud-Based**



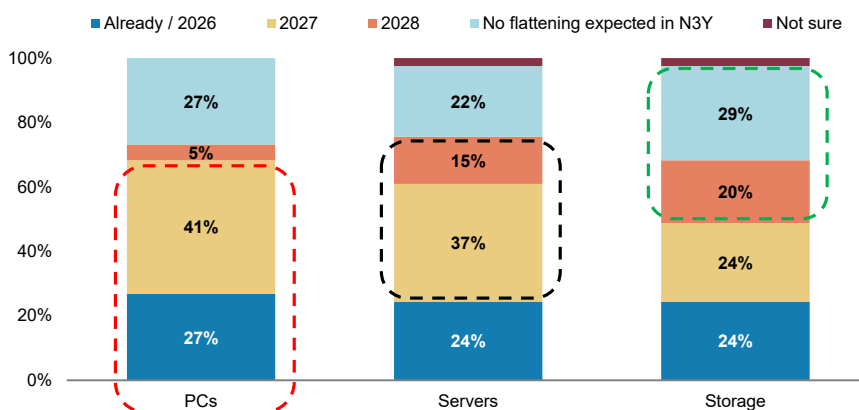
Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**Fourth, what does this mean for the durability of this enterprise spending cycle?** This is the critical question we are attempting to answer with this survey. When considering the notable pull-forward feedback as well as capacity addition requirements for AI, we believe the survey supports stronger enterprise infrastructure spending through 2026 and into 2027 via both cyclical and secular factors. However, the large majority of Hardware CIOs expect Hardware budgets to flatten or decline before the end of 2028, with ~50% of CIOs expecting Hardware PC, Server, and/or Storage budgets to rollover during 2027/2028.

The most near-term risk of budgets rolling over is in PCs, where nearly 70% of CIOs expect budgets to flatten or decline in 2026/2027. Servers follow, with 52% of CIOs expecting budgets to rollover in 2027/2028. Storage spending appears to show the greatest longevity, with the highest percentage of CIOs not expecting spend to flatten in the next 3 years, and the lowest percentage of CIOs expecting budgets to roll in 2026, and 2027/2028 ([Exhibit 43](#)).

**Exhibit 43:** Looking forward, storage has the longest runway for growth, followed by servers and lastly PCs where spend is already deteriorating.

**Expected Timing of Hardware Budget Flattening or Decline**



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**How we interpret the findings of this survey – conveying a preference for Storage > Servers > PCs.** Overall, this survey does two things. First, it strengthens our conviction that enterprise infrastructure spending has both cyclical and secular tailwinds, and reinforces the above-historical-average strength of this infrastructure spending cycle. However, second, it also helps us to better characterize and understand the duration of this cycle, with our conclusion being cyclical tailwinds (refresh, pull-forward) are outweighing secular tailwinds (AI-driven capacity expansions), such that the duration of this cycle is elongated vs. history, but not entering structural growth territory.

This combination supports stronger-than-expected infrastructure spending through 2026 and likely 2027, while also suggesting that the timing of eventual normalization will depend largely on how much future demand has already been brought forward. All in, we are incrementally more positive on enterprise infrastructure spending with a preference for Storage > Servers > PCs, primarily on the basis of durability of growth (not magnitude of growth).

- **We have the greatest conviction in the longevity of Storage growth.** Spending

expectations are at multi-year highs, AI workloads continue to drive incremental capacity requirements, and the spending cycle appears likely to extend further into the future than Servers or PCs.

- **Servers remain highly attractive as compute demand surprises positively and on-prem AI deployments show signs of broadening, with large pricing realization.** However, Servers are also where evidence of pull-forward is becoming increasingly apparent, where budgets are inflating the most, and where enterprises are taking action in attempt to rein in spending, suggesting somewhat higher duration risk beyond 2027.
- **PCs continue to benefit from higher pricing, but we view them as the least attractive** of the three spending buckets given they are more demand elastic to higher prices, growth expectations trail servers/storage, and there is greater near-term pull-forward that indicates risk of spending deprioritization in 2027/2028 (especially after the Win 11 upgrade cycle).

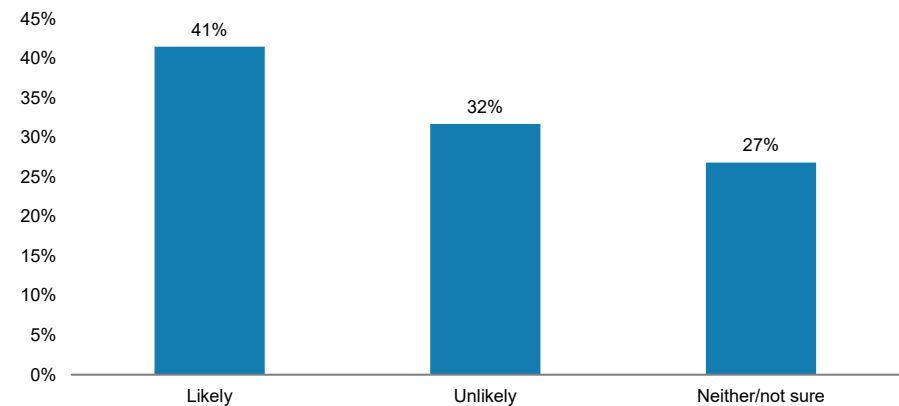
### How Could Enterprises Find Relief From Server OEM Price Hikes?

This is a topic we've been triaging extensively, as large enterprises indicate unsustainable compute budget inflation, but limited alternative sources of supply. Said differently, there is a small pool of enterprise OEMs to purchase servers from, and all are taking extreme pricing actions, leaving little room for pricing relief. One potential solution to rising server pricing is greater enterprise adoption of whitebox/ODM servers, particularly if delivered through trusted channel partners that can partner to deliver aftermarket financing, servicing, and support. Our survey suggests enterprises are increasingly open to this model, with ~40% of respondents indicating they would likely increase ODM purchases if offered through a trusted VAR or distributor ([Exhibit 44](#)). This type of partnership could create an incremental opportunity for channel partners to expand their infrastructure offerings while providing customers with a potentially less expensive alternative source of general servers.

That said, right now we see limited evidence of meaningful near-term disruption to server OEMs. 80% of enterprises continue to purchase servers exclusively from traditional OEMs, reflecting the importance of ecosystem capabilities rather than hardware cost alone ([Exhibit 45](#)). Existing vendor relationships, service and support, brand trust and product reliability remain the primary purchasing criteria, suggesting enterprises continue to place a premium on aftermarket supplies and operational certainty over pure product performance/price ([Exhibit 46](#)).

**Exhibit 44:** Over 40% of hardware experts cite they would be more likely to purchase servers from whitebox ODMs if supported through a trusted channel partner with enterprise grade support and financing options.

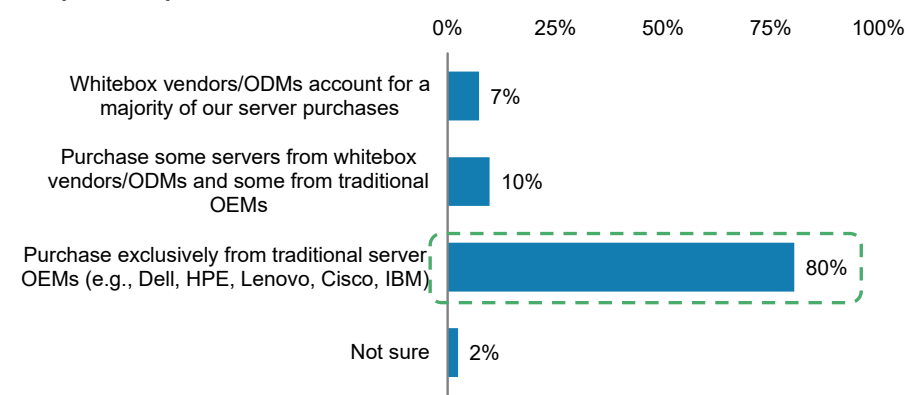
**Likelihood of Increasing Future Whitebox Server Purchases Through a Trusted Channel Model**



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**Exhibit 45:** By and large, server OEMs remain the trusted partner for enterprises...

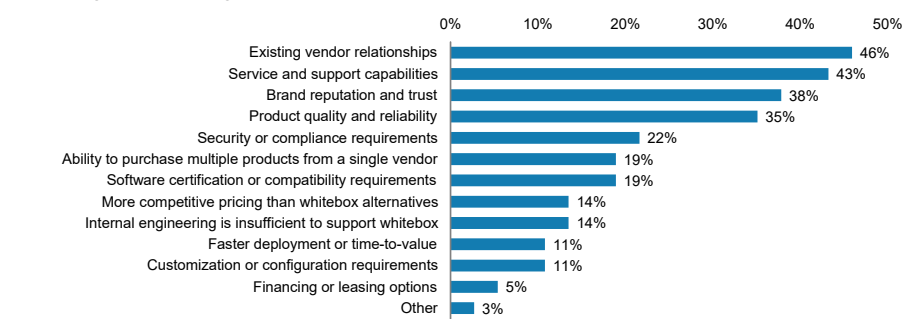
**Enterprise Adoption of Whitebox / ODM Servers**



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**Exhibit 46:** ...with the top reasons being strong existing relationships, service and support capabilities and trust.

**Primary Reasons for Purchasing Servers from Traditional OEM Vendors (Among Those Purchasing from Traditional OEM Vendors)**



Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

**Our latest VAR checks independently reinforce these**

**conclusions.**

Channel feedback continues to point to broadening enterprise infrastructure demand, with servers remaining exceptionally strong, networking accelerating further and storage beginning to inflect. More importantly, the resellers described today's demand as being driven by a combination of traditional capacity expansion, AI infrastructure investment and purchasing pull-forward, rather than a broad-based enterprise AI buildout. Pricing inflation remains most acute in Servers (+70% Y/Y), followed by Storage and PCs (+50%) and Networking (+25-30%), with the resellers estimating ~70% of 2Q hardware revenue growth was pricing-driven vs. ~30% from units. Furthermore, supply remains constrained, with lead times now ~30% above historical norms and modestly worse than 1Q. The VAR we spoke with estimates ~10-15% of 2Q demand reflected pull-forward activity, as customers increasingly accelerate purchases ahead of further price increases and supply shortages. This dynamic is most pronounced in Servers, followed by PCs, Storage, and Networking – in that order – broadly tracking the magnitude of pricing inflation we've seen to-date.

In our view, these checks provide independent confirmation of our survey work: enterprise infrastructure demand remains stronger than expected, supported by both cyclical and secular tailwinds, with cyclical factors, including capacity expansion, budget reprioritization and pull-forward remaining the primary driver of today's spending environment.

**For more from our July VAR Call, please see: [IT Hardware / Telecom & Networking Equipment: July VAR Call: Everything Is Wonderful...Until It's Not.](#)**

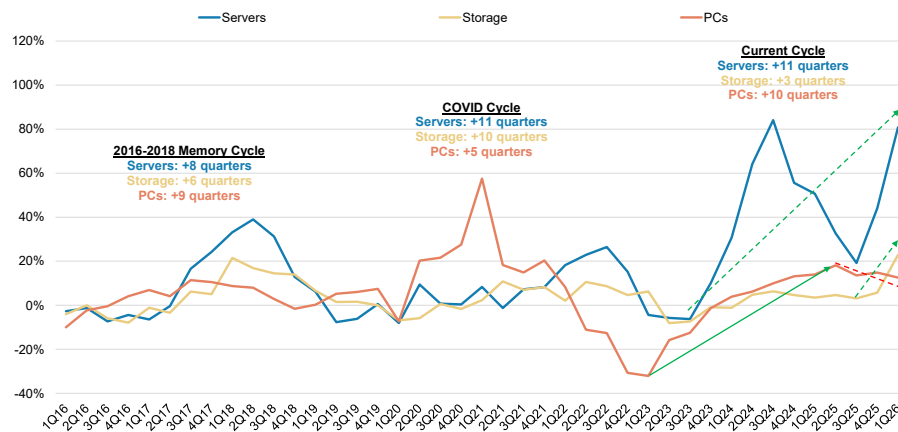
# How We Convey Our End-Market Preferences At The Stock Level

**Our survey work, supply chain checks, channel conversations and OEM commentary leave us incrementally more constructive on enterprise infrastructure spending over the next 6-12 months.** While the market continues to debate whether today's demand reflects refresh activity or purchasing pull-forward, we believe the answer is both, and then some (Exhibit 47 - Exhibit 49). Enterprise infrastructure is benefiting from a combination of refresh, compute prioritization, capacity expansion and pull-forward, all occurring against a backdrop of persistent memory shortages and higher pricing. The result is a stronger and more durable enterprise infrastructure cycle than we previously anticipated. While we have admittedly missed the first leg of stock outperformance in this cycle, we still believe there is estimate and multiple upside for parts of the group.

**Accordingly, we are (1) raising our Industry view to 'In-Line', from 'Cautious', (2) increasing estimates and price targets across much of our enterprise infrastructure coverage, and (3) communicating a broad end-market preference for Storage > Servers > PCs. Furthermore we are upgrading 3 stocks - Hewlett Packard Enterprise to Overweight (from Equal-weight), Everpure to Overweight (from Equal-weight), and NetApp to Equal-weight (from Underweight), and downgrading Teradata to Equal-weight (from Overweight).**

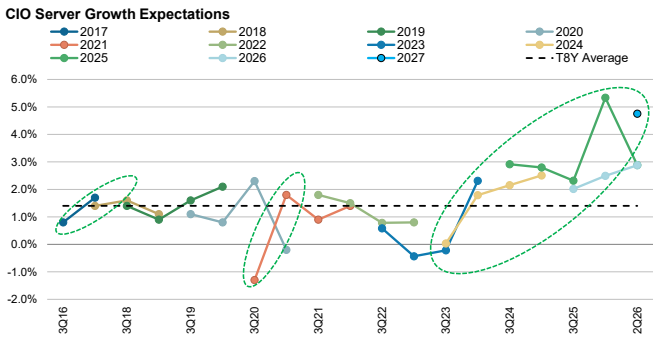
**Exhibit 47:** Storage is only in the early days of an upcycle while Servers are much further along and the majority of the PC opportunity is behind us.

Server vs. Storage vs. PC Upcycles (Trough to Peak; Y/Y Revenue)



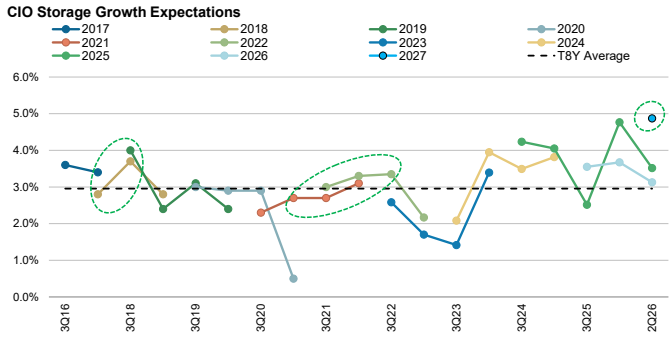
Source: IDC, Morgan Stanley Research. Note: Storage is only external OEM storage and Servers excludes ODM direct.

**Exhibit 48:** By and large, CIO server growth expectations have been moving higher for 2+ years now, stretching well beyond historical CIO server upcycles...



Source: AlphaWise, Morgan Stanley Research. n=61 (US and EU data)

**Exhibit 49:** ...while we're only now starting to see CIO storage growth expectations inflect more positively.

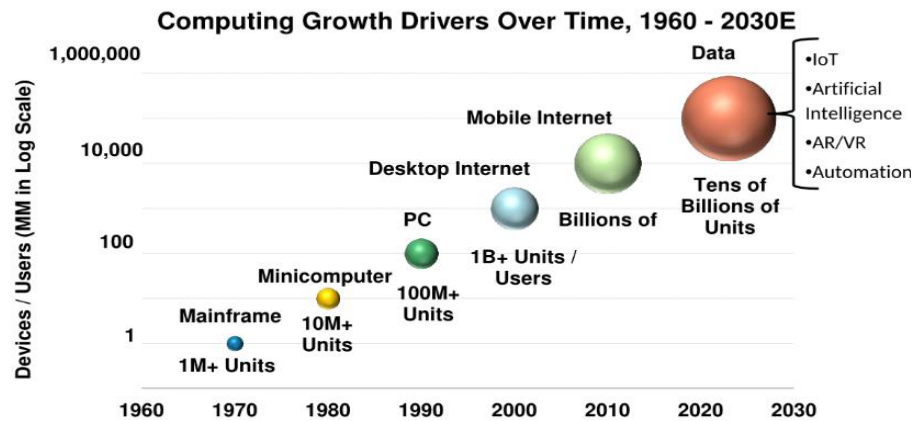


Source: AlphaWise, Morgan Stanley Research. n=61 (US and EU data)

**We believe that leveraging the historical framework of multi-year computing cycles helps to support our call.** We always approach our coverage with a cycle mindset first and foremost. Early in a major technology cycle such as the one we are in today ("The Data Era"), outperformance first comes to the leading semiconductor companies – Qualcomm and ARM enabling cellular connectivity during the Mobile Internet cycle, or NVDA, AMD, MU, Samsung, ASML, etc. enabling the buildout of accelerated compute today. Value creation then shifts to the infrastructure/device layer, with Samsung and Apple leading in the Mobile Internet era. Finally, outperformance shifts to software and services companies who capitalize on the growing base of compute.

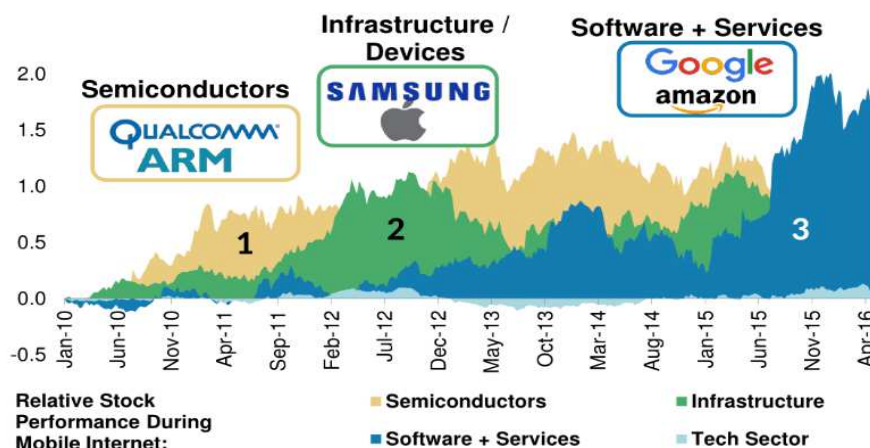
AI is the most important investment theme of this decade, and it's evident that semiconductors have been the leading beneficiaries of the Data Era thus far, with the SOXX Index up 164% since 2025 vs. our coverage up 126% and Software/Internet (IGV/ FDN ETFs) up just 1-17% since Jan 2025. That said, we believe recent outperformance of Hardware names points to the fact that we're in and/or transitioning into the second phase of the cycle – the infrastructure opportunity (Exhibit 50 and Exhibit 51). Our survey work, most notably around the drivers of this cycle and the longevity of the cycle, also help to support this claim.

**Exhibit 50:** Moving further into the data era as AI demand accelerates.



Source: Morgan Stanley Research

**Exhibit 51:** In historical cycles, like Mobile Internet below, alpha is typically first generated in semiconductors, followed by infrastructure and software and services.



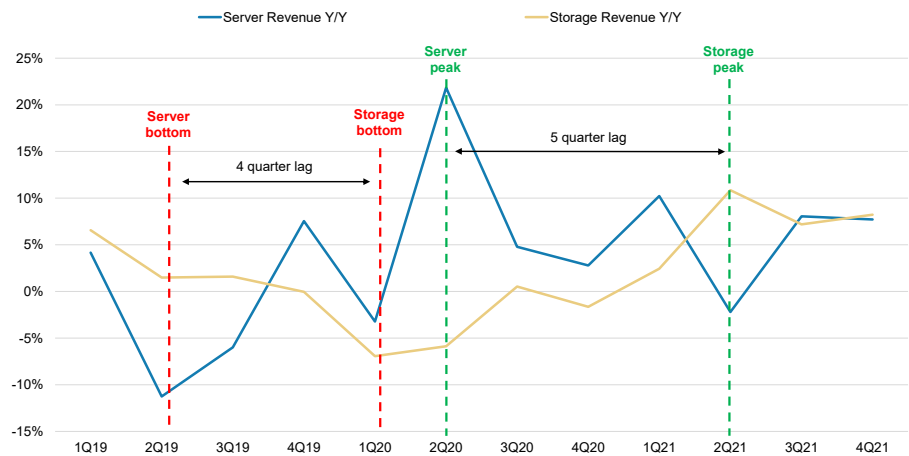
Source: Morgan Stanley Research, Refinitiv. Tech sector performance reflects sector ETF.

**(+) Storage - where we see the least pull-forward/most longevity and potential for structural strength driven by data generation/retention.** Historically, storage has lagged servers by roughly 3–5 quarters through both upcycles and downcycles, suggesting the current storage opportunity remains in its early innings ([Exhibit 52](#)). While storage benefits from the same drivers supporting enterprise compute, including capacity expansion, resilient demand and pricing power, we see less evidence of purchasing pull-forward, indicating a longer and more durable runway for growth (vs. servers). As the cycle progresses, we believe investors should increasingly shift their focus from where significant earnings revisions have already occurred (Server OEMs) toward where they are still ahead (Storage OEMs; [Exhibit 53](#)). And from a relative valuation perspective, storage OEMs are yet to see the re-rating we've seen at server OEMs, with P and NTAP trading largely in-line with the 7-year historical average while server OEMs DELL and HPE are trading at a material premium vs. history ([Exhibit 54](#) - [Exhibit 57](#)). As a result, we believe the Storage market offers a relatively compelling long opportunity at these valuations.

**Names Related TO This Theme:** OW-rated P (upgrade to OW from EW), EW-rated DELL (largest storage vendor in the world), and EW-rated NTAP (upgrade to EW from UW).

**Exhibit 52:** Historically, storage tends to lag servers on both the down and upcycles by 4-5 quarters.

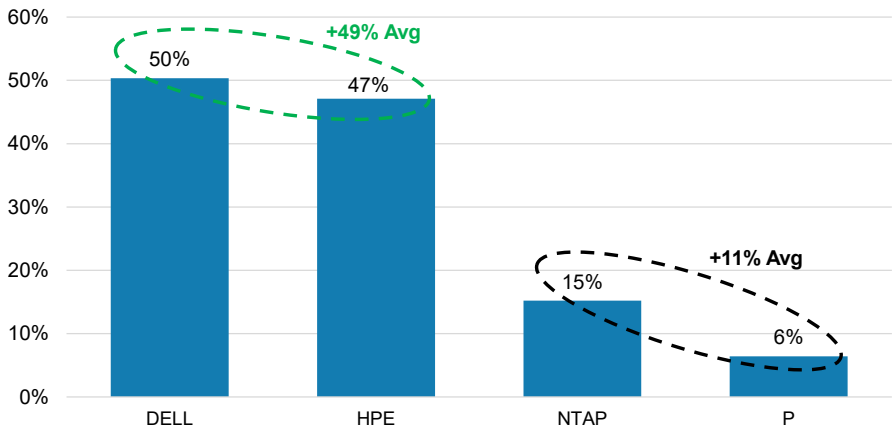
**Server and Storage Spending Cycles**



Source: IDC, Morgan Stanley Research

**Exhibit 53:** Server OEMs DELL and HPE have seen next fiscal year EPS estimates get revised ~50% higher over the last 3M. Estimates for Storage OEMs up only ~10%.

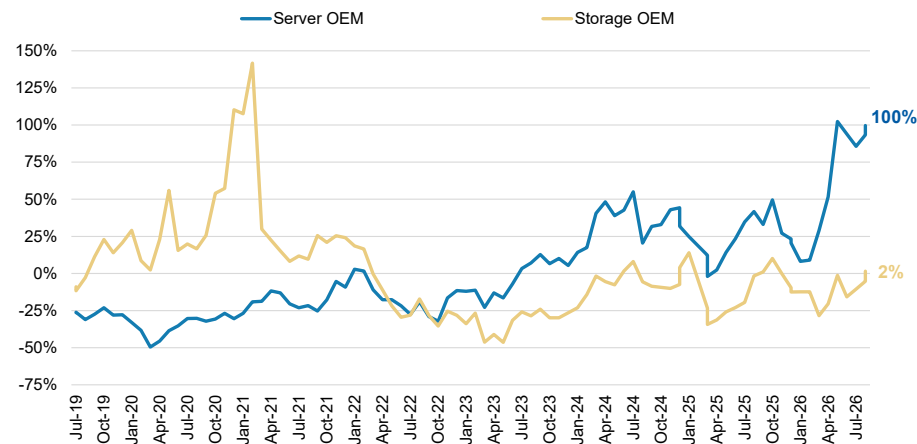
**Next Fiscal Year Consensus EPS Revisions (Trailing 3M)**



Source: Factset, Morgan Stanley Research. Note: Server OEM average includes DELL & HPE and Storage OEM average includes P & NTAP

**Exhibit 54:** Server OEMs trade at a significant discount to history while Storage OEMs are trading largely in-line with the T7 year average.

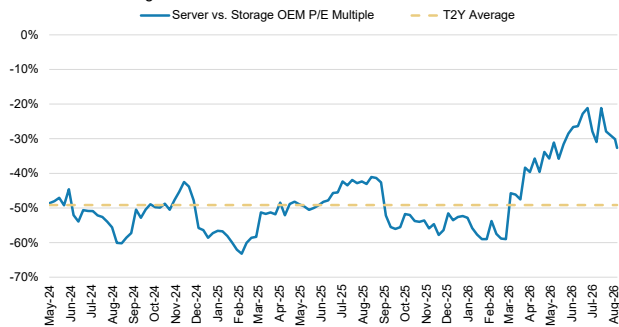
Next Fiscal Year P/E vs. History (T7 Year Average)



Source: Factset, Morgan Stanley Research. Note: Server OEM average includes DELL & HPE and Storage OEM average includes P & NTAP

**Exhibit 55:** Server OEMs trade at an average ~30% discount to storage OEMs today, well above the historical levels.

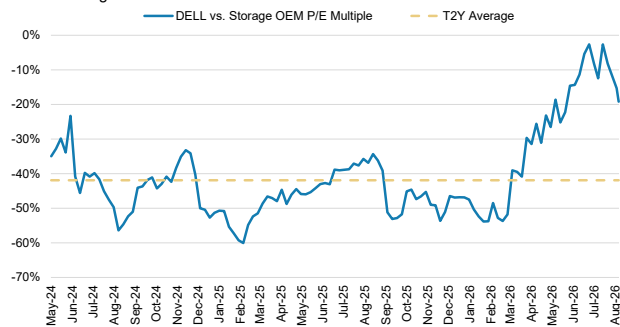
Server OEM vs. Storage OEM Next Fiscal Year P/E



Source: Company Data, Factset, Morgan Stanley Research. Note: Server OEMs include DELL and HPE while Storage OEMs include P and NTAP.

**Exhibit 56:** This dynamic is even more evident when isolating DELL which trades at only a 19% discount to P and NTAP vs. a ~40% discount historically.

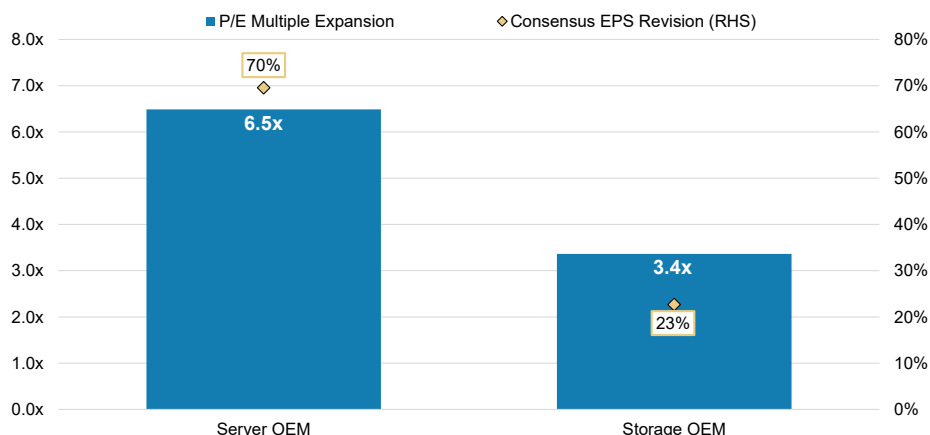
DELL vs. Storage OEM Next Fiscal Year P/E



Source: Company Data, Factset, Morgan Stanley Research. Storage OEMs include P and NTAP.

**Exhibit 57:**

We are yet to see the same degree of multiple expansion and positive estimate revisions for Storage OEMs compared to Server OEMs.

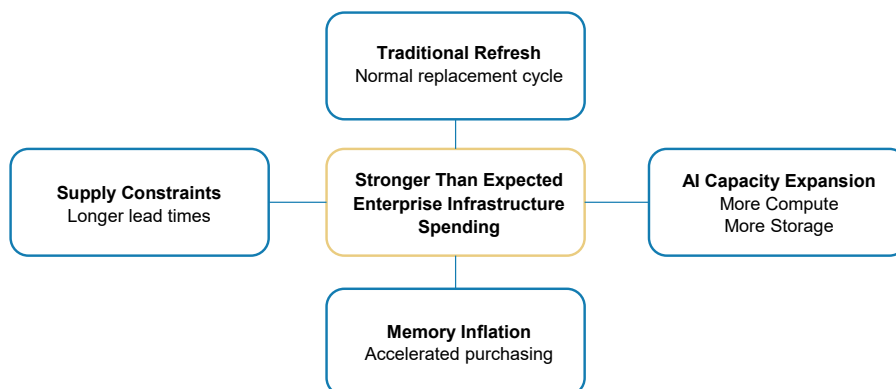
**Average P/E Multiple Expansion vs. Consensus EPS Revisions (YTD)**

Source: Factset, Morgan Stanley Research. Note: Server OEM average includes DELL & HPE and Storage OEM average includes P & NTAP

**(+/-) Enterprise Servers – The most pricing upside, pull-forward, and atypical margin capture near-term, though cyclical risk entering 2027/2028.** Enterprise server demand has extended beyond a traditional refresh cycle, with survey work pointing to incremental capacity expansions for AI, data center modernization, demand for richer configurations, and deferred replacement activity. However, purchasing pull-forward is clearly contributing to current demand inelasticity, and nearly ~80% of CIOs expect their General Server budgets to flatten or flip negative within the next 3 years, which indicates more cyclical rather than secular tailwinds going forward. So on one hand, demand inelasticity, materially higher pricing capture, and margin stacking (i.e. charging customers a margin on higher memory costs) should support more next 6-12 month upside to Consensus EPS than any other non-Cloud market we cover. However, on the other hand, we see risk that the server cycle is well above historical run rates, and with the majority of AI workloads in the cloud – and moving further into the cloud – we don't believe any enterprise AI infrastructure buildout is secular in nature, meaning we see more cyclical risk to the Server cycle than in Storage ([Exhibit 58](#)).

**Stocks Related To This Theme: OW-rated Lenovo (largest Asia-based Server OEM), EW-rated DELL (largest global server OEM), and OW-rated HPE (upgrade to OW from EW).**

**Exhibit 58:** Enterprise infrastructure demand is being driven by more than just traditional refresh needs.



Source: Morgan Stanley Research

**(-/=) PCs - Where we are most cautious.** PCs remain the area most exposed to elevated demand elasticity, weaker pricing power and budget normalization given (1) half the market is exposed to consumer spending where upgrades are more irregular and pricing sensitivity is greater, (2) the majority of the Windows 11 cycle is behind us, (3) PCs have greater demand elasticity than Storage/Servers, and (4) memory is underallocated to PCs. Survey respondents consistently identify PCs as the first hardware category where enterprise budgets are expected to flatten or decline Y/Y; in fact we're already seeing units decline as evidenced by 2Q PC shipments falling 5% Y/Y. We expect PC revenue to continue to grow in CY26 (due to higher ASPs) but we believe something will crack in the PC market in the next 12-16 months, either units/demand, pricing, and/or margins.

**Stocks Related To This Theme:** OW-rated **Lenovo** (largest Asia-based PC OEM), EW-rated **DELL** (largest commercial PC OEM by % mix), UW-rated **HPQ** (#2 PC vendor in the world), and UW-rated **LOGI** (world's largest PC peripherals vendor).

**Beyond our Global OEM coverage, we continue to view VARs and IT distributors as another attractive way to gain exposure to the enterprise infrastructure spending cycle.** Unlike OEMs, whose results are more directly influenced by component costs and product mix, distributors/VARs such as **SNX (OW)** and **CDW (OW)** are primarily leveraged to the volume and value of enterprise infrastructure deployments. As enterprise customers increasingly accelerate procurement, expand compute capacity and modernize data center infrastructure, we believe both companies are well positioned to benefit from more durable demand, a richer mix of higher-value enterprise solutions, including servers, storage and networking, and higher price realization. Both names also have a sort of special situation attached to them: OW-rated CDW trading at multi-year lows, while OW-rated SNX has strategic optionality in its Hyve contract manufacturing business.

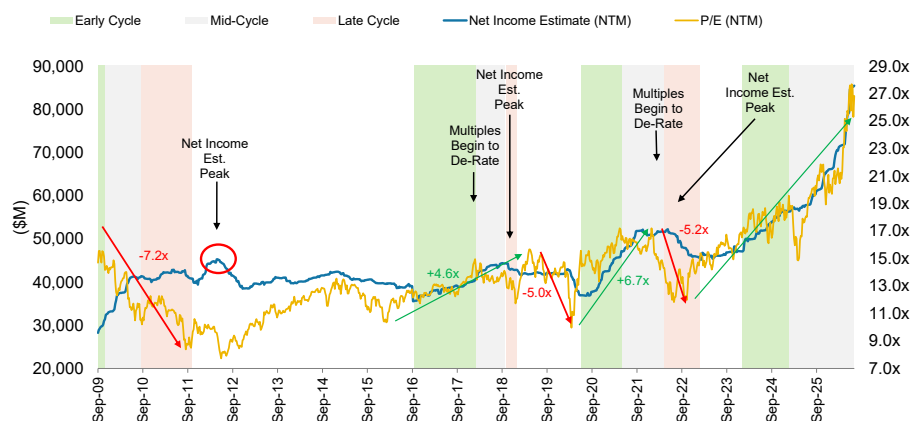
# Putting Hardware Valuations In Context

**While we are raising our Industry View to 'In-Line' (from Cautious) and upgrading HPE (to OW), Pure Storage (to OW) and NetApp (to EW), we believe it is equally important to provide context around valuation.** Our Hardware coverage has appreciated more than 100% since the beginning of 2025, with much of the enterprise infrastructure group now trading at or near all-time valuation highs. Importantly, our more constructive industry outlook does not imply every stock offers the same risk/reward from here. Rather, our survey work, supply chain checks and channel conversations increase our conviction in the durability of enterprise infrastructure demand over the next 6-12 months, while simultaneously reinforcing that many of today's strongest demand drivers remain cyclical. As a result, we believe investors should remain constructive, but also selective.

**Are we at the peak?** Unlike semiconductors, where multiples often expand ahead of earnings and compress as estimates catch up, much of our coverage historically trades to peak earnings on peak multiples and trough earnings on trough multiples. In other words, valuation typically follows the earnings cycle rather than anticipating it. Today's premium valuations therefore largely mirror prior Hardware upcycles and continue to be supported by strong earnings revisions and historically high estimate revision breadth across the group (Exhibit 59 and Exhibit 60). Nevertheless, history also suggests these periods are temporary. Hardware valuations typically touch peak multiples – they rarely sustain them – as estimate revisions eventually slow and investors begin discounting the next phase of the cycle. That framework reinforces our more positive earnings outlook, while also arguing for greater valuation discipline as the cycle matures.

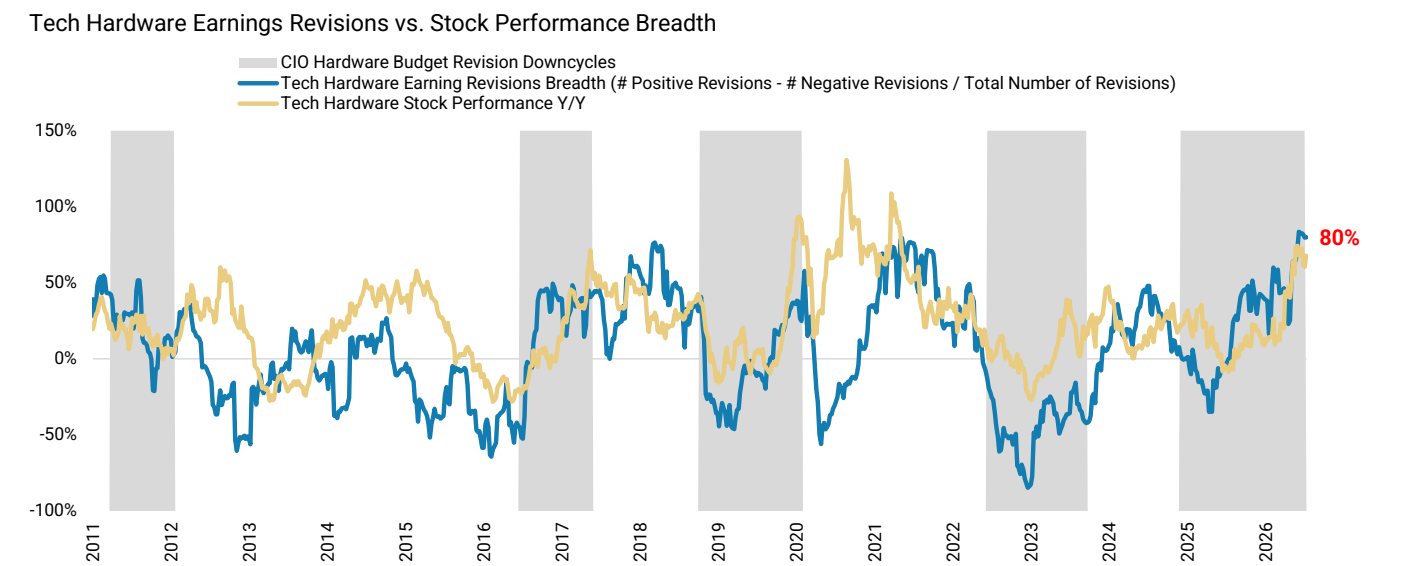
**Exhibit 59:** Tech hardware stocks now trade at ~27x P/E, up 7x turns from the beginning of the year.

Hardware ex-AAPL Net Income Estimates vs. P/E



Source: Factset, Haver, Morgan Stanley Research

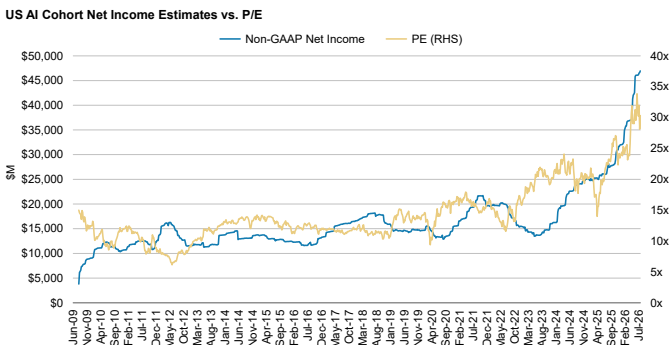
**Exhibit 60:** Tech hardware earnings revision breadth stands at +80% today, above the peak in prior cycles.



Source: Factset, Morgan Stanley Research

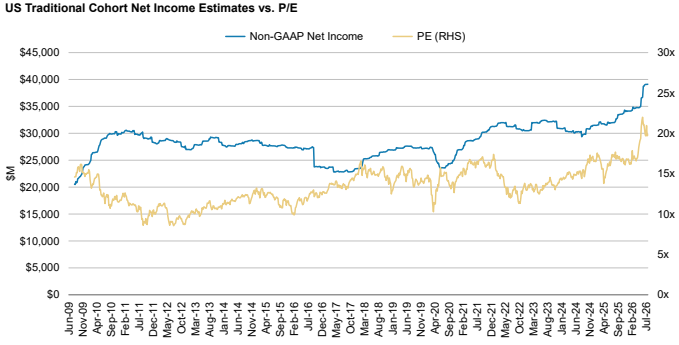
**Breaking the group into AI beneficiaries vs. traditional Hardware companies with little AI exposure further illustrates where we see the best opportunities.** The AI cohort has experienced the most significant combination of earnings revisions and multiple expansion since April 2025. We continue to believe estimates can move higher for several of these companies, but absent a durable structural change in earnings power, we become increasingly cautious underwriting further multiple expansion from already elevated levels. By comparison, several traditional Hardware names have benefited from improving fundamentals and positive estimate revisions without experiencing the same degree of re-rating ([Exhibit 61](#) - [Exhibit 64](#)). In our view, this is where valuation asymmetry remains most attractive, particularly where cyclical upside is complemented by an improving structural narrative.

**Exhibit 61:** US AI hardware stocks now trade at over ~30x P/E, with N12M net income estimates at record highs...



Source: Company Data, Factset, Morgan Stanley Research

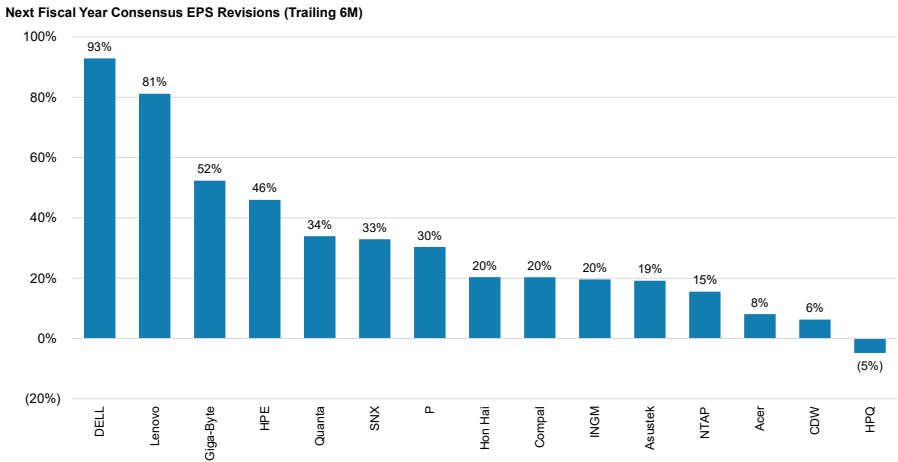
**Exhibit 62:** ...compared to US-based traditional hardware stocks at ~20x P/E.



Source: Company Data, Factset, Morgan Stanley Research

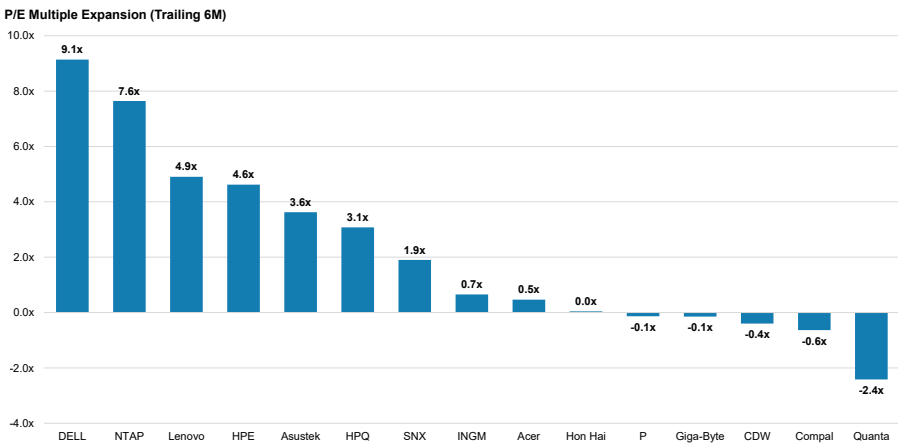
Exhibit 63:

Server OEMs and ODMs have seen more material upward revisions to next fiscal year EPS over the last 3 months.



Source: Factset, Morgan Stanley Research.

Exhibit 64: Similarly, DELL and NTAP have materially re-rated over the last 3 months, while peers have only re-rated modestly.

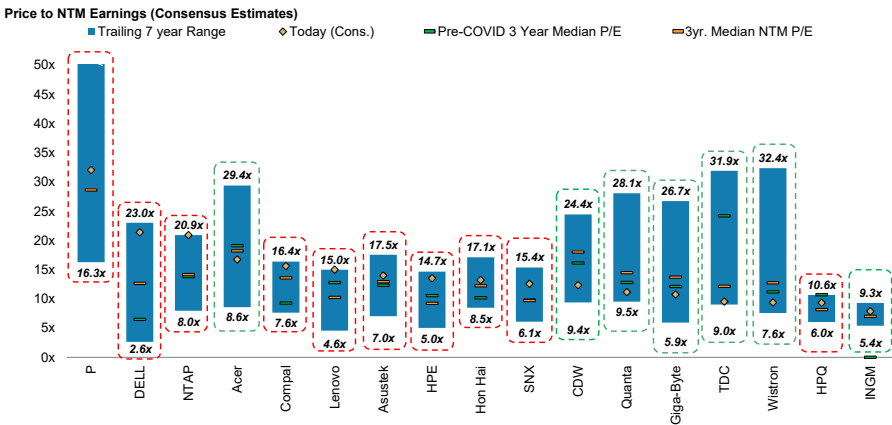


Source: Factset, Morgan Stanley Research.

That framework also shapes our stock preferences within enterprise infrastructure.

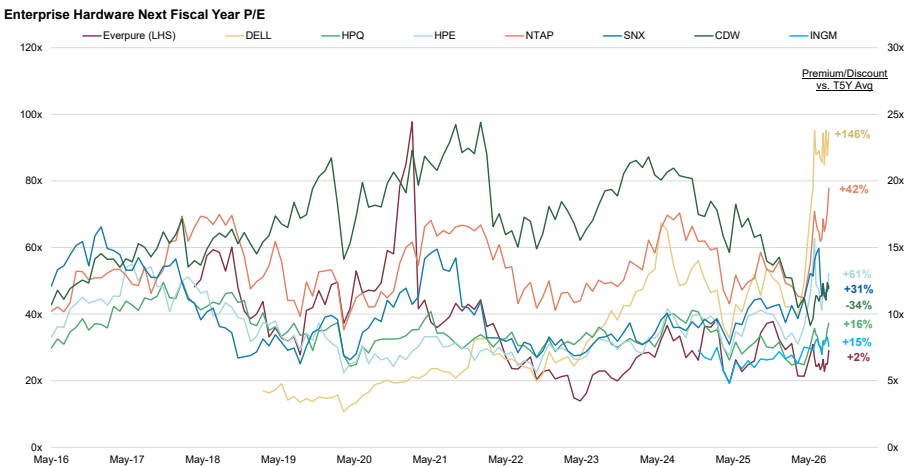
Over 50% of our enterprise hardware coverage (OEMs + channel partners) now trades above its trailing three-year median valuation, reflecting the broad re-rating already seen across the group. Names such as DELL and NTAP are now trading near valuation highs (Exhibit 65). While we continue to see upside to estimates for both companies, we believe much of the current investment tailwind remains cyclical, warranting greater valuation sensitivity. Conversely, P, HPE, SNX and CDW continue to stand out more favorably. P (Everpure) combines relatively undemanding valuation with what we believe is the longest-duration infrastructure opportunity (storage). HPE offers improving enterprise server fundamentals alongside a structural Networking re-rating opportunity. SNX remains our preferred Distributor/VAR beneficiary given its unique exposure across both hyperscale and enterprise capex, while CDW continues to trade at a material discount to history despite improving enterprise infrastructure fundamentals and significant operating leverage potential (Exhibit 66 - Exhibit 68).

**Exhibit 65:** 10 out of 17 enterprise infrastructure exposed companies in our coverage are trading at or above their 3 year median P/E.



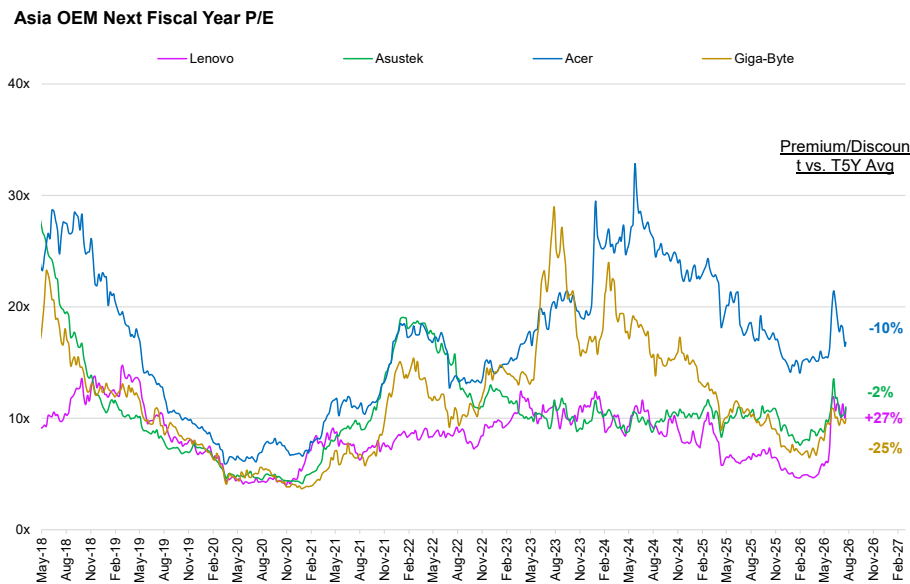
Source: Factset, Morgan Stanley Research

**Exhibit 66:** Of our enterprise infrastructure exposed companies, DELL trades at the greatest premium vs. history while CDW trades at the greatest discount vs. history.



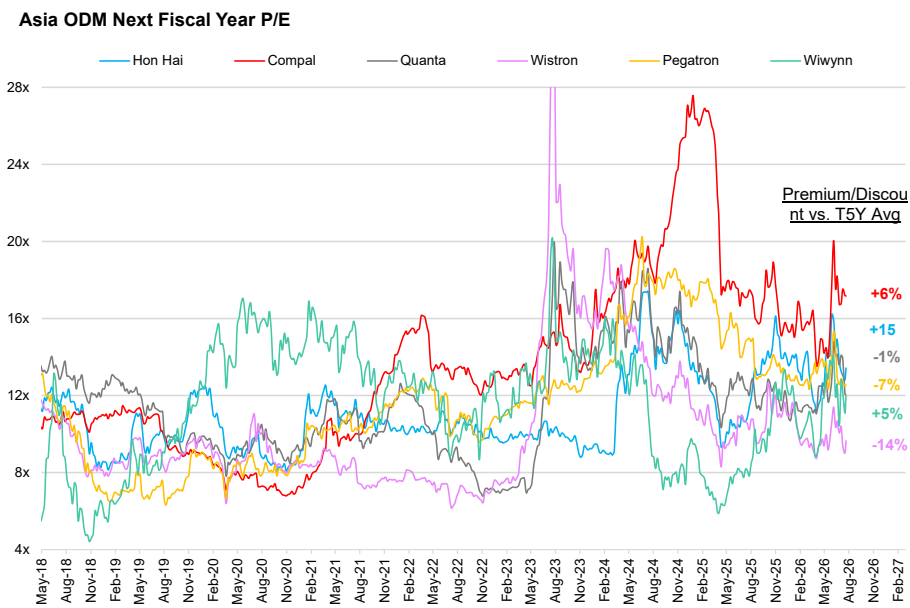
Source: Company Data, Factset, Morgan Stanley Research

**Exhibit 67:** Within our Asia OEM coverage, Lenovo trades at the greatest premium vs. history, while Giga-Byte trades at the greatest discount vs. history..



Source: Company Data, Factset, Morgan Stanley Research.

**Exhibit 68:** Within our Asia ODM coverage, Hon Hai trades at the greatest premium vs. history, while Wistron trades at the greatest discount vs. history..

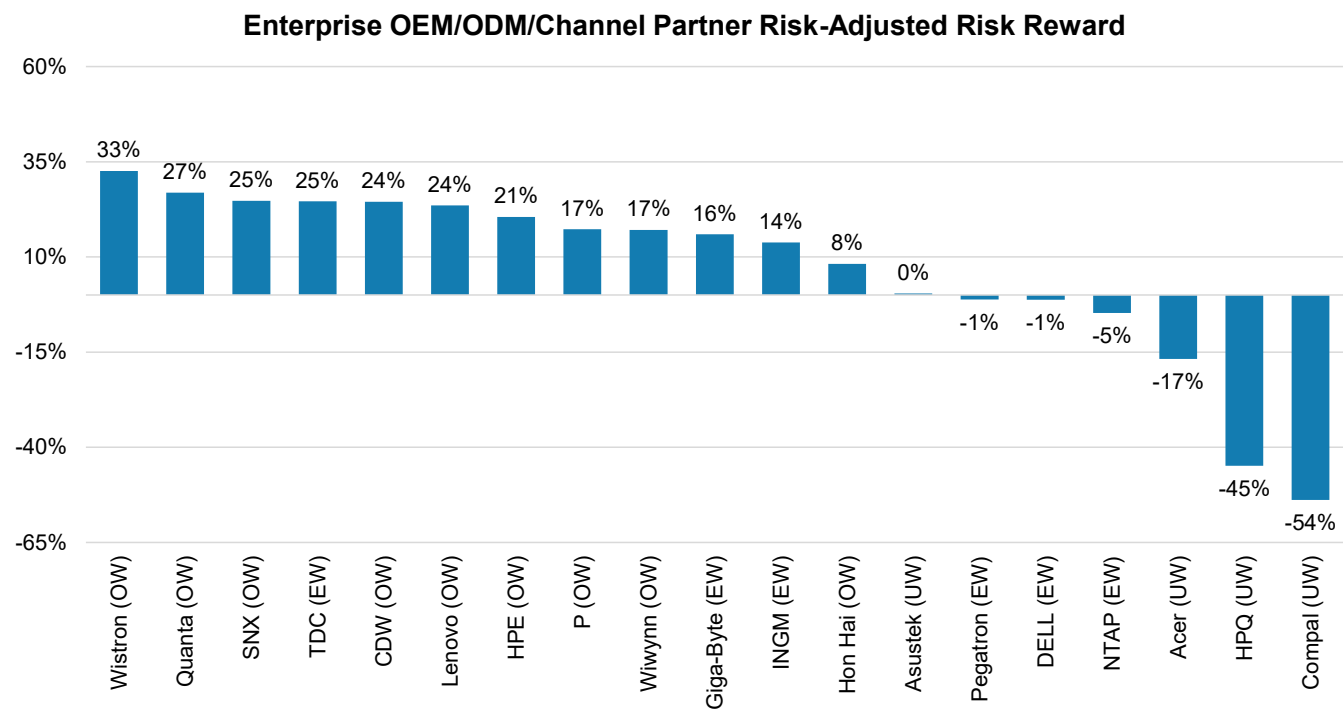


Source: Company Data, Factset, Morgan Stanley Research.

**Ultimately, we believe the enterprise infrastructure trade still has further to run.** Our survey work, supply chain checks and channel conversations continue to support stronger enterprise infrastructure spending through 2026 and likely into 2027. However, the same survey work also makes clear that much of today's upside reflects refresh activity, purchasing pull-forward and budget reprioritization, tailwinds that are powerful, but inherently cyclical. Combined with the significant outperformance and broad multiple

expansion already seen across Hardware, we believe the investment framework should now shift from owning the entire trade to owning the right parts of the trade. That underpins both our industry upgrade to 'In-Line' and our increasingly selective positioning, with a preference for companies where estimate upside remains meaningful, valuation has yet to fully adjust and structural change provides a more durable foundation for multiple expansion.

**Exhibit 69:** We have an average +7% risk-adjusted risk reward skew for our OW OEM, ODM and VAR/Disty coverage.



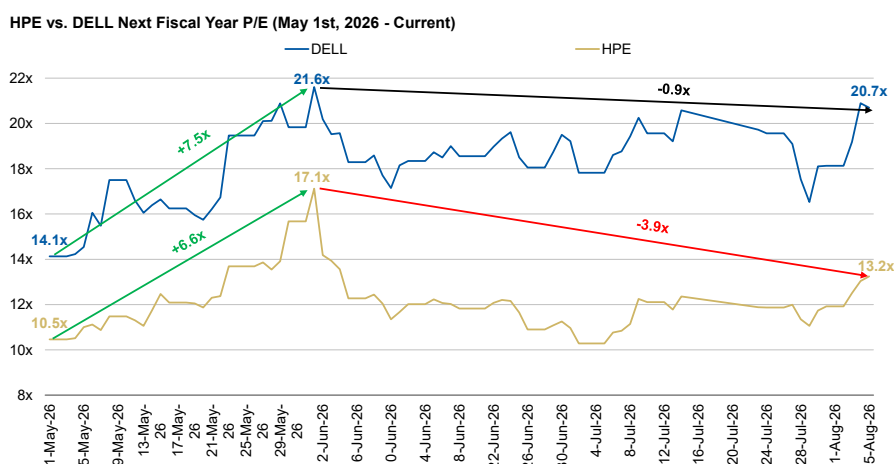
Source: Factset, Morgan Stanley Research. Risk-adjusted risk reward is calculated by taking the average up/downside to our bull, base and bear valuations divided by the spread between the upside to our bull and downside to our bear valuations.

# HPE: Upgrading to Overweight – Our Preferred OEM To Play Enterprise Infrastructure Spending Strength At A Reasonable Valuation

**We upgrade HPE to Overweight (from Equal-weight) as our preferred way to play the enterprise infrastructure cycle.** While we are more constructive on enterprise infrastructure spending over the next 12 months, not all beneficiaries offer the same risk-reward. While DELL remains the purest beneficiary of server strength of our OEM coverage, much of the earnings and valuation re-rating has already occurred. By comparison, HPE has given back ~60% of the multiple re-rating it saw post April quarter earnings and once again trades at a meaningful discount to peers despite offering similar favorable exposure to enterprise compute dynamics while providing incremental upside from networking, which we believe is underappreciated today ([Exhibit 70](#)).

At the same time, we continue to see upside to Consensus server, storage and networking estimates, with our networking checks becoming increasingly constructive as Aruba and Juniper momentum improves. Beyond the near-term earnings opportunity, improving free cash flow conversion, faster-than-expected deleveraging, increasing capital return optionality and a growing mix of higher-growth, higher-margin networking earnings support a more constructive medium-term outlook. Execution remains the key risk, but with legacy selling pressure largely behind us and networking increasingly becoming a catalyst for multiple expansion, we believe HPE now offers one of the best risk/rewards among our US enterprise infrastructure OEMs. As a result, we upgrade HPE to Overweight (from Equal-weight) with a new \$69 price target (vs. \$71 prior).

**Exhibit 70:** HPE has given back ~60% of the multiple expansion it saw post April quarter earnings, while Server OEM peer DELL has largely maintained it.



Source: Company data, FactSet, Morgan Stanley Research

**Our enterprise infrastructure checks continue to strengthen, and HPE remains a direct beneficiary.** Enterprise server demand is benefiting from a unique combination of refresh activity, supply-constrained pull-forward, infrastructure modernization, and elevated prioritization of compute spending – all at materially higher prices – leading us to raise

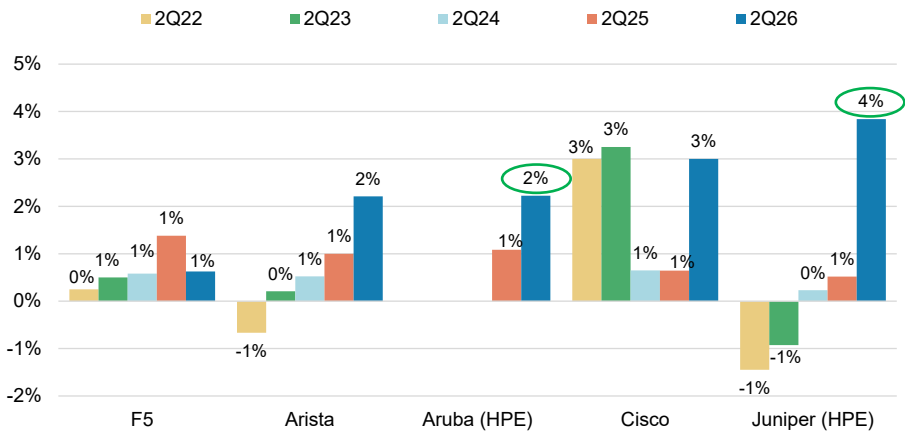
our FY26-FY27 server revenue forecasts for HPE by 2-11%, driven primarily by pricing upside rather than materially higher unit assumptions. While we continue to see greater absolute upside to DELL's server estimates given its larger AI server exposure, HPE should benefit from many of the same enterprise infrastructure tailwinds, including stronger traditional server demand, improving storage trends and durable pricing. We leave our FY26 storage forecast largely unchanged, but increase our FY27 storage revenue forecast by 2%, reflecting our increasingly constructive view on storage as the cycle progresses. As outlined earlier in this report, our survey work suggests storage offers the longest runway for infrastructure spending, with less evidence of purchasing pull-forward and stronger spending expectations into 2027. In our view, HPE offers exposure to both strength in servers over the next ~6 months and an increasingly favorable storage backdrop over the medium term, while trading at a substantially more attractive valuation than peers.

**Beneficiary of accelerating networking demand.** Recent channel checks, enterprise survey work and discussions with management all point to a strengthening networking demand backdrop, supported by campus refresh, data center modernization and AI infrastructure deployments. More importantly, our HPE-specific checks have turned more constructive. Results from our 2Q26 Networking VAR Survey screen positive for HPE, with Juniper (acquired by HPE in July 2025) net spending intentions stepping up to +4% (vs. 0.5% last year), ~140bps above the group average and the highest reading in survey history, while HPE Aruba net spending intentions also inflected higher, to +2% (vs. 1% last year; [Exhibit 71](#)). Furthermore, our recent channel checks point to strengthening pipeline activity and improving customer engagement post Juniper acquisition. In fact, an increasing percentage of legacy Juniper customers expect to consolidate networking purchases through the combined HPE platform in the future, underscoring the power of the combined networking portfolio (Aruba-Juniper; [Exhibit 72](#)).

Reflecting these trends, we now model pro forma networking revenue growth of 13% Y/Y in FY26 (vs. prior MSe at 12% and above mgmt's +10% Y/Y guidance) and 13% Y/Y in FY27 (~2 points above our prior 11% Y/Y forecast and slightly above the top-end of mgmt's 8-12% guidance range). Beyond the stronger topline outlook, networking should continue to become a more meaningful contributor to operating profit, higher margins, cost synergies and operating leverage, while providing a longer-duration growth engine than the core server business.

**Exhibit 71:** Between Juniper and Aruba, HPE is expected to see the greatest acceleration of all Networking vendors in spending growth this year.

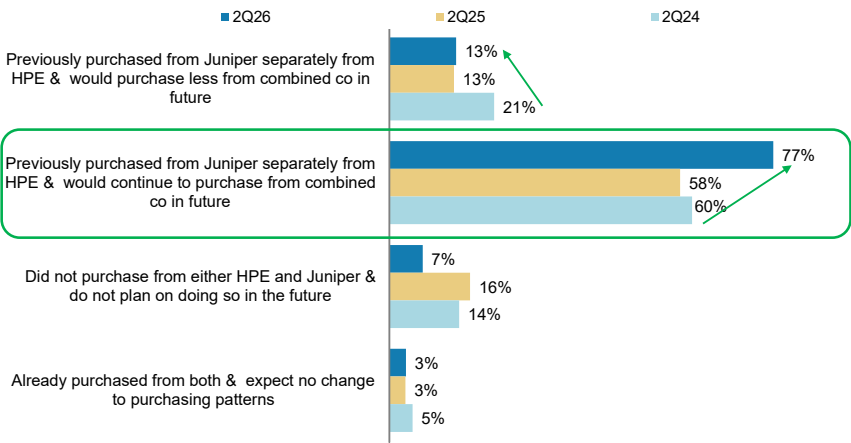
Networking Domain Expert Vendor Net Spending Intentions (This Year)



Source: AlphaWise n=30 (US and EU data), Morgan Stanley Research. \*Please note that we changed our VARs panel vendor in 2Q24, which means comparisons with prior VARs surveys could face possible comparability issues

**Exhibit 72:** Per our 2Q26 Networking VAR survey, 77% of legacy Juniper customers expect to consolidate networking purchases through the combined HPE platform in the future, up from 58% a year ago.

Future Consideration for Consolidating Spend Among Past HPE/Juniper User



Source: AlphaWise n=30 (US and EU data), Morgan Stanley Research. \*Please note that we changed our VARs panel vendor in 2Q24, which means comparisons with prior VARs surveys could face possible comparability issues

**FCF generation is improving, with a path to greater shareholder returns.** Alongside stronger enterprise infrastructure demand, HPE's cash generation continues to inflect positively, supported by higher operating profit, improving working capital and accelerating Juniper cost synergies, with management raising its FY26 free cash flow outlook to at least \$3.5B and reiterating at least \$4.5B in FY27, equivalent to ~72% FCF conversion. Importantly, de-leveraging is tracking ahead of plan, with net leverage now expected to fall below the 2.0x threshold by the end of FY26, one year earlier than originally anticipated. In our view, this is an underappreciated catalyst. Once this leverage target is achieved (exiting FY26 and entering FY27), mgmt expects to return 75%+ of FCF to shareholders through dividends and share repurchases, increasing capital return

optionality while reinforcing confidence in the durability of the business.

**Shift to higher-growth and margin networking commands higher multiple.** We believe the market continues to undervalue the power of HPE's combined networking business following the Juniper acquisition. For instance, with the stock currently trading at ~12x P/E, assuming an 11x P/E multiple on HPE's non-networking business – a 1x turn discount to traditional enterprise hardware peers in-line with the historical discount HPE has traded at – it would imply the market is ascribing a ~14x P/E on the Networking business, a ~10x turn discount to Networking peers ([Exhibit 74](#)).

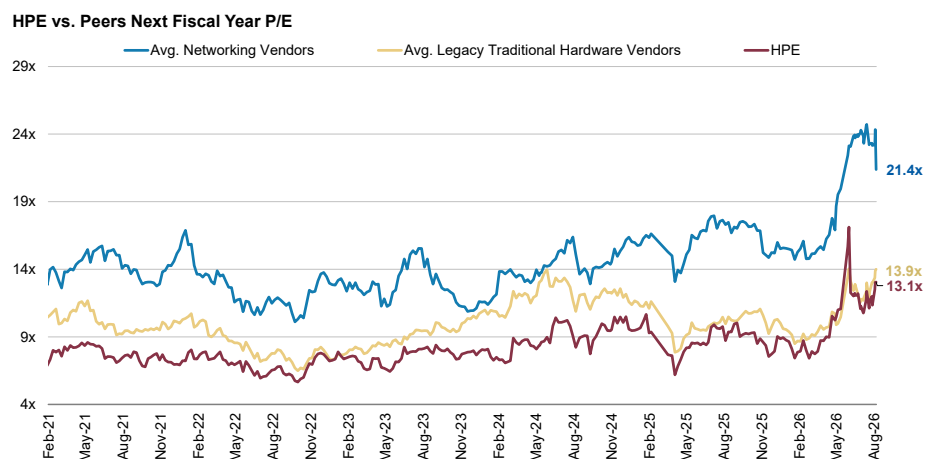
HPE's profitability mix shifting more to networking should warrant a higher multiple. With core networking peers trading at over ~20x P/E vs. HPE currently at ~12x despite 40%+ of earnings expected to come from the networking business, we see room for multiple expansion. Assuming an 18x P/E multiple on HPE's networking business and a 12.5x P/E multiple on HPE's non-networking business (a 0.5x turn discount to traditional enterprise hardware peers) – both conservative assumptions – implies a blended P/E multiple of 15x ([Exhibit 75](#)), which becomes our new target multiple supporting our \$69 price target, with our new bull case valuation now standing at \$91, or 18x bull case FY27 EPS of \$5.04 and our bear case valuation at \$33, or 9x bear case FY27 EPS of \$3.67.

**Exhibit 73:** Our FY26/FY27 revenue and EPS move 1-10% higher, primarily a function of a stronger server and network outlook.

| HPE: MSe vs. Consensus<br>(\$ Millions) | FY26E           |                 |               |                 |                 | FY27E           |                 |               |                 |                 |
|-----------------------------------------|-----------------|-----------------|---------------|-----------------|-----------------|-----------------|-----------------|---------------|-----------------|-----------------|
|                                         | MSe<br>New      | MSe<br>Old      | %<br>Change   | Cons.           | MS vs.<br>Cons. | MSe<br>New      | MSe<br>Old      | %<br>Change   | Cons.           | MS vs.<br>Cons. |
| <b>Total Revenue</b>                    | <b>\$46,316</b> | <b>\$45,994</b> | <b>0.7%</b>   | <b>\$45,027</b> | <b>2.9%</b>     | <b>\$54,148</b> | <b>\$51,778</b> | <b>4.6%</b>   | <b>\$50,310</b> | <b>7.6%</b>     |
| Networking                              | 11,507          | 11,422          | 0.7%          | 11,371          | 1.2%            | 13,013          | 12,706          | 2.4%          | 12,567          | 3.5%            |
| Cloud & AI                              | 33,713          | 33,476          | 0.7%          | 32,405          | 4.0%            | 40,034          | 37,970          | 5.4%          | 36,207          | 10.6%           |
| Servers                                 | 24,854          | 24,440          | 1.7%          |                 |                 | 31,056          | 28,025          | 10.8%         |                 |                 |
| Storage                                 | 4,626           | 4,670           | -0.9%         |                 |                 | 4,820           | 4,739           | 1.7%          |                 |                 |
| <b>Gross Margin (%)</b>                 | <b>35.7%</b>    | <b>35.8%</b>    | <b>-7 bps</b> | <b>36.3%</b>    | <b>-62 bps</b>  | <b>35.1%</b>    | <b>35.1%</b>    | <b>1 bps</b>  | <b>35.7%</b>    | <b>-67 bps</b>  |
| <b>Non-GAAP Operating Margin (%)</b>    | <b>13.9%</b>    | <b>13.5%</b>    | <b>42 bps</b> | <b>13.8%</b>    | <b>11 bps</b>   | <b>15.0%</b>    | <b>14.5%</b>    | <b>51 bps</b> | <b>14.4%</b>    | <b>55 bps</b>   |
| <b>Non-GAAP EPS</b>                     | <b>\$3.59</b>   | <b>\$3.45</b>   | <b>4.1%</b>   | <b>\$3.43</b>   | <b>4.7%</b>     | <b>\$4.58</b>   | <b>\$4.17</b>   | <b>9.8%</b>   | <b>\$4.05</b>   | <b>13.2%</b>    |

Source: Company data, FactSet, Morgan Stanley Research estimates

**Exhibit 74:** HPE currently trades at ~14x P/E, well below networking peers and more in-line with traditional hardware peers.



Source: Factset, Company Data, Morgan Stanley Research. Networking peers includes CSCO, FFIV & EXTR. Legacy Traditional Hardware peers includes DELL, HPQ, and NTAP.

**Exhibit 75:** Our ~15x P/E multiple implies HPE's networking business trades at 18x, while HPE's non-networking hardware business trades at 12.5x, a ~0.5x discount to traditional hardware peers.

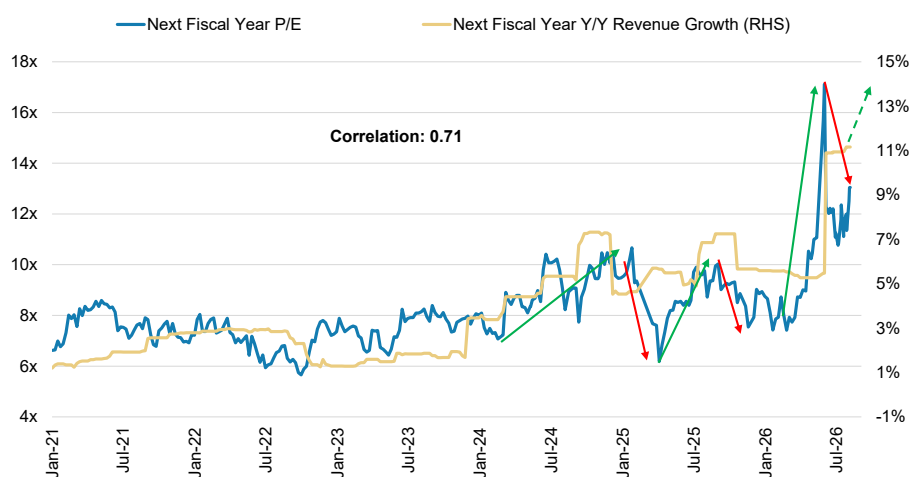
| HPE                         |       |              |                       |
|-----------------------------|-------|--------------|-----------------------|
|                             | % Mix | P/E Multiple | Weighted P/E Multiple |
| Networking                  | 42%   | 18.0x        | 7.6x                  |
| Non-Networking              | 58%   | 12.5x        | 7.2x                  |
| <b>Blended P/E Multiple</b> |       |              | <b>15.0x</b>          |
| FY27 EPS                    |       |              | \$4.58                |
| <b>Price Target</b>         |       |              | <b>\$69</b>           |
| % Upside                    |       |              | 32%                   |

Source: Company Data, Morgan Stanley Research estimates

Furthermore, history shows that for HPE, accelerating topline growth is the key factor that typically drives a multiple re-rating. Our historical analysis of valuation drivers shows that for HPE, the metric most highly correlated with valuation in recent years is Y/Y revenue growth, meaning that accelerating growth is a tailwind to valuation, and vice versa (Exhibit 76). This supports our Overweight thesis as the Juniper acquisition expands HPE's Networking business, a generally faster growing segment of the market vs. traditional hardware. We forecast HPE compounding revenue at a 26% CAGR through FY27, inclusive of inorganic contributions, an acceleration from ~1% annual revenue growth from FY17-FY24.

**Exhibit 76:** HPE's valuation expands alongside accelerating revenue growth.

**HPE Valuation History vs. Y/Y Revenue Growth**



Source: Factset, Morgan Stanley Research

**What are the risks to our OW thesis?** We see 5 key risks: First, everything hinges on the longevity and durability of enterprise server demand and risk of share shift to ODM's, and when accelerated Large Enterprise purchasing ceases. Second, we continue to see risk that enterprise workloads migrate to the public cloud faster than expected, limiting the durability of on-prem server demand once the current infrastructure cycle matures. Third,

our Overweight thesis hinges on mgmt execution, which has been more of a headwind historically. Fourth, the power of the combined HPE Aruba-Juniper Networking portfolio disappoints and HPE loses share. And fifth, HPE is unable to pass through higher component costs to customers and margins take a hit.

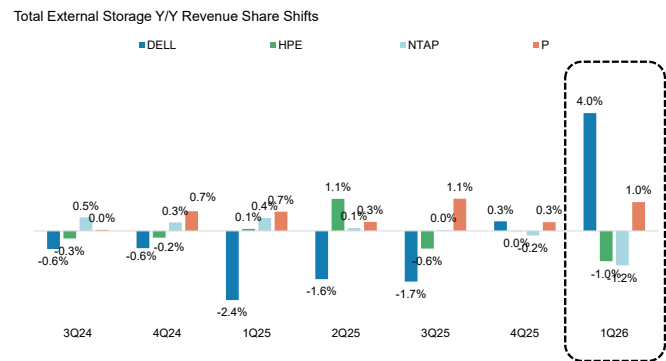
# Everpure (P): Upgrade to Overweight – Attractive Valuation, Hyperscale Optionality

**P continues to gain enterprise storage share, particularly in the high-end segment.**

While investors broadly recognize that P has consistently taken share from competitors, we believe it is noteworthy that this trend has persisted despite industry-wide price increases driven by higher memory costs (Exhibit 77). In our view, P's gains reflect a more measured and predictable pricing strategy relative to peers, combined with its leadership position in high-end enterprise storage. According to IDC, P has continued to expand its share of the external high-end storage market over the past year (Exhibit 78).

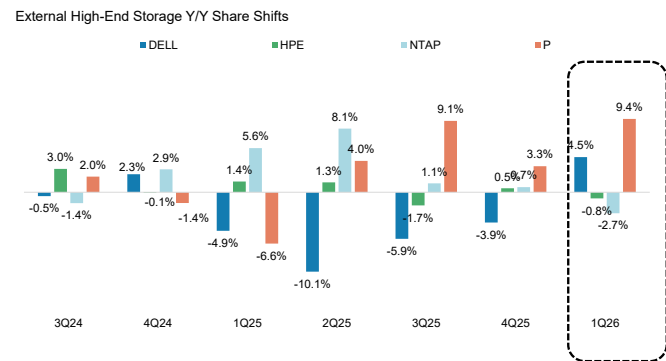
Excluding the benefit from the hyperscale business, management has stated that it intends to operate its core Product segment near the low end of its long-term gross margin target range of 65-70%. We also believe P's superior storage efficiency – which requires less NAND and DRAM to deliver comparable effective capacity relative to competing all-flash solutions – reduces the pricing increases needed to maintain profitability. While this dynamic may not create substantial margin upside in the near term, it should support continued market share gains in the current inflationary environment and further strengthen the company's storage system installed base over time. Combined with an increasingly meaningful hyperscale opportunity, we believe these factors support a sustained valuation premium relative to enterprise storage peers. P now trades at a ~51% premium to its pure-play enterprise storage peer, NTAP – well below its T3Y average premium of ~100% – which we view as an attractive entry point given P's continued share gains in the core business and potential hyperscale catalysts (Exhibit 79).

**Exhibit 77:** P has been consistently gaining share in the enterprise storage market over the past year despite being less aggressive in pricing increases vs. peers.



Source: IDC, Morgan Stanley Research

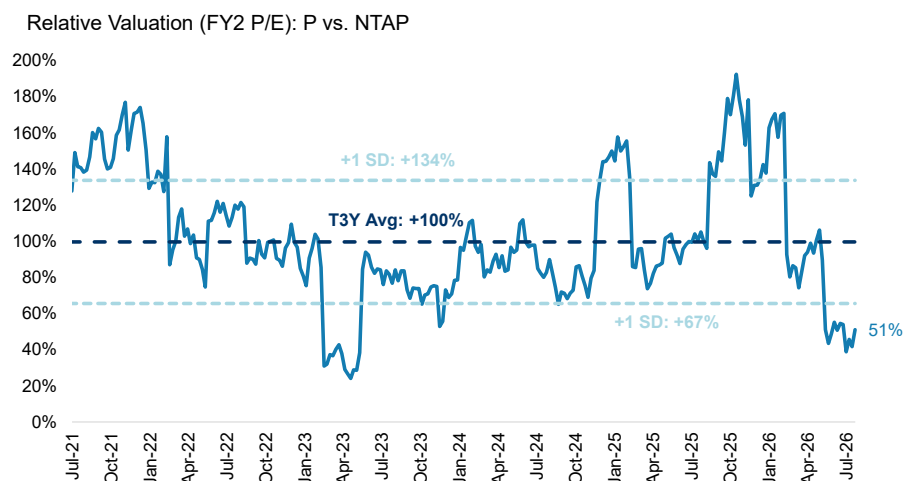
**Exhibit 78:** Notably, P has gained the most share in high-end enterprise storage market, positive to mix-driven ASPs and gross margins.



Source: IDC, Morgan Stanley Research

**Exhibit 79:**

P is now trading more than one standard deviation below its historical relative P/E versus NTAP, which we view as an attractive entry point.



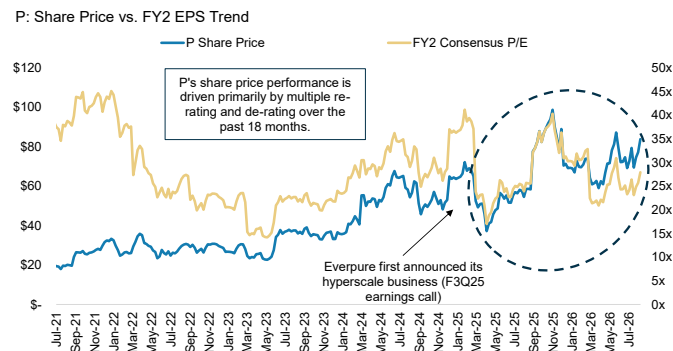
Source: FactSet, Morgan Stanley Research estimates

**P's share price has largely been driven by expectations around a second hyperscaler win.** Since P first announced its hyperscale business, the stock's performance has been driven more by changes in valuation multiples than by fundamentals alone, as evidenced by the high 0.84 correlation between P's share price and its P/E multiple since the F4Q25 earnings call ([Exhibit 80](#)). In our view, two factors have primarily shaped the company's multiple over the past 18 months: (1) investor expectations for the hyperscale business and (2) trends in operating margins ([Exhibit 81](#)).

It has now been more than 18 months since P announced its first hyperscaler design win, META. During that period, investors have repeatedly entered earnings expecting an update on a second hyperscaler customer, only to come away disappointed despite the company delivering 6 consecutive quarters of beat-and-raise results. We believe the persistent gap between investor expectations and management commentary on the hyperscale opportunity has been a key reason the stock has declined by an average of 17% the day after earnings over the past three quarters ([Exhibit 82](#)).

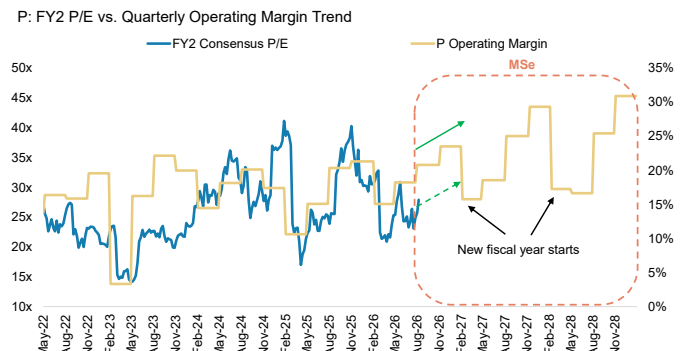
**We view the September 23 Analyst Day as a potential catalyst to the hyperscaler story.** This September 23 Analyst Day (in Santa Clara) differs from the company's annual Pure//Accelerate conference, which is primarily product-focused and geared toward customers and technical audiences. By contrast, the Analyst Day is aimed at the investment community, and we therefore would be surprised if management scheduled such an event without meaningful business progress to discuss. Looking at P's LinkedIn postings, we identified several recent job openings tied to hyperscale-related initiatives (see [here](#), [here](#), and [here](#)). Taken together, these signals suggest that P may have already secured a second hyperscale customer, or could be close to securing one. As the company expands relationships across multiple hyperscale accounts, it may become increasingly willing to provide investors with additional detail regarding the trajectory and long-term opportunity of the business. That said, we do not expect management to disclose significant new information on the upcoming F2Q27 earnings call – questions related to hyperscale progress are explicitly deferred to the September Analyst Day instead.

**Exhibit 80:** P's share price performance has been dictated primarily by P/E multiple, which is influenced by expectations on its hyperscale business.



Source: FactSet, Morgan Stanley Research

**Exhibit 81:** P's P/E also has been tracking its historical operating margin trends, which we believe will go higher in the rest of FY27.

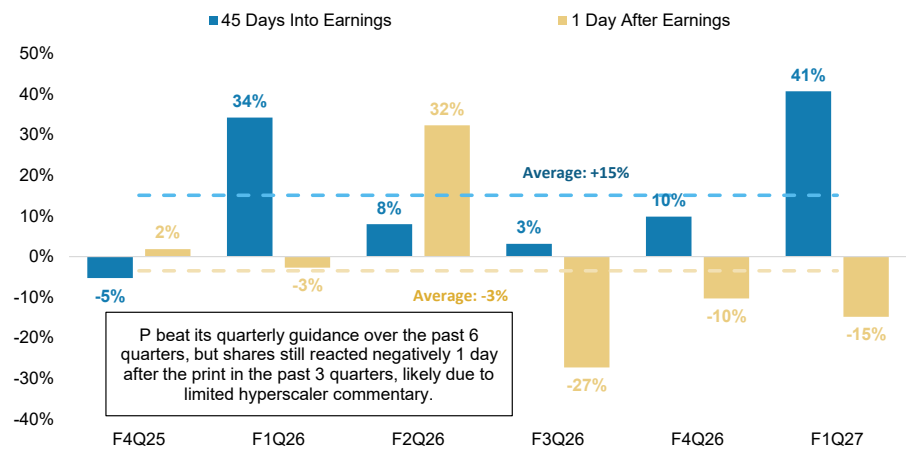


Source: Company data, FactSet, Morgan Stanley Research estimates

**Exhibit 82:**

P consistently beat the midpoint of its quarterly guidance over the past 6 quarters (and beat/raised its FY26 annual guidance in the past 3 quarters), but shares still reacted negatively post print, likely due to expectation miss on hyperscaler business commentary.

P: Share Price Performance Into/After Earnings



Source: FactSet, Morgan Stanley Research

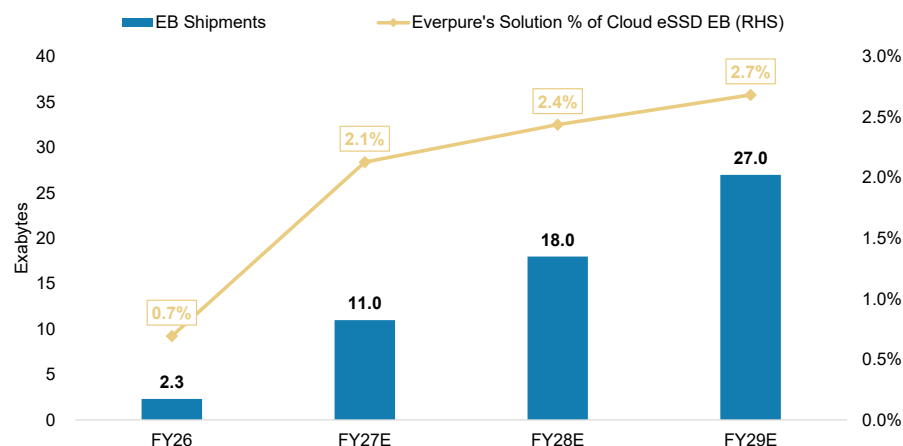
**A potentially accelerating hyperscale business could provide a meaningful tailwind to gross margins, even as memory costs rise.** Management has indicated that the hyperscale business carries gross margins of 75-85%, making it one of the company's most attractive growth vectors. P no longer discloses EB shipment targets following the launch of the business with META as its sole customer. Assuming the previously discussed low-double-digit exabyte target remains achievable, we estimate the hyperscale business would contribute ~\$230M of revenue in FY27/CY26, implying ~\$21 per TB.

Importantly, P's business model with hyperscale customers does not require the company to procure memory components such as NAND or DRAM. Instead, P supplies a subset of lower-cost components, including PCBs (designed by P) and flash controllers (designed in partnership with SIMO). As a result, we believe the business can sustain its attractive 75-85% gross margin profile even as additional customers are onboarded. Over time, as

hyperscale revenue becomes a larger portion of the mix, P's Product revenue seasonality may begin to diverge from historical patterns, especially given the inherently lumpy nature of hyperscale deployments.

**Exhibit 83:** By potentially engaging with multiple hyperscale customers, we expect P's DFM (Direct Flash Module) to make up 2-3% of overall cloud eSSD EBs in the coming years.

P's Hyperscaler EB Shipments



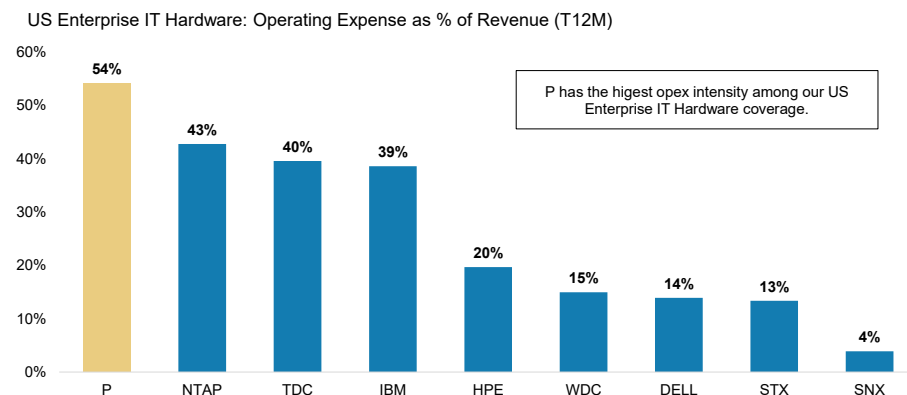
Source: Company data, Morgan Stanley Research estimates

**But rising NAND costs might make QLC-based DirectFlash Module less economically intuitive for hyperscalers' broader adoption.** According to [META's blog post last March](#), the biggest selling point of QLC NAND for cloud data storage deployment is its better power efficiency and higher storage density compared to HDDs for specific workloads, as opposed to cost savings. However, given the significant rise in memory pricing, it's unclear to us if hyperscalers' – including META's – willingness to adopt QLC NAND remains the same. This is notable because META highlighted in the same blog post that *"while today QLC is lower in cost than TLC, it is not yet price competitive enough for a broader deployment,"* and NAND prices didn't start to surge until September last year. For what it's worth, SIMO mentioned on its latest earnings call (July 30, 2026) that *"our new eSSD business entered commercial production in the second quarter with two Tier 1 customers"* and we believe one of them is a flash controller project for P for META. So while publicly available information would point to a possible 2nd hyperscaler announcement, we remain cautiously optimistic about P's hyperscale business opportunity and view it more as an upside optionality.

**Finally, we see potential strategic optionality given the presence of a well-known activist in P's ownership base.** Jana Partners originally filed confidentially with the SEC in C1Q26, but by July 2026 it's presence in P's shareholder base was disclosed by Reuters, with ownership estimated at ~1 million shares. Given this represents <5% of shares outstanding, it's not clear what Jana's intentions with P are today (given no 13G or 13D filing is needed), but we see 3 different areas of potential influence change that would be net positive for P shareholders, if they were to occur: **(1) higher shareholder returns** – P has strong FCF and net cash, but pays no dividend and has only opportunistically committed to buybacks – we could see Jana plausibly making a push here (but have no knowledge of any such action); **(2) operating margin expansion** – P spends nearly 50% of

revenue on Opex – at the top of our coverage – this likely has room for more efficiency ([Exhibit 84](#)); and **(3) messaging** – as we alluded to above, P's shares have fallen >15% on average post-earnings in the last 3 quarters not because of fundamental performance but because of a lack of hyperscaler update. Jana could likely be instrumental in helping P enact any of these three initiatives.

**Exhibit 84:** P has the highest opex intensity in our US enterprise IT hardware coverage. Notably, the 4 companies with the highest opex as % of revenue in our coverage all have relatively greater exposure to software.



Source: Company data, Morgan Stanley Research

**We are raising estimates and upgrading the stock to Overweight with a new \$108 price target.** We increase our revenue forecasts by 3-5% across FY27-FY29, reflecting pricing actions, continued share gains, and resilient demand. In our view, enterprise storage remains a relatively high-priority area of IT spending, supporting near-term demand inelasticity despite higher pricing. We are leaving our gross margin estimates largely unchanged, as ongoing cost inflation is expected to be offset by P's more moderate pricing strategy and the growing contribution from the highly margin-accretive hyperscale business ([Exhibit 85](#)). Incorporating slightly higher operating expense assumptions to support a stronger revenue trajectory, our EPS estimates increase by 5-11% across FY27-FY29 and now sit 8-12% above Consensus ([Exhibit 86](#)).

Our new \$108 price target is based on 32.0x FY28 EPS of \$3.37 (vs. our prior \$87 target based on 32x FCF/share of \$2.72). The 28.0x multiple is in line with the company's T3Y average P/E of 27.9x ([Exhibit 87](#)). With a bull-to-bear skew of 1.6x – supported by a \$130 bull-case valuation (35.0x FY28 bull-case EPS of \$3.71) and a \$60 bear-case valuation (21.0x FY28 bear-case EPS of \$2.87) – we believe the risk-reward is now skewed positively and upgrade P to Overweight from Equal-weight.

**Exhibit 85:** We are raising our EPS estimates by 5-11% for FY27-FY29, driven by higher revenue, stable gross margins, and slightly higher opex.

|                       | FY27E         |               |           | FY28E         |               |           | FY29E         |               |            |
|-----------------------|---------------|---------------|-----------|---------------|---------------|-----------|---------------|---------------|------------|
|                       | New           | Old           | Diff.     | New           | Old           | Diff.     | New           | Old           | Diff.      |
| Net Sales             | 4,667         | 4,516         | 3%        | 5,313         | 5,107         | 4%        | 6,093         | 5,811         | 5%         |
| Product               | 2,645         | 2,545         | 4%        | 2,958         | 2,851         | 4%        | 3,265         | 3,201         | 2%         |
| Subscription Services | 2,023         | 1,971         | 3%        | 2,355         | 2,256         | 4%        | 2,828         | 2,610         | 8%         |
| Gross Profit          | 3,319         | 3,207         | 4%        | 3,846         | 3,720         | 3%        | 4,458         | 4,253         | 5%         |
| Operating Profits     | 898           | 856           | 5%        | 1,157         | 1,087         | 6%        | 1,377         | 1,239         | 11%        |
| Profit Before Tax     | 958           | 915           | 5%        | 1,241         | 1,167         | 6%        | 1,497         | 1,351         | 11%        |
| Net Income            | 901           | 861           | 5%        | 1,167         | 1,097         | 6%        | 1,407         | 1,270         | 11%        |
| <b>EPS</b>            | <b>\$2.62</b> | <b>\$2.50</b> | <b>5%</b> | <b>\$3.37</b> | <b>\$3.17</b> | <b>6%</b> | <b>\$4.04</b> | <b>\$3.64</b> | <b>11%</b> |
| Gross Margin          | 71.1%         | 71.0%         |           | 72.4%         | 72.8%         |           | 73.2%         | 73.2%         |            |
| Operating Margin      | 19.2%         | 19.0%         |           | 21.8%         | 21.3%         |           | 22.6%         | 21.3%         |            |
| Net Margin            | 19.3%         | 19.1%         |           | 22.0%         | 21.5%         |           | 23.1%         | 21.9%         |            |

Source: Company data, Morgan Stanley Research estimates

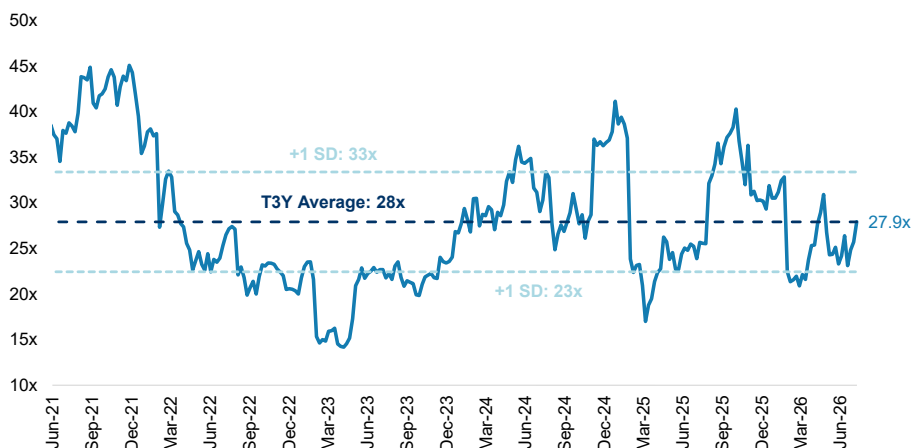
**Exhibit 86:** Our FY27-FY29 EPS estimates are 8-12% higher than Street due to higher revenue, more resilient gross margins, and largely in-line opex.

|                   | FY27E         |               |           | FY28E         |               |            | FY29E         |               |            |
|-------------------|---------------|---------------|-----------|---------------|---------------|------------|---------------|---------------|------------|
|                   | MS            | Cons          | Diff.     | MS            | Cons          | Diff.      | MS            | Cons          | Diff.      |
| Revenue           | 4,667         | 4,488         | 4%        | 5,313         | 5,161         | 3%         | 6,093         | 5,804         | 5%         |
| Gross Profit      | 3,319         | 3,180         | 4%        | 3,846         | 3,706         | 4%         | 4,458         | 4,199         | 6%         |
| Operating Profits | 898           | 813           | 10%       | 1,157         | 1,038         | 11%        | 1,377         | 1,115         | 24%        |
| Profit Before Tax | 958           | 903           | 6%        | 1,241         | 1,125         | 10%        | 1,497         | 1,331         | 12%        |
| Net Income        | 901           | 842           | 7%        | 1,167         | 1,052         | 11%        | 1,407         | 1,245         | 13%        |
| <b>EPS</b>        | <b>\$2.62</b> | <b>\$2.43</b> | <b>8%</b> | <b>\$3.37</b> | <b>\$3.00</b> | <b>12%</b> | <b>\$4.04</b> | <b>\$3.62</b> | <b>12%</b> |
| Gross Margin      | 71.1%         | 70.9%         |           | 72.4%         | 71.8%         |            | 73.2%         | 72.3%         |            |
| Operating Margin  | 19.2%         | 18.1%         |           | 21.8%         | 20.1%         |            | 22.6%         | 19.2%         |            |
| Net Margin        | 19.3%         | 18.8%         |           | 22.0%         | 20.4%         |            | 23.1%         | 21.5%         |            |

Source: Company data, FactSet, Morgan Stanley Research estimates

**Exhibit 87:** P's P/E is now trading at around its T3Y average of 28x, which we view as attractive with earnings upward revisions ahead.

P: FY2 P/E Trend



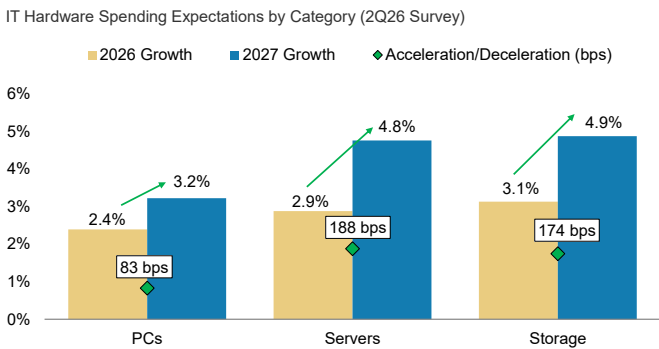
Source: FactSet, Morgan Stanley Research estimates

# NTAP: Upgrade to Equal-weight – Earnings Upside Offsets Valuation Risk

**Our CIO Survey and VAR checks point to an improving enterprise storage spending environment, supporting the earnings outlook for both NTAP and P.** The Hardware specialists surveyed in our June CIO Survey expect storage spending growth to accelerate from 3.1% Y/Y in 2026 to 4.9% Y/Y in 2027 ( [Exhibit 88](#) ), well above the historical average of 3.0% ( [Exhibit 89](#) ). Our VAR checks tell a similar story, indicating a stronger C2Q26 relative to C1Q26 and expectations for further improvement in C3Q26 across nearly all vendors, with HPE the notable exception. Taken together, the data suggest enterprise customers are becoming increasingly willing to invest in storage infrastructure.

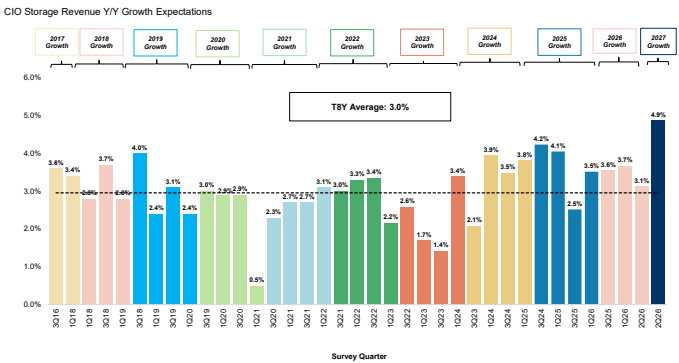
We believe this improving demand backdrop is being driven by several factors, including memory-related supply constraints, ongoing refresh cycles, data center monetization efforts, AI-driven capacity additions, budget pull-forwards, and price realization. While server spending has attracted the bulk of enterprise IT budget attention recently, storage historically lags server cycles by approximately 4-5 quarters on both the downturn and the recovery ( [Exhibit 90](#) ). As a result, we believe the storage spending acceleration is still in its early stages. Consistent with this view, respondents in our CIO Survey identified storage as having the longest runway for growth relative to both servers and PCs ( [Exhibit 91](#) ).

**Exhibit 88:** Hardware domain experts expect spending on servers and storage to accelerate more meaningfully Y/Y in 2027.



Source: AlphaWise n=41 (US and EU data), Morgan Stanley Research

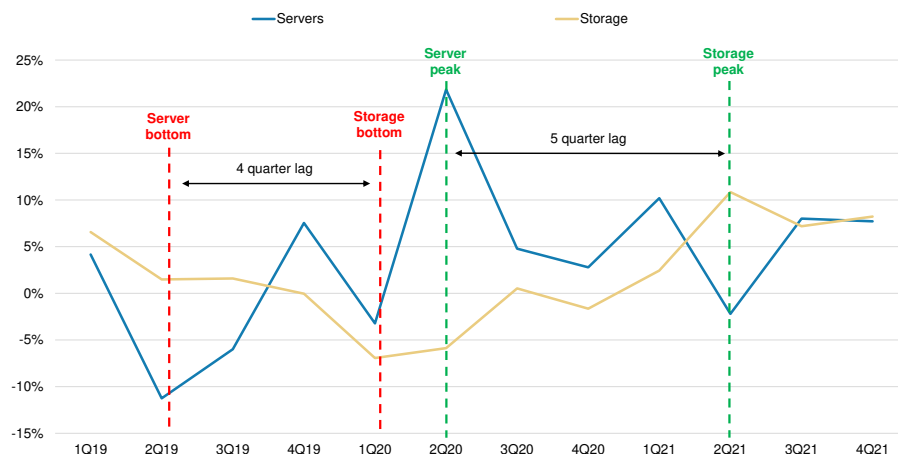
**Exhibit 89:** 2027 storage growth expectations in our 2Q26 survey is well above its trailing 8 year average of 3.0%.



Source: AlphaWise, Morgan Stanley Research. n=61 (US and EU data)

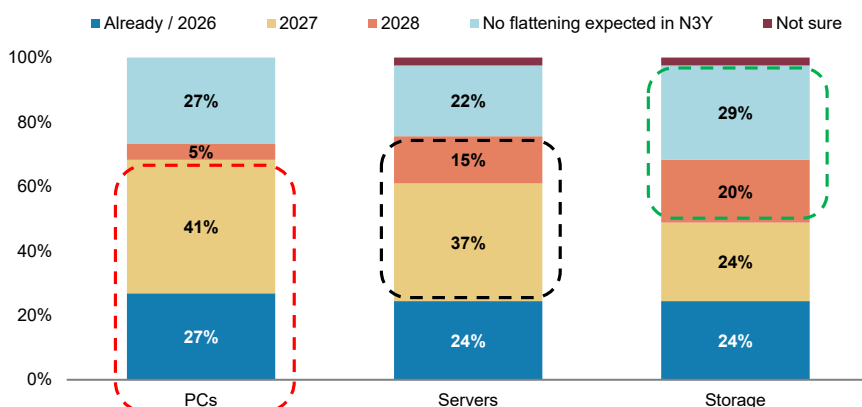
**Exhibit 90:**

Historically, storage tends to lag servers on both the down and upcycles by 4-5 quarters.

**Server vs. Storage Spending Y/Y**

Source: IDC, Morgan Stanley Research

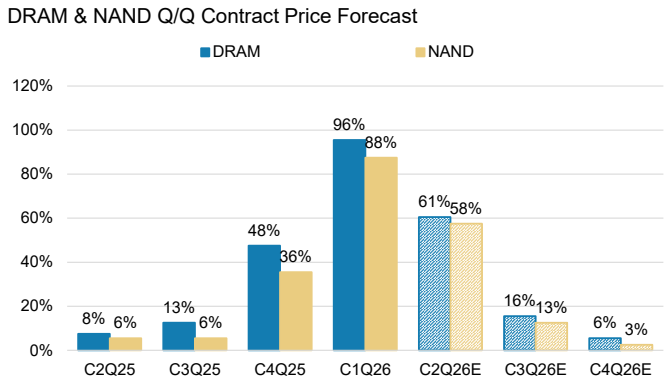
**Exhibit 91:** Looking forward, storage has the longest runway for growth, followed by servers and lastly PCs where spend is already deteriorating.

**Expected Timing of Hardware Budget Flattening or Decline**

Source: AlphaWise, Morgan Stanley Research. n=41 (US and EU data)

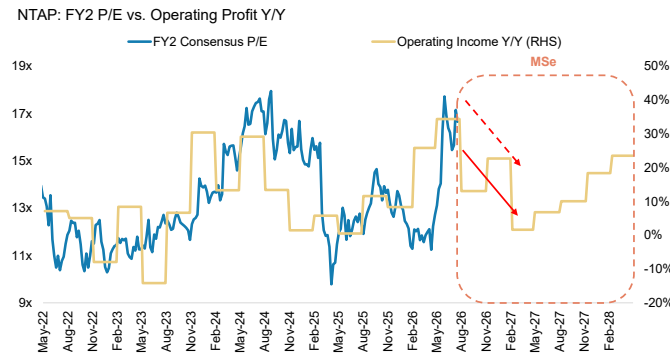
**Unlike P, NTAP lacks a margin-accretive hyperscale business, leaving gross margins more exposed to rising memory costs, a headwind to P/E multiples.** Historically, NTAP has maintained relatively stable long-term Product gross margins through memory cycles by adjusting pricing as input costs change. However, during periods of rapidly rising or falling memory prices, gross margins tend to move in the opposite direction due to the lag between cost increases and pricing actions. Following the 88-96% Q/Q increase in memory contract pricing during C1Q26, TrendForce forecasts memory pricing will continue to increase sequentially through the remainder of CY26 ([Exhibit 92](#)). Absent a high-margin revenue stream similar to P's hyperscale business, we expect NTAP's Product gross margin to remain below its long-term target range of 55-60% over the coming quarters. Combined with what we expect to be a moderation in operating profit growth, this could pressure valuation multiples from their recent highs ([Exhibit 93](#)).

**Exhibit 92:** Based on the latest estimates by TrendForce, DRAM and NAND contract prices are expected to move higher Q/Q throughout the year.



Source: TrendForce, Morgan Stanley Research

**Exhibit 93:** We expect NTAP's operating profit growth to contract from the recent high in the July '26 quarter, a headwind to its P/E multiples.

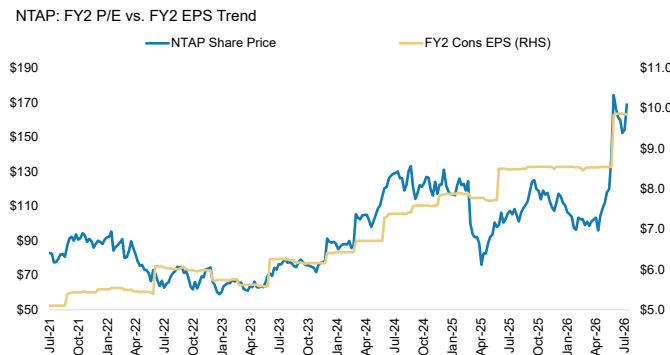


Source: FactSet, Morgan Stanley Research estimates

**That said, we believe upward earnings revisions should provide support for the shares even if multiples compress.** Historically, NTAP's stock has shown a strong positive relationship with next-year Consensus EPS estimates ([Exhibit 94](#)). Given that the storage cycle continues to lag the server cycle and earnings revisions for the pure-play enterprise storage vendors remain relatively limited, we see room for further upward estimate revisions across the group. For NTAP specifically, we believe upside could be driven by a potential increase to FY27 full-year guidance ([Exhibit 95](#)). For enterprise storage pure-play companies like NTAP and P, we don't expect earnings estimate upward revisions to be as big as hybrid vendors – such as DELL and HPE, who have been expanding gross margins amidst chipflation – but stronger earnings outlook should still support the shares.

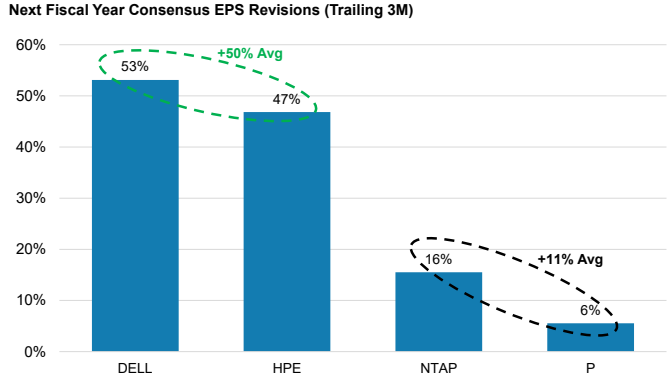
Our updated forecasts remain above Street expectations. We now project FY27-FY28 EPS that is 10-17% above Consensus, driven primarily by stronger revenue assumptions while maintaining largely in-line gross margin expectations ([Exhibit 96](#)).

**Exhibit 94:** NTAP's share price has historically been closely correlated with next-year consensus EPS estimates, and with upward earnings revisions expected, we believe the stock can remain supported at current levels despite potential valuation multiple contraction.



Source: FactSet, Morgan Stanley Research estimates

**Exhibit 95:** Server OEMs DELL and HPE have seen next fiscal year EPS estimates get revised ~50% higher over the last 3 months, but estimates for Storage OEMs were up only ~10%.



Source: Factset, Morgan Stanley Research. Note: Server OEM average includes DELL & HPE and Storage OEM average includes P & NTAP

**Exhibit 96:**

Our EPS estimates are 10-17% higher than Consensus in FY27-FY29, driven by higher revenue growth and a relatively stable gross margin outlook.

| NTAP              | FY27E         |               |            | FY28E          |               |            | FY29E          |                |            |
|-------------------|---------------|---------------|------------|----------------|---------------|------------|----------------|----------------|------------|
|                   | MS            | Cons          | Diff.      | MS             | Cons          | Diff.      | MS             | Cons           | Diff.      |
| Revenue           | 7,892         | 7,480         | 6%         | 8,414          | 7,888         | 7%         | 8,799          | 8,287          | 6%         |
| Product           | 3,568         | 3,456         | 3%         | 3,735          | 3,591         | 4%         | 3,847          | NA             |            |
| Service           | 4,324         | 4,039         | 7%         | 4,679          | 4,297         | 9%         | 4,952          | NA             |            |
| Gross Profit      | 5,447         | 5,178         | 5%         | 5,971          | 5,523         | 8%         | 6,235          | 5,734          | 9%         |
| Opex              | (3,021)       | (2,955)       | 2%         | (3,179)        | (3,120)       | 2%         | (3,282)        | (3,302)        | -1%        |
| Operating Profits | 2,426         | 2,224         | 9%         | 2,792          | 2,403         | 16%        | 2,953          | 2,431          | 21%        |
| Profit Before Tax | 2,447         | 2,209         | 11%        | 2,839          | 2,386         | 19%        | 3,000          | 2,442          | 23%        |
| Net Income        | 1,945         | 1,756         | 11%        | 2,257          | 1,900         | 19%        | 2,385          | 2,014          | 18%        |
| <b>EPS</b>        | <b>\$9.83</b> | <b>\$8.91</b> | <b>10%</b> | <b>\$11.56</b> | <b>\$9.84</b> | <b>17%</b> | <b>\$12.24</b> | <b>\$10.52</b> | <b>16%</b> |
| Gross Margin      | 69.0%         | 69.2%         |            | 71.0%          | 70.0%         |            | 70.9%          | 69.2%          |            |
| Operating Margin  | 30.7%         | 29.7%         |            | 33.2%          | 30.5%         |            | 33.6%          | 29.3%          |            |
| Net Margin        | 24.6%         | 23.5%         |            | 26.8%          | 24.1%         |            | 27.1%          | 24.3%          |            |

Source: Company data, FactSet, Morgan Stanley Research estimates

**We are raising estimates and upgrading NTAP to Equal-weight with a new \$173 price target.** We increase our revenue forecasts by 5-7% across FY27-FY29, reflecting pricing increases, continued market share gains, and near-term demand resilience. In our view, storage remains a high-priority area of enterprise IT spending, helping offset concerns around demand sensitivity to higher pricing. We are leaving our gross margin estimates largely unchanged, as continued cost inflation is expected to be broadly offset by pricing actions ([Exhibit 97](#)). Incorporating modestly higher operating expense assumptions to support a stronger revenue trajectory, our EPS estimates increase by 11-18% across FY27-FY29 and now sit 10-17% above Consensus.

Our new \$173 price target is based on 15.0x FY28 EPS of \$11.56, compared with our prior target of \$137 based on 14.0x FY28 EPS of \$9.81. The 14.0x multiple is consistent with NTAP's T3Y average P/E of 14.0x ([Exhibit 98](#)). With a bull-to-bear skew of 1.0x – supported by a \$266 bull-case valuation (20.0x FY28 bull-case EPS of \$13.30) and a \$114 bear-case valuation (11.0x FY28 bear-case EPS of \$10.41) – we view the risk-reward as more balanced at current levels and move NTAP to Equal-weight from Underweight.

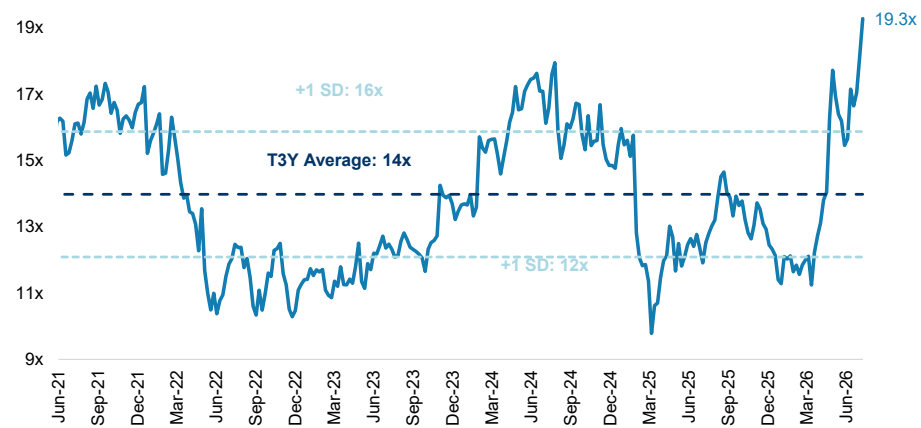
**Exhibit 97:** We raise our EPS estimates by 11-18% in FY27-FY29, driven primarily by higher revenue, relatively stable gross margins, and operating leverage.

|                   | FY27E         |               |            | FY28E          |               |            | FY29E          |                |            |
|-------------------|---------------|---------------|------------|----------------|---------------|------------|----------------|----------------|------------|
|                   | New           | Old           | Diff.      | New            | Old           | Diff.      | New            | Old            | Diff.      |
| Revenue           | 7,892         | 7,494         | 5%         | 8,414          | 7,887         | 7%         | 8,799          | 8,256          | 7%         |
| Product           | 3,568         | 3,359         | 6%         | 3,735          | 3,465         | 8%         | 3,847          | 3,569          | 8%         |
| Service           | 4,324         | 4,135         | 5%         | 4,679          | 4,422         | 6%         | 4,952          | 4,687          | 6%         |
| Gross Profit      | 5,447         | 5,174         | 5%         | 5,971          | 5,573         | 7%         | 6,235          | 5,839          | 7%         |
| Operating Profits | 2,426         | 2,184         | 11%        | 2,792          | 2,388         | 17%        | 2,953          | 2,578          | 15%        |
| Profit Before Tax | 2,447         | 2,202         | 11%        | 2,839          | 2,422         | 17%        | 3,000          | 2,613          | 15%        |
| Net Income        | 1,945         | 1,751         | 11%        | 2,257          | 1,926         | 17%        | 2,385          | 2,077          | 15%        |
| <b>EPS</b>        | <b>\$9.83</b> | <b>\$8.83</b> | <b>11%</b> | <b>\$11.56</b> | <b>\$9.81</b> | <b>18%</b> | <b>\$12.24</b> | <b>\$10.59</b> | <b>16%</b> |
| Gross Margin      | 69.0%         | 69.0%         |            | 71.0%          | 70.7%         |            | 70.9%          | 70.7%          |            |
| Operating Margin  | 30.7%         | 29.1%         |            | 33.2%          | 30.3%         |            | 33.6%          | 31.2%          |            |
| Net Margin        | 24.6%         | 23.4%         |            | 26.8%          | 24.4%         |            | 27.1%          | 25.2%          |            |

Source: Company data, FactSet, Morgan Stanley Research estimates

**Exhibit 98:** NTAP's P/E is now trading well above its T3Y average of 14x due to better-than-feared FY27 guidance and the expectation of earnings upward revisions. With operating margin potentially peaking out, we expect NTAP's valuation multiples to trend down to around 14x on higher earnings.

NTAP: FY2 P/E Trend



Source: FactSet, Morgan Stanley Research

# TDC: Downgrade to Equal-Weight – Improving Fundamentals, But Not Fast Enough

## **Downgrading TDC to Equal-weight as the AI opportunity has yet to translate into the growth acceleration we expected; price target to \$29.**

TDC should sit in a favorable position as large enterprises move AI projects from proof of concept into production, particularly given its hybrid cloud/on-prem platform and exposure to large, complex and highly regulated customers. TDC also delivered a solid 2Q, beating expectations across revenue, recurring revenue, EPS and FCF while raising its full-year EPS and adjusted FCF outlook. However, the stronger 1H of CY26 is not flowing through to a better 2H – management guided 3Q total revenue down 4-6% Y/Y and recurring revenue down 2-4%, while cloud ARR growth slowed to 8% Y/Y, below our estimate and TDC's low-double-digit target. Management attributes much of the revenue shape to ASC 606 pulling on-prem revenue recognition into 1H, and notes that AI adoption may initially increase utilization of capacity customers have already purchased. While these factors explain some of the timing, they do not change the key point for us, which is that if new products, programs and customers were ramping at the pace we had hoped, we would expect 2H revenue to improve rather than decline.

## **TDC's recurring model provides downside protection, but the company is not participating in the estimate-revision cycle we are seeing across enterprise hardware.**

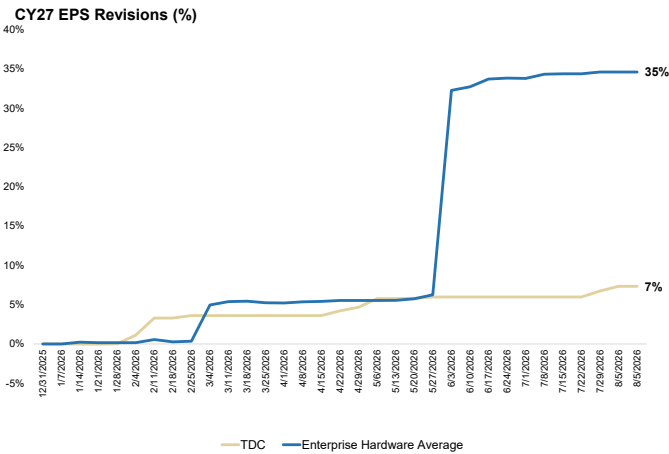
There are still positives in the underlying business, including deferred revenue growth of approximately 8% Y/Y, improving RPO and renewal trends, early customer interest in Teradata Factory and AI Studio, and continued cost discipline. However, our estimate-revision analysis shows that CY27 EPS estimates for enterprise hardware companies have increased 35% YTD, compared with just 7% for TDC ([Exhibit 99](#)), while sales estimates have risen 18% for the hardware group versus only 2% for TDC ([Exhibit 100](#)). This gap matters in a market that should favor companies with more transactional exposure to AI servers, storage, networking and broader infrastructure refresh cycles. While TDC's high recurring-revenue mix (~87% of total revenues) makes the business more stable, it also means it should, in turn, benefit less from an improving enterprise spending environment. Despite four consecutive quarters of Y/Y gross and operating margin expansion, shares have not sustained a meaningful re-rating; with revenue now set to decline in 2H26 and our model implying operating margins of roughly 20% in 3Q and 19% in 4Q, versus 24% and 23% a year ago, we see less support for multiple expansion near term.

**A hardware-led market should favor companies with more transactional revenue, leaving TDC relatively less well positioned as a recurring revenue SW company.** Stock performance since August 2025 shows TDC up approximately 35%, compared with roughly 275% for DELL and 175% for HPE, with TDC tending to lag during periods when the HW names NTAP/DELL/HPE/P accelerate – consistent with a software-versus-hardware factor rotation ([Exhibit 101](#)). For instance, when AI infrastructure spending drives a hardware rally, capital rotates into "picks and shovels" beneficiaries like DELL, HPE, NTAP, and P and away from software companies like TDC, which faces the dual headwind of relatively no direct AI hardware exposure and broader investor fears that AI will disrupt its legacy data analytics subscription model. We believe this relationship also makes sense fundamentally, as TDC's high recurring mix, stable margin profile and modest

LSD% growth outlook make the business relatively defensive, but are likely to see less revenue and earnings upside from an improving enterprise spending environment than hardware companies exposed to AI servers, storage, networking and broader refresh cycles. Since we believe hardware could outperform, we see more opportunity for positive revenue, margin and EPS revisions within that cohort over TDC.

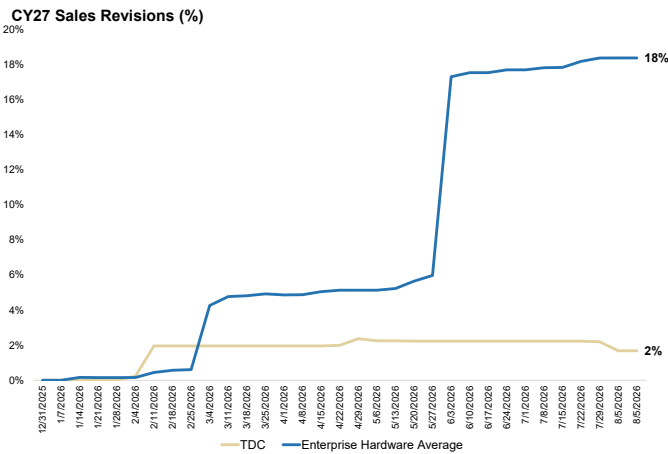
**Until TDC demonstrates sustained revenue growth and margin expansion, we believe a lower multiple is appropriate.** We lower our target P/E to 10x from 12x on our CY27 EPS estimate of \$2.90, a 6-turn discount to TDC's trailing 5-year average, resulting in a \$29 price target, commensurate of an Equal-weight rating. We think the debate is no longer whether TDC can execute against its near-term financial targets – 2Q provided further evidence that execution has improved – but whether its AI positioning can generate enough net-new workloads, customer additions and ARR growth to drive sustained positive estimate revisions. Management cited early wins and some new-logo activity, but the current 2H outlook does not yet provide clear evidence of that broader acceleration or resolve concerns around competitive share. Until it does, we see TDC as a business with downside support, but not enough relative earnings upside to warrant an Overweight rating.

**Exhibit 99:** Year-to-date, enterprise hardware names have revised CY27 EPS estimates 35% higher vs. TDC at just 7%...



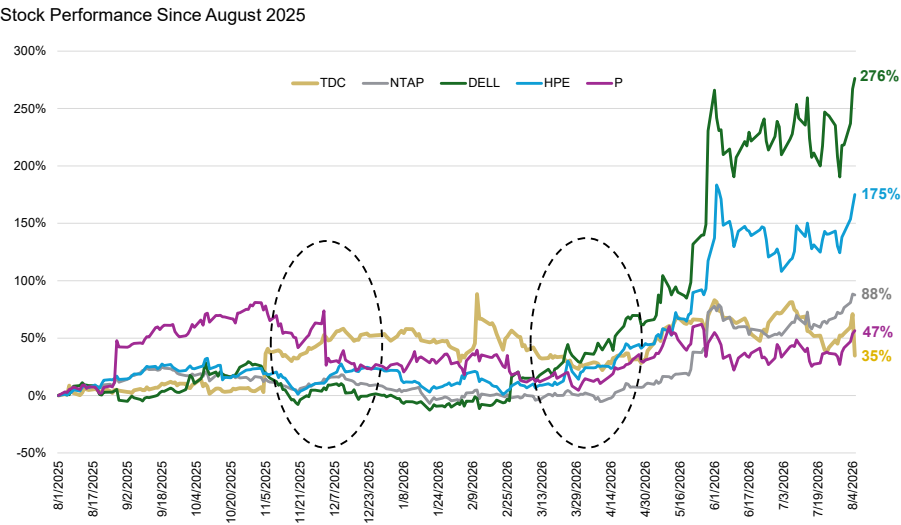
Source: FactSet, Morgan Stanley Research  
Enterprise Hardware names include: DELL, HPE, NTAP, P

**Exhibit 100:**...and CY27 sales estimates 18% higher vs. TDC at 2%.



Source: FactSet, Morgan Stanley Research  
Enterprise Hardware names include: DELL, HPE, NTAP, P

**Exhibit 101:**  
When enterprise hardware names DELL, HPE, NTAP, and P outperform, TDC tends to underperform, and vice versa.



Source: FactSet, Morgan Stanley Research

Risk Reward – CDW Corporation (CDW.O)

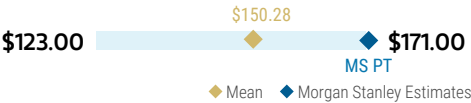
Beneficiary of Robust Enterprise Infra Demand at an Attractive Valuation

PRICE TARGET \$171.00

Our \$171 PT applies a 14x P/E multiple to our 2027e EPS of \$12.20. Our 14x P/E multiple is a discount to history which we believe is warranted given concerns about CDW's competitive positioning and ability to drive operating leverage back to historical levels.

Consensus Price Target Distribution

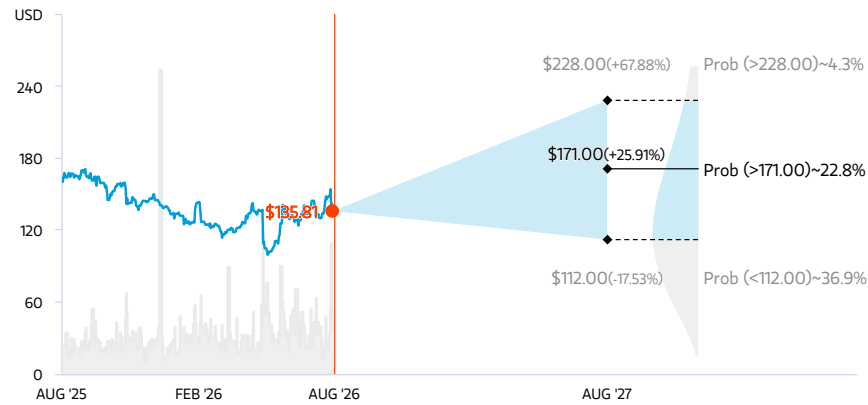
Source: Refinitiv, Morgan Stanley Research



OVERWEIGHT THESIS

CDW is a beneficiary of structurally higher IT spending and robust enterprise infrastructure demand and with valuation near all-time lows. we see an attractive entry point, driving our upgrade to Overweight. We believe CDW is set to outperform relative to the rest of our coverage, as its diversified portfolio allows customers to pivot to growing areas of the IT market.

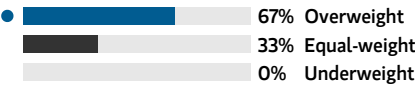
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 7 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: Positive  
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$228.00

17x Bull Case FY27e EPS of \$13.42

CDW begins to re-rate on cloud opportunity and grows above the market in 2026 and 2027. Netted down revenue surpasses 50% of gross profit, which drives a re-rating and pushes margins higher. Enterprise Hardware demand remains stronger for longer allowing CDW to grow revenue low double digits Y/Y in CY26 (vs. +8% Y/Y in our base case) and HSD Y/Y in CY27 (vs. +3% Y/Y in our base case). Shares trade at 17x FY27 EPS of \$13.42.

BASE CASE

\$171.00

14x Base Case FY27e EPS of \$12.20

CDW is a beneficiary of robust enterprise infrastructure demand. CDW benefits from its diversified end-markets, allowing customers to pivot to growing areas of the IT market & a stronger for longer enterprise infrastructure cycle as 20% of revenue comes from servers, storage & networking. Revenue grows 8% Y/Y in 2026 and 3% Y/Y in CY26. Our PT applies 14x P/E to our FY27 EPS of \$12.20.

BEAR CASE

\$112.00

10x Bear Case FY27e EPS of \$11.23

Enterprise hardware spending deteriorates meaningfully throughout 2026 into 2027, driving mid-teens revenue declines. Macro uncertainty causes downward revisions to US IT market growth and/or CDW fails to outperform. CDW is unable to raise prices to the degree that it would fully offset higher memory cost driven vendor prices, and gross margins contract by over 100bps Y/Y. CDW trades to 10x, which on \$11.23 of bear case EPS, drives our \$112 bear valuation.

## Risk Reward – CDW Corporation (CDW.O)

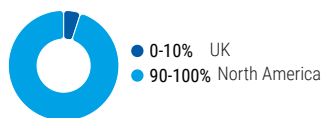
### KEY EARNINGS INPUTS

| Drivers                       | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|-------------------------------|----------|-----------|-----------|-----------|
| Revenue Growth (Y/Y) (%)      | 6.8      | 8.3       | 3.0       | 3.5       |
| Gross Margin (%)              | 21.7     | 21.0      | 21.6      | 22.0      |
| Non-GAAP Operating Margin (%) | 8.9      | 8.7       | 8.8       | 9.1       |
| Non-GAAP EPS Growth (Y/Y) (%) | 5.2      | 10.0      | 10.7      | 11.6      |

### INVESTMENT DRIVERS

- US IT budget growth / declines
- Commercial and public sector PC demand
- IT spending as a % of capex
- Share gains / losses
- Memory inflation results in demand destruction from higher prices

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

|                     |                     |                     |                    |
|---------------------|---------------------|---------------------|--------------------|
| <b>1/5<br/>BEST</b> | 24 Month<br>Horizon | <b>1/5<br/>MOST</b> | 3 Month<br>Horizon |
|---------------------|---------------------|---------------------|--------------------|

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- IT market growth accelerates above expectations
- PC refresh extends through 2026
- Unexpected growth opportunities emerge
- Netted down mix shift drives GM expansion

#### RISKS TO DOWNSIDE

- Hardware demand remains weaker for longer
- Macro uncertainty results in further Hardware budget cuts in 2026
- Memory-related vendor price increases cannot be fully passed on, pressuring margins
- Cloud adoption cannibalizes on-prem spend

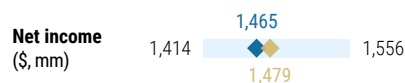
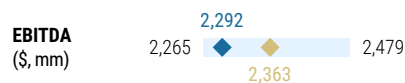
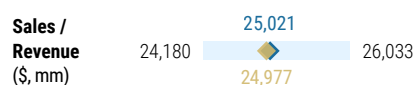
### OWNERSHIP POSITIONING

|                            |       |                                                                    |
|----------------------------|-------|--------------------------------------------------------------------|
| Inst. Owners, % Active     | 56.9% | <div><div></div><div></div><div></div><div></div><div></div></div> |
| HF Sector Long/Short Ratio | 2.1x  | <div><div></div><div></div><div></div><div></div><div></div></div> |
| HF Sector Net Exposure     | 29.5% | <div><div></div><div></div><div></div><div></div><div></div></div> |

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

### MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Dell Technologies Inc. (DELL.N)

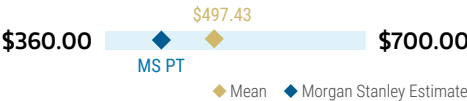
An AI Infrastructure Winner Taking Share and Pricing B/C Of Supply Chain Mgmt

PRICE TARGET \$430.00

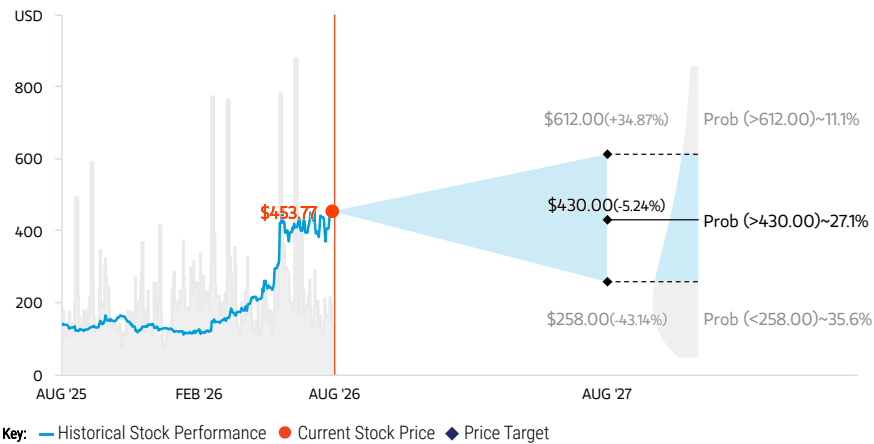
Our \$430PT is based on a 15x P/E multiple on FY28 (CY27) EPS of \$28.66. This implies a 16x P/E multiple on DELL's AI server business (in-line with AI infrastructure peers) and a 14x P/E multiple on the traditional business (~2x turn premium to traditional enterprise hardware peers given better execution and share gains).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

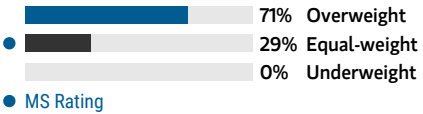


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 7 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

Despite myriad supply chain headwinds, DELL is rising to the challenge. Not only is DELL benefitting from the AI infra buildout in ways peers aren't, their supply chain management is driving share gains across every market they participate in. We now assume the memory supercycle plays a minimal role on DELL results for the next 2 years before DELL sees a modest ISG correction in FY29, resulting in over \$28.66 of EPS power in FY28. However, shares have outperformed meaningfully YTD and uncertainty on the pace, magnitude and duration (+pull-forward) of the AI infra buildout remain, and thus we are EW-rated, which balances industry leading execution with some of this uncertainty.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

|                |          |
|----------------|----------|
| New Data Era:  | Positive |
| Pricing Power: | Positive |
| Self-help:     | Positive |

View descriptions of Risk Rewards Themes [here](#)

| BULL CASE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | \$612.00 | BASE CASE                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | \$430.00 | BEAR CASE                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | \$258.00 |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 18x FY28 bull case EPS of \$34.00                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |          | 15x FY28 base case EPS of \$28.66                                                                                                                                                                                                                                                                                                                                                                                                                                                   |          | 12x FY28 bear case EPS of \$21.50                                                                                                                                                                                                                                                                                                                                                                                                                                                |          |
| Demand exceeds supply through CY28 (FY29). The durability of infrastructure demand carries over into CY29, or a 3+ year spending upcycle, unprecedented since the dot.com buildout. PCs also grow more durably than expected. Given these facts + DELL's sustained pricing power due to better supply management vs. peers, DELL grows EPS 2.5x in 2 years. We ascribe a premium to the market multiple, or 18x P/E given well-above trend growth, which has greater duration than past cyclical peaks. |          | What memory cycle? Capturing share, holding margins + leading the multi-year infra buildout.<br><br>DELL is managing scarce semiconductor supply better than peers, and as a result is taking share, capturing mission critical demand, and seeing pricing power. This results in over 100% Y/Y EPS growth in CY26, with growth (albeit tempered) continuing into CY27. We assume a modest downcycle in 2028, but given scarcity value vs. peers, we assume DELL trades to 15x P/E. |          | Pull forward > demand sustainability as the cycle turns in CY27. Even in our bear case we now assume DELL exits CY26 with demand outpacing supply, given DELL's favorable supply positioning vs. peers. But memory inflation and pull-forward come to fruition in CY27. PCs decline Y/Y and Server growth rolls-over in C2H27. As a result, we see more margin pressure than assumed in our base case. Given P/E valuation tracks EPS revisions, we assume P/E contracts to 12x. |          |

## Risk Reward – Dell Technologies Inc. (DELL.N)

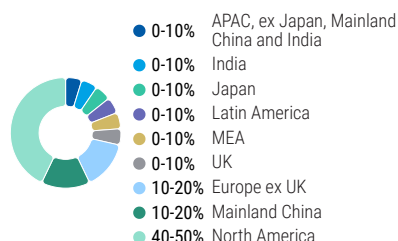
### KEY EARNINGS INPUTS

| Drivers                       | Jan 2026 | Jan 2027e | Jan 2028e | Jan 2029e |
|-------------------------------|----------|-----------|-----------|-----------|
| Revenue Growth (Y/Y) (%)      | 18.8     | 87.9      | 19.2      | (14.6)    |
| Non-GAAP Gross Margin (%)     | 20.4     | 16.2      | 14.8      | 16.4      |
| Non-GAAP Operating Margin (%) | 8.8      | 9.5       | 8.8       | 9.3       |
| FCF (\$M) (\$, mm)            | 8,552    | 20,032    | 7,353     | 21,240    |

### INVESTMENT DRIVERS

- (+) Notable AI Server wins with AI Labs/CSPs
- (+) Faster time to mkt with leading NVDA chips than peers
- (+) Continued share gains in Servers, Storage and PCs
- (-) Pull-forward slows/demand rolls over; elevated discounting catalyzes "peak" EPS concerns

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

|                     |                             |                     |                            |
|---------------------|-----------------------------|---------------------|----------------------------|
| <b>4/5<br/>BEST</b> | <b>24 Month<br/>Horizon</b> | <b>1/5<br/>MOST</b> | <b>3 Month<br/>Horizon</b> |
|---------------------|-----------------------------|---------------------|----------------------------|

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Enterprise AI spending drives sustainability in the current cycle into FY29.
- Edge AI is reinvigorated by NVDA's new workstation launch (halo effect).
- Internal opex savings drives consistent opex declines

#### RISKS TO DOWNSIDE

- AI Capex cycle slows
- Supply scarcity value and pull-forward start to decelerate resulting in NTM EPS rolling over sooner than modeled.
- Enterprise IT demand cannibalized by cloud workload migration

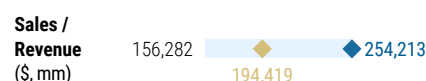
### OWNERSHIP POSITIONING

|                            |       |                                                                    |
|----------------------------|-------|--------------------------------------------------------------------|
| Inst. Owners, % Active     | 44.6% | <div><div></div><div></div><div></div><div></div><div></div></div> |
| HF Sector Long/Short Ratio | 2.1x  | <div><div></div><div></div><div></div><div></div><div></div></div> |
| HF Sector Net Exposure     | 29.5% | <div><div></div><div></div><div></div><div></div><div></div></div> |

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

### MS ESTIMATES VS. CONSENSUS

FY Jan 2028e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Hewlett Packard Enterprise (HPE.N)

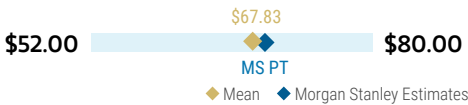
Overweight on Ent Infrastructure Spending Strength At A Reasonable Valuation

PRICE TARGET \$69.00

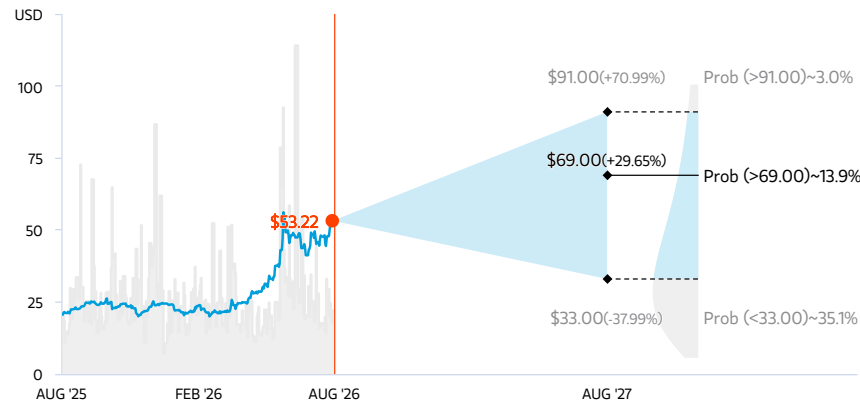
Our \$69 price target assumes a 15x target multiple on FY27e EPS of \$4.58. 15x is a premium vs. T7Y average, which we believe is warranted given a sustainable level of remarkably strong server demand dynamics into FY27.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

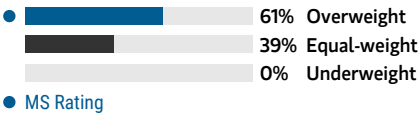


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 7 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

HPE is our preferred OEM to play the ent infrastructure cycle, offering an attractive risk/reward. Furthermore, HPE stands to benefit from a larger networking business (higher growth and margin) following the acquisition of Juniper. Our \$69 price target is based on 15x our FY27 EPS of \$4.58. This implies an 18x P/E multiple on HPE's networking business and a 12.5x P/E multiple on HPE's non-networking business (~0.5x turn discount to traditional enterprise hardware peers).

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: Negative

New Data Era: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$91.00

BASE CASE

\$69.00

BEAR CASE

\$33.00

18x Bull Case FY27e EPS of \$5.04

Juniper acquisition commands higher multiple; AI Server meaningful catalyst. Demand accelerates beyond FY27 and Juniper acquisition is accretive beyond expectations, allowing HPE to accelerate cost synergies. AI proves a meaningful catalyst to Cloud & AI in NTM, while Networking accelerates as demand is stronger for longer and HPE Aruba-Juniper gains share. We assume a 18x multiple on FY27 bull case EPS, as greater server demand and larger networking business commands higher multiple.

15x FY27e EPS of \$4.58

Mix shift to higher growth & margin networking drives accelerating top/bottom-line growth. Revenue growth accelerates to 40%+ in FY26, driven by pricing power on strong server demand and double digit growth in Networking driven by growth across Aruba and Juniper Networking. Positive mix shift & cost synergies, partially offset by higher memory costs drive Y/Y margin expansion. Our PT applies 15x P/E to our FY27 EPS of \$4.58.

9x Bear Case FY27e EPS of \$3.67

Macro weighs on spend & Juniper integration takes longer than expected. A recession in CY26 causes a double dip in enterprise budget cuts, & organic HPE revenue declines Y/Y in FY26 and FY27. Juniper acquisition falls short of expectations & HPE is only able to realize ~\$300M of cost synergies over the N3Y (vs. \$600M in base case). As a result, HPE sees minimal operating leverage & elevated leverage limits capital returns. HPE trades to 9x P/E our bear case FY27 EPS of \$3.67.

## Risk Reward – Hewlett Packard Enterprise (HPE.N)

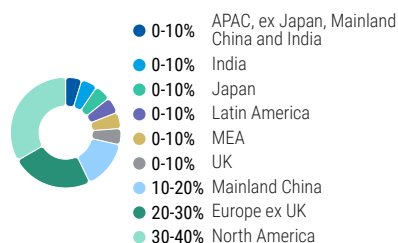
### KEY EARNINGS INPUTS

| Drivers                 | Oct 2025 | Oct 2026e | Oct 2027e | Oct 2028e |
|-------------------------|----------|-----------|-----------|-----------|
| Revenue Growth Y/Y (%)  | 13.8     | 35.0      | 16.9      | (1.5)     |
| Gross Margin (%)        | 31.5     | 35.7      | 35.1      | 33.6      |
| Operating Margin (%)    | 9.8      | 13.9      | 15.0      | 13.6      |
| Billings Growth Y/Y (%) | 17.7     | 34.3      | 15.5      | 76.0      |
| FCF Growth Y/Y (%)      | (79.8)   | 1,476.0   | (15.9)    | (19.9)    |

### INVESTMENT DRIVERS

- Sustainable acceleration in shift to a subscription model
- Intelligent Edge and HPC & MCS growth outpaces expectations
- Positive est. revisions as Networking becomes a greater mix of business; pent up demand
- Mgmt raises LT targets at SAM in Oct. '25

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

**4/5 BEST** 24 Month Horizon **4/5 MOST** 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Demand accelerates above expectations
- Margin upside from more robust cost savings and share gains
- Server strength persists beyond FY27
- HPE gains share in servers, storage & netcomm

#### RISKS TO DOWNSIDE

- Public cloud migration accelerates declines in legacy business
- Pricing deteriorates in compute / storage
- Juniper integration (and cost synergies) takes longer than expected

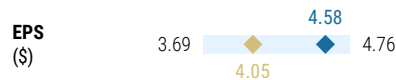
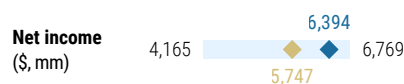
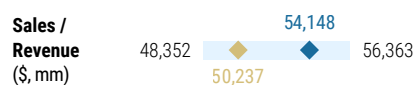
### OWNERSHIP POSITIONING

|                            |       |                                                                    |
|----------------------------|-------|--------------------------------------------------------------------|
| Inst. Owners, % Active     | 46.2% | <div><div></div><div></div><div></div><div></div><div></div></div> |
| HF Sector Long/Short Ratio | 2.1x  | <div><div></div><div></div><div></div><div></div><div></div></div> |
| HF Sector Net Exposure     | 29.5% | <div><div></div><div></div><div></div><div></div><div></div></div> |

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

### MS ESTIMATES VS. CONSENSUS

FY Oct 2027e



Source: Refinitiv, Morgan Stanley Research

Risk Reward – Ingram Micro (INGM.N)

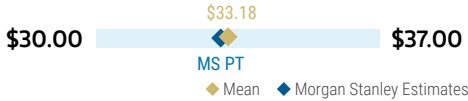
Beneficiary of Higher IT Spending And Margin Expansion Long-Term

PRICE TARGET \$33.00

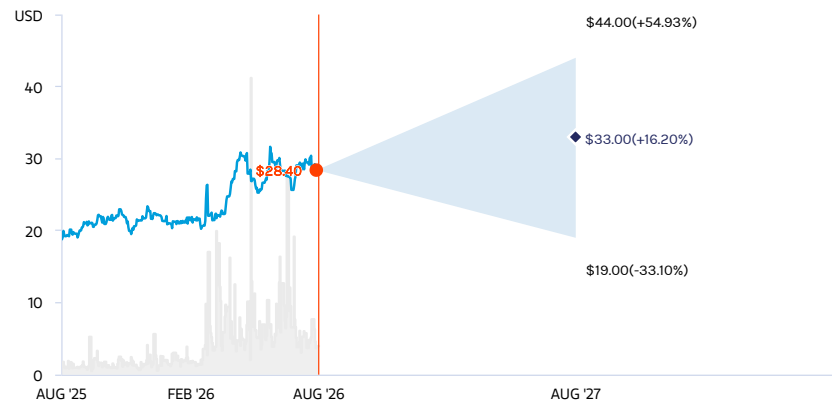
Our \$33 PT is based off of a 9x P/E multiple on our CY27 MS-defined EPS of \$3.70. At 9x, INGM would trade at a ~1-2x turn discount to our target P/E multiple on TD Synnex's Distribution business given lower topline growth, weaker operating margins, lower FCF conversion & cap returns vs. SNX as well as private equity overhang.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



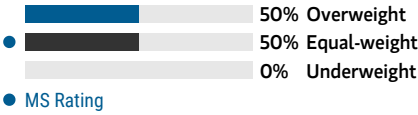
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

INGM is a beneficiary of structurally higher IT spending. Long-term, we believe ~3% growth through cycle is sustainable, however it lags core peer SNX across growth, margins and FCF conversion. We apply a 9x target P/E multiple on our CY27 MS-defined EPS of \$3.70 which drives our \$33 PT. At 9x, INGM would trade at a ~1-2x turn discount to our target P/E multiple on TD Synnex's Distribution business given lower topline growth, weaker operating margins, lower FCF conversion & cap returns vs. SNX as well as private equity overhang.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: Positive

Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$44.00

10x Bull Case CY27 EPS of \$4.37

Revenue grows towards the high end of MSD long-term, closer to annual IT spending growth of 10% through 2028. Xvantage drives share gains, and Advanced Solutions and Cloud become larger contributors to revenue, which combined with greater opex discipline and operational efficiency, push operating and adj. EBITDA margins above core comp TD Synnex in 2026. Shares trade to 10x our CY27 Bull case EPS of \$4.37.

BASE CASE

\$33.00

9x CY27 MS-defined EPS of \$3.70

INGM compounds revenue at a 3% CAGR long-term. Gradual mix shift towards higher margin AS & Cloud revenue helps to push gross margins to 6.73% in CY26 and 7.09% in CY27, partially offset by lower margin GPU deals. Our \$33 PT is based off of a 9x P/E multiple on our CY27 MS-defined EPS of \$3.70. At 9x, INGM would trade at a ~1-2x turn discount to our target P/E multiple on TD Synnex's Distribution business given lower topline growth, weaker operating margins, lower FCF conversion & cap returns.

BEAR CASE

\$19.00

6x Bear Case CY27 EPS of \$3.15

Higher prices and macro weakness weigh on demand and revenue is flat Y/Y in CY26 as enterprises & SMBs continue to push, pause and cancel projects (vs. +10% Y/Y in our base case). Cost savings initiatives do not more than offset weak revenue, & investments to scale Xvantage persist into 2027 and beyond, resulting in margin pressure. Shares trade to 6x our CY27 Bear case EPS of \$3.15.

## Risk Reward – Ingram Micro (INGM.N)

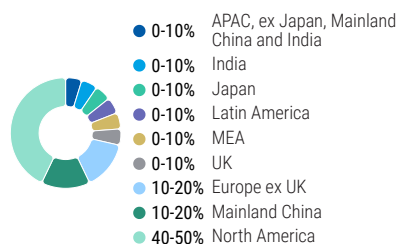
### KEY EARNINGS INPUTS

| Drivers                   | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|---------------------------|----------|-----------|-----------|-----------|
| Revenue Growth (%)        | 9.5      | 10.0      | 3.4       | 3.9       |
| Gross Margin (%)          | 6.7      | 6.7       | 7.1       | 7.3       |
| Adj. EBITDA Margin (%)    | 2.6      | 2.5       | 2.8       | 3.1       |
| MS-Defined EPS (Non-GAAP) | 2.2      | 2.9       | 3.7       | 4.4       |
| FCF (\$, mm)              | 785      | (846)     | 611       | 722       |

### INVESTMENT DRIVERS

- IT spending growth
- Commercial PC refresh demand
- Positive mix shift to Advanced Solutions & Cloud drives gross margins higher
- Net margins expand on opex discipline + automation
- Share gains
- Private equity overhang is removed

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

|                     |                             |                     |                            |
|---------------------|-----------------------------|---------------------|----------------------------|
| <b>1/5<br/>BEST</b> | <b>24 Month<br/>Horizon</b> | <b>1/5<br/>MOST</b> | <b>3 Month<br/>Horizon</b> |
|---------------------|-----------------------------|---------------------|----------------------------|

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- IT market growth accelerates above expectations
- Xvantage drives share gains
- Advanced Solutions & Cloud become >50% of revenue
- Stronger margin expansion through mix shift + cost cuts

#### RISKS TO DOWNSIDE

- Hardware demand remains weaker for longer
- Macro uncertainty weighs on an IT spending recovery through 2027
- Memory inflation results in demand destruction
- Fierce competitive pressures already razor thin margins

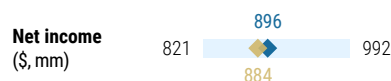
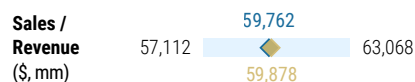
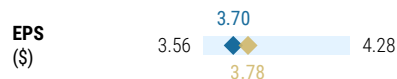
### OWNERSHIP POSITIONING

|                            |       |  |  |  |  |
|----------------------------|-------|--|--|--|--|
| Inst. Owners, % Active     | 95.8% |  |  |  |  |
| HF Sector Long/Short Ratio | 2.1x  |  |  |  |  |
| HF Sector Net Exposure     | 29.5% |  |  |  |  |

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

### MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – HP Inc. (HPQ.N)

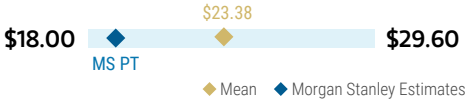
UW as Memory Supercycle Weighs On Demand & Margins

PRICE TARGET \$19.00

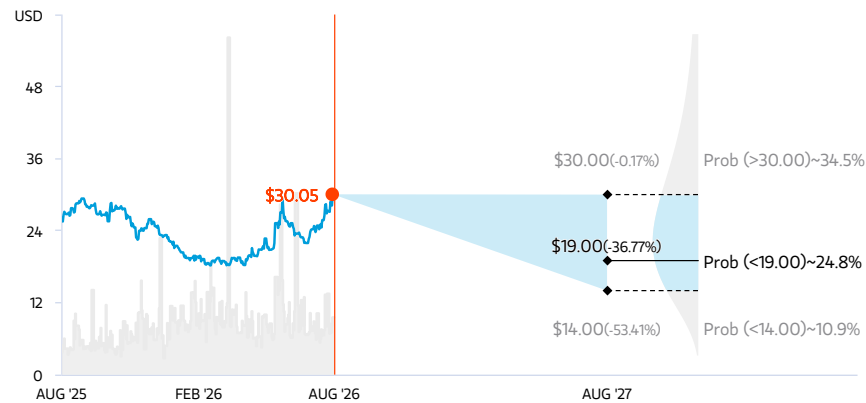
Our \$19 price target is based on a 7x P/E multiple on FY27 EPS of \$2.65. Our 7x P/E multiple implies that HP trades at a 1x turn discount to its trailing 5-year average, which we believe takes into account PC market refresh, offset by secular declines in printing and margin pressures from higher input costs.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



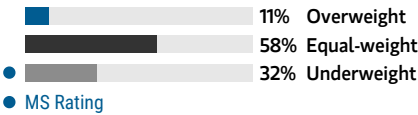
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 7 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

UNDERWEIGHT THESIS

Long-term, HP stands to benefit from commercial PC refresh + hybrid work given its diverse end-market exposure to the consumer and commercial PC & printing markets. However, we are cautious on the setup over the next 12 months given the increasing severity of the memory 'supercycle' and see downside to N12M estimates given our concerns around memory-induced margin headwinds and demand destruction from higher prices, supporting our Underweight rating.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

| BULL CASE                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | \$30.00 | BASE CASE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | \$19.00 | BEAR CASE                                                                                                                                                                                                                                                                                                                                                                                                                                                             | \$14.00 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| 9x Bull Case FY27e EPS of \$3.35                                                                                                                                                                                                                                                                                                                                                                                                                                                  |         | 7x FY27e EPS of \$2.65                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |         | 6x Bear Case FY27e EPS of \$2.26                                                                                                                                                                                                                                                                                                                                                                                                                                      |         |
| Revenue grows HSD Y/Y in FY26-FY27 and margins surprise positively. PC refresh persists through FY26 and into FY27 and HP continues to gain market share. The pivot to HP+ proves fruitful early on, keeping printing margins above the upper end of 16-19% LT target range for the year. HPQ is able to more than offset higher input costs via pricing actions and supplier negotiations such that PC margins are flat Y/Y. Shares trade to 9x P/E, reflecting solid execution. |         | Weak ent hardware demand, tough Y/Y PC comps & memory headwinds pressures growth/margins. PC shipments decline 4% Y/Y in FY26 and 7% Y/Y in FY27 as Win '11 refresh slows & memory induced higher prices cannibalize demand, partially offset by stronger ASPs, resulting in 9% Y/Y PS revenue growth in FY26 and 2% Y/Y declines in FY27. Total rev is up 6% Y/Y while EPS declines 6% Y/Y in FY26 as higher commodity costs weigh on profitability. Shares trade to 7x P/E, a 1x turn discount to its TSY avg. |         | Memory headwinds are more severe resulting in significant demand destruction and margin compression. The memory supercycle is stronger for longer and HPQ is only able to offset 1/3 of the impact from higher prices (vs. 2/3 in our base case), which results in demand elasticity such that revenue declines MSD-HSD Y/Y and margins compress 600bps+ Y/Y in FY27. HP trades to 6x P/E, which on bear case FY26 EPS of \$2.26, implies a \$14 bear case valuation. |         |

## Risk Reward – HP Inc. (HPQ.N)

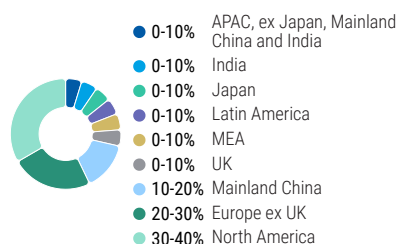
### KEY EARNINGS INPUTS

| Drivers                                                | Oct 2025 | Oct 2026e | Oct 2027e | Oct 2028e |
|--------------------------------------------------------|----------|-----------|-----------|-----------|
| Total Revenue Growth (Y/Y) (%)                         | 3.2      | 5.6       | (2.3)     | 1.1       |
| Gross Margin (%)                                       | 20.6     | 19.5      | 19.2      | 19.2      |
| Printing and Imaging Operating Income Growth (Y/Y) (%) | (5.9)    | (3.3)     | (2.8)     | (2.1)     |
| EPS Growth (Y/Y) (%)                                   | (7.8)    | (5.5)     | (9.9)     | 9.9       |
| FCF (\$, mm)                                           | 2,800    | 2,681     | 2,515     | 2,650     |

### INVESTMENT DRIVERS

- PC market declines and/or share losses
- Margin contraction on the back of more limited pricing power
- Rising channel inventory levels
- Structural headwinds to a recovery in print demand
- Printer supplies declines
- Largest shareholder liquidates position

### GLOBAL REVENUE EXPOSURE



### MS ALPHA MODELS

|                     |                             |                     |                            |
|---------------------|-----------------------------|---------------------|----------------------------|
| <b>1/5<br/>BEST</b> | <b>24 Month<br/>Horizon</b> | <b>2/5<br/>MOST</b> | <b>3 Month<br/>Horizon</b> |
|---------------------|-----------------------------|---------------------|----------------------------|

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- PC recovery is stronger than expected despite inflationary tariff-driven pricing
- Better execution/share gains
- Stronger margin expansion through cost cuts
- Industry consolidation
- Stronger quarterly share repurchases

#### RISKS TO DOWNSIDE

- Higher memory-induced prices cannibalize demand
- Memory 'supercycle' is stronger for longer
- PC market share losses
- Commercial print volume/usage remains weak
- Dilutive M&A

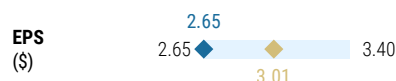
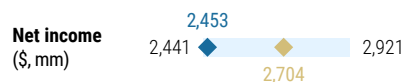
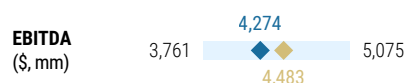
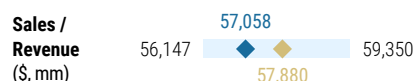
### OWNERSHIP POSITIONING

|                            |       |  |  |  |  |
|----------------------------|-------|--|--|--|--|
| Inst. Owners, % Active     | 43.2% |  |  |  |  |
| HF Sector Long/Short Ratio | 2.1x  |  |  |  |  |
| HF Sector Net Exposure     | 29.5% |  |  |  |  |

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

### MS ESTIMATES VS. CONSENSUS

FY Oct 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Everpure, Inc. (P.N)

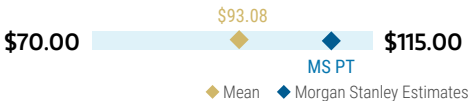
Continued Share Gains With Hyperscale Upside At An Attractive Valuation

PRICE TARGET \$108.00

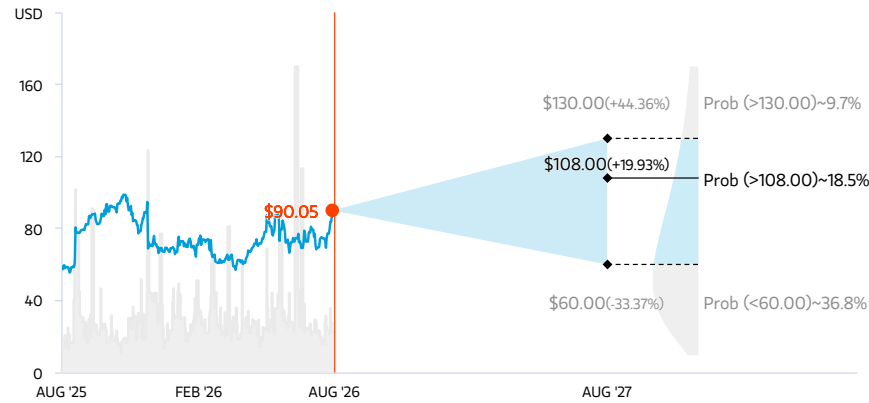
Our PT implies a 32.0x FY28 EPS of \$3.37, about one standard deviation above its T3Y historical average level of 27.9x.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



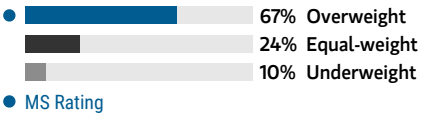
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 7 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- As a pure-play and leader in the all flash arrays (AFAs) market, with consistent share gains -- P benefits most from AFA growth outpacing that of the broader enterprise storage market.
- Rising semis component costs may temper gross margin expansion, but relatively less aggressive pricing hike may lead to accelerated share gains in the long term.
- An improving enterprise storage spending environment is creating revenue upside to P amidst demand inelasticity.
- Hyperscale opportunity offers long-term upside in both revenue and gross margin.
- Trades in line with T3Y average of ~28x next-year EPS, a premium vs. its enterprise storage peers but justifiable with ongoing share gains.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

|                 |          |
|-----------------|----------|
| New Data Era:   | Positive |
| Pricing Power:  | Positive |
| Secular Growth: | Positive |

View descriptions of Risk Rewards Themes [here](#)

| BULL CASE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | \$130.00 | BASE CASE                                                                                                                                                                                                                                                                                                                                                                                                                                                               | \$108.00 | BEAR CASE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | \$60.00 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| 35.0x FY28 Bull-Case EPS of \$3.71                                                                                                                                                                                                                                                                                                                                                                                                                                                            |          | 32.0x FY28 EPS of \$3.37                                                                                                                                                                                                                                                                                                                                                                                                                                                |          | 21.0x FY28 Bear-Case EPS of \$2.87                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |         |
| AFA leadership expands to new markets. Pure gains incremental share from AI and hyperscaler traction, as penetration of TAM increases on the back of new products & end markets. FY27 FCF per share is 10% higher than in our base case, as AI drives additional demand for flash-based solutions and storage demand improves despite higher prices amidst rising memory costs. Stock trades at 35x FY28 bull-case EPS, around 2 standard deviations above its T3Y average multiple of 27.9x. |          | Some benefit from AI story/cloud growth potential. Traction across the portfolio as well as pricing increases drive growth in FY27. Operating leverage scales, in part offset by reinvestments and rising NAND input cost, which is the biggest item in its overall bill of materials. Hyperscale business makes up \$200M+ of FY27 revenue and further expands into FY28. Our 32x FY28E EPS is roughly 1 standard deviation above its T3Y historical average of 27.9x. |          | Competitive environment heats up and macro/tariffs takes enthusiasm out of growth story. FY27 growth challenged as macro causes customer budget tightening, particularly with significantly rising memory prices and intensifying competition. Long-term upside for hyperscaler business proves smaller anticipated, with limited traction made with hyperscaler customers other than META. Stock trades at 21x FY28 bull-case EPS, around 1.5 standard deviations below its T3Y average multiple of 27.9x. |         |

## Risk Reward – Everpure, Inc. (P.N)

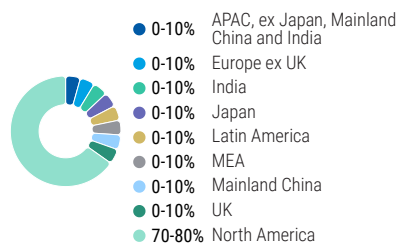
### KEY EARNINGS INPUTS

| Drivers                | Jan 2026 | Jan 2027e | Jan 2028e | Jan 2029e |
|------------------------|----------|-----------|-----------|-----------|
| Revenue Growth Y/Y (%) | 15.6     | 27.4      | 13.8      | 14.7      |
| Gross Margin (%)       | 72.1     | 71.1      | 72.4      | 73.2      |
| Operating Margin (%)   | 17.3     | 19.2      | 21.8      | 22.6      |
| FCF Growth Y/Y (%)     | (40.8)   | 132.4     | 25.5      | 18.4      |

### INVESTMENT DRIVERS

- Faster and stronger enterprise IT demand post-COVID recession
- New products better address TAM & accelerate AFA adoption
- Higher sales productivity improves margin in the medium term
- Further traction with large enterprise & CSPs

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

|             |                     |             |                    |
|-------------|---------------------|-------------|--------------------|
| 4/5<br>BEST | 24 Month<br>Horizon | 4/5<br>MOST | 3 Month<br>Horizon |
|-------------|---------------------|-------------|--------------------|

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Continue to gain share
- //E series grows TAM meaningfully
- Hyperscale opportunity expands further
- AI opportunity comes sooner than expected
- Strengthening enterprise storage spending environment

#### RISKS TO DOWNSIDE

- Faster public cloud shift limits on-prem spend
- Share loss from increasing competition from traditional & new vendors
- Commodity cost inflation pressures margins
- Macro/tariffs pressures spend environment

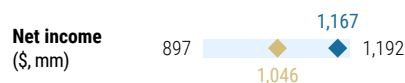
### OWNERSHIP POSITIONING

|                            |       |  |  |  |  |
|----------------------------|-------|--|--|--|--|
| Inst. Owners, % Active     | 56.7% |  |  |  |  |
| HF Sector Long/Short Ratio | 2.1x  |  |  |  |  |
| HF Sector Net Exposure     | 29.5% |  |  |  |  |

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

### MS ESTIMATES VS. CONSENSUS

FY Jan 2028e



◆ Mean ◆ Morgan Stanley Estimates

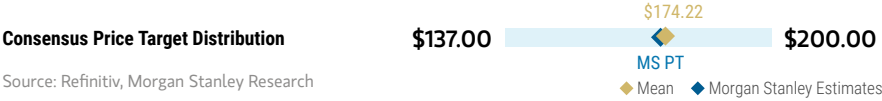
Source: Refinitiv, Morgan Stanley Research

Risk Reward – NetApp Inc (NTAP.O)

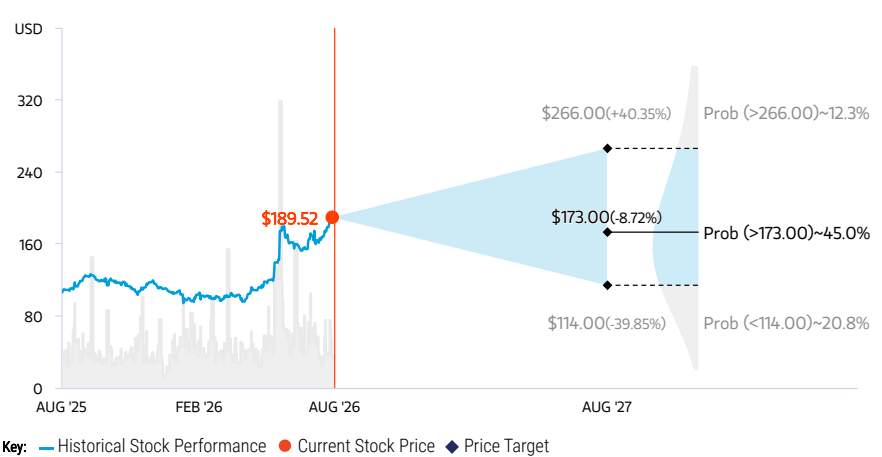
Earnings Upside Offsets by Valuation Contraction

PRICE TARGET \$173.00

Our PT implies a 15.0x FY28 EPS of \$11.56, slightly above its trailing 3-year average of 14.0x.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

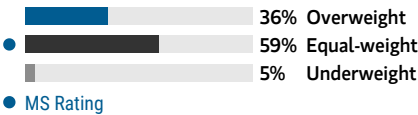


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 7 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- Price hikes drive near-term revenue momentum, but unlikely to effectively offset the rising NAND input costs, leading to compressed gross margins.
- Unlike other major enterprise storage peers, NTAP does not have margin-accretive business outside of storage to cushion the potential margin downside.
- An improving enterprise storage spending environment is creating revenue upside to P amidst demand inelasticity.
- Valuation will contract with deteriorating operating margins into F2H27 due to a tough Y/Y compare and rising memory costs, but earnings upside should offset the valuation downside and support shares at the current level. NTAP shares trade to 15x FY28 EPS, consistent with its T3Y average.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive  
Pricing Power: Positive  
Secular Growth: Negative

View descriptions of Risk Rewards Themes [here](#)

| BULL CASE                                                                                                                                                                                                                                                                                                                                                                                                                                                       | \$266.00 | BASE CASE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | \$173.00 | BEAR CASE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | \$114.00 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 20.0x Bull Case FY28 EPS of \$11.30                                                                                                                                                                                                                                                                                                                                                                                                                             |          | 15.0x FY28 EPS of \$11.56                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |          | 11.0x Bear Case FY28 EPS of \$10.41                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |          |
| NTAP expands its gross margin with accelerated market share gains. EPS growth hits double digits with accelerated share gains in both AI and non-AI projects. Product gross margin expands further as mix shift towards all-flash continues. PCS revenue demonstrates sustainable double-digit growth and 80-85% gross margins. AI enterprise spending a meaningful boost to revenue growth. 20.0x P/E is 2 standard deviations above its T3Y average of 14.0x. |          | Slower storage hardware spending given macro uncertainties with margin impact from higher memory costs. NTAP continues to modestly gain shares in block, flash, cloud within the enterprise market. Enterprise spending on storage hardware remains strong given priority in areas with memory-induced price hikes and AI-driven on-prem capacity increase. NTAP's Product GMs stay compressed given high memory costs amidst lower spending intentions. NTAP trades to slightly above the T3Y average P/E of 15.0x. |          | NTAP share gains slow as competition heats up, macro environment remains muted and mix shift from on-prem to cloud accelerates. Enterprises' budgets for storage hardware further deteriorates as a result of a worsened macro environment and elevated storage hardware prices due to expensive memory input costs. Earnings growth decelerates with relatively steady market share and compressed margins. 11.0x P/E is slightly more than one standard deviation below its T3Y average multiple of 14.0x. |          |

## Risk Reward – NetApp Inc (NTAP.O)

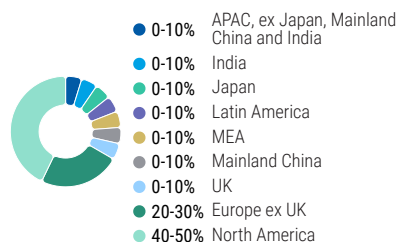
### KEY EARNINGS INPUTS

| Drivers                          | Apr 2026 | Apr 2027e | Apr 2028e | Apr 2029e |
|----------------------------------|----------|-----------|-----------|-----------|
| Revenue Growth (Y/Y) (%)         | 5.4      | 14.0      | 6.6       | 4.6       |
| Product Revenue Growth (Y/Y) (%) | 5.1      | 11.7      | 4.7       | 3.0       |
| Non-GAAP Gross Margin (%)        | 71.3     | 69.0      | 71.0      | 70.9      |
| Non-GAAP Operating Margin (%)    | 30.2     | 30.7      | 33.2      | 33.6      |

### INVESTMENT DRIVERS

- Improvements in on-premise storage spending
- Adoption of NTAP's Public Cloud Services (PCS)
- Continued gross margin expansion driven by more favorable product mix shift

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

|                     |                     |                     |                    |
|---------------------|---------------------|---------------------|--------------------|
| <b>2/5<br/>BEST</b> | 24 Month<br>Horizon | <b>2/5<br/>MOST</b> | 3 Month<br>Horizon |
|---------------------|---------------------|---------------------|--------------------|

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Stronger for longer storage recovery
- AI investment on-premise
- PCS drives leadership in public cloud and margin expansion
- C-Series continues to gain traction
- All-flash solutions continue to increase in revenue mix

#### RISKS TO DOWNSIDE

- Public cloud migration pressures hybrid storage sales
- Increased competition & discounting
- US Federal exposure amidst DOGE
- Customers' budget shrink amid macro weakness
- Deteriorating GMs.

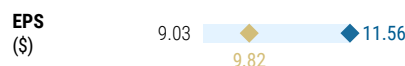
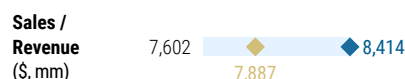
### OWNERSHIP POSITIONING

|                            |       |                                                                    |
|----------------------------|-------|--------------------------------------------------------------------|
| Inst. Owners, % Active     | 47.8% | <div><div></div><div></div><div></div><div></div><div></div></div> |
| HF Sector Long/Short Ratio | 2.1x  | <div><div></div><div></div><div></div><div></div><div></div></div> |
| HF Sector Net Exposure     | 29.5% | <div><div></div><div></div><div></div><div></div><div></div></div> |

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

### MS ESTIMATES VS. CONSENSUS

FY Apr 2028e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Teradata (TDC.N)

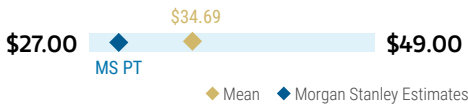
A Supportive Backdrop; Execution Remains Key

PRICE TARGET \$29.00

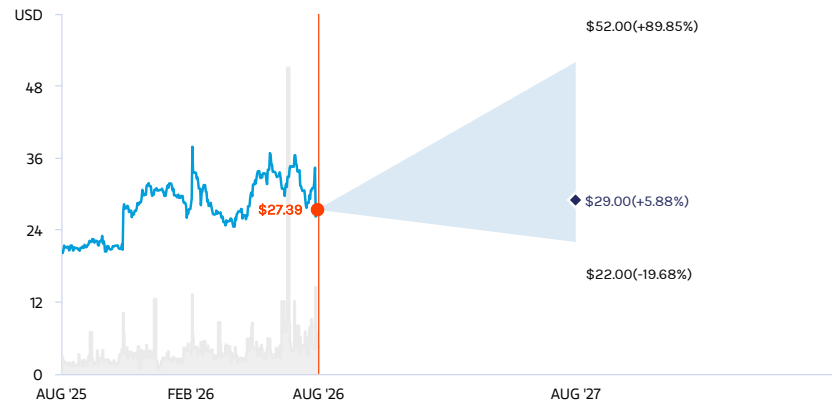
We assign a 10x target P/E in our base case, a 6x turn discount to TDC's trailing 5 year average given previous execution issues, but implying a roughly 7x FCF multiple. On our new CY27 EPS of \$2.90, this implies a \$29 price target, commensurate of an Equal-weight rating.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



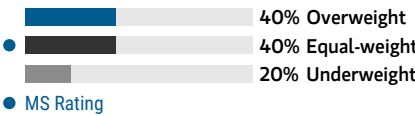
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

We believe the demand backdrop remains supportive for TDC, as large enterprises leverage TDC to build and manage central data repositories to collect, store, and organize vast amounts of data in preparation for AI. Furthermore, TDC's hybrid approach should remain relevant, giving companies the ability to do AI in the cloud or on-prem, especially with the F500. Finally, we also see a credible self-help opportunity at TDC - there is a new CRO and CFO at the firm, and TDC is focused on reducing opex/growing FCF. All in, we believe that even if revenue is flat, cost reductions can help grow FCF by 10%+ in 2026. At 10x P/E and <10x FCF, we think these positives are reflected in the stock.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: Negative  
New Data Era: Positive  
Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$52.00

17x P/E on bull case CY27 EPS of \$3.07

TDC meaningfully exceeds ARR guidance and demonstrates some net new logo growth. Confidence in total revenue growth in 2027 increases, as TDC gains traction in the cloud and on-prem revenue stabilizes. Management consistently executes, even gaining share from competitors. Teradata products gain traction in light of successful innovation and relevant AI use cases.

BASE CASE

\$29.00

10x P/E on CY27 EPS of \$2.90

TDC continues on its cloud transformation journey leading to positive revenue growth in 2027. Total recurring revenue is modestly growing in 2027, contributing to LSD total revenue growth for the year. Cost reductions help to grow FCF ~10% Y/Y in 2027.

BEAR CASE

\$22.00

9x P/E on bear case CY27 EPS of \$2.41

Teradata's Cloud transition loses steam due to mis-execution, macro headwinds and tougher competition. Teradata's Cloud ramp loses steam and takes longer than feared, creating concerns around competition, and macro weakness leads to on-prem deal slippage. Execution deteriorates into 2027 while competitors continue to take share. Teradata products fail to gain traction in dynamic data-warehousing market.

## Risk Reward – Teradata (TDC.N)

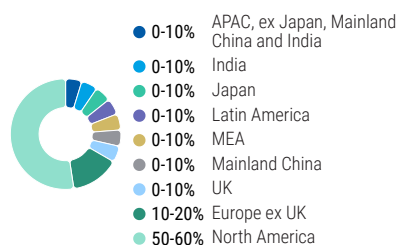
### KEY EARNINGS INPUTS

| Drivers                            | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|------------------------------------|----------|-----------|-----------|-----------|
| Recurring Revenue Growth (Y/Y) (%) | (2.3)    | 1.7       | 2.4       | 3.1       |
| Gross Margin (%)                   | 60.7     | 61.0      | 60.7      | 61.3      |
| Operating Margin (%)               | 21.2     | 22.1      | 22.7      | 23.3      |
| FCF (\$M) (\$, mm)                 | 285      | 647       | 428       | 390       |

### INVESTMENT DRIVERS

- Total Recurring Revenue is at least flat Y/Y in 2026
- FCF expands beyond \$300M+
- Upside optionality / strategic value given unique asset in high-demand market

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

|                     |                             |                     |                            |
|---------------------|-----------------------------|---------------------|----------------------------|
| <b>1/5<br/>BEST</b> | <b>24 Month<br/>Horizon</b> | <b>1/5<br/>MOST</b> | <b>3 Month<br/>Horizon</b> |
|---------------------|-----------------------------|---------------------|----------------------------|

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Recurring Revenue inflects to Y/Y growth in 2026
- >\$300M of FCF in 2026 as restructuring charges are minimized and opex cuts proliferate
- Gross margins stabilize faster than expected

#### RISKS TO DOWNSIDE

- Cloud ARR significantly decelerates while non-cloud ARR remains on the decline
- Macro weakness leads to deal slippage
- Greater competition from cloud native offerings
- Increased investments required to drive LT growth

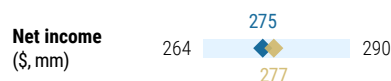
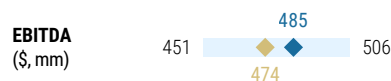
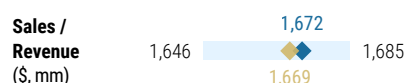
### OWNERSHIP POSITIONING

|                            |       |                                                                    |
|----------------------------|-------|--------------------------------------------------------------------|
| Inst. Owners, % Active     | 47.8% | <div><div></div><div></div><div></div><div></div><div></div></div> |
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### MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Acer Inc. (2353.TW)

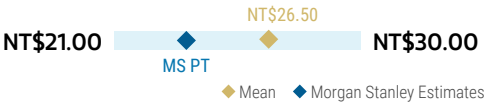
Macro uncertainties and higher memory prices to weigh on demand and multiple

PRICE TARGET NT\$23.50

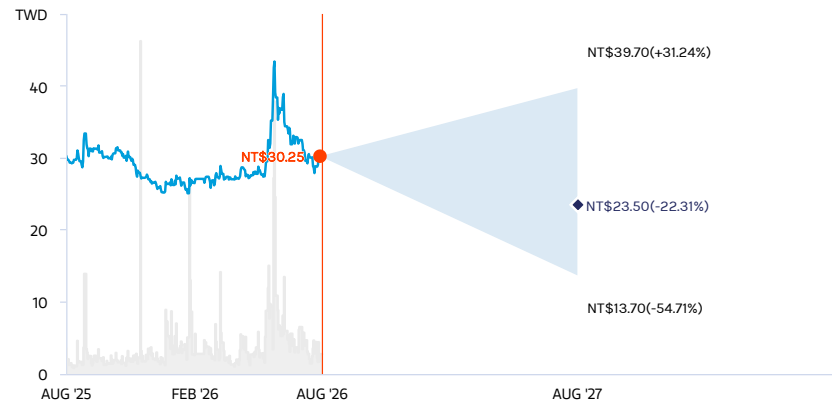
Base case, residual income model. We use RI model for Acer's valuation. Key assumptions include a cost of equity of 9.2% (beta of 0.9, equity risk premium of 10.2% and risk-free rate of 0.5%), a 6.0% medium-term growth rate, and a 3% terminal growth rate.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



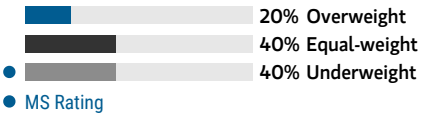
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- Heightened macro and policy uncertainties put pressure on PC budgets, particularly consumer PC spending.
- This is exacerbated by rising memory prices, which affect Acer the most amongst global PC OEMs, given its exposure to low-end consumer. Acer's PC ASP is the lowest amongst its global peers, almost \$200 below its next peer, HP.
- Acer is geared more towards consumer PCs vs other OEMs globally and don't have any meaningful server exposure.
- Diversification away from PCs have been happening but the pace remains slow and there is no real focus amongst its non-PC businesses.
- We view valuation as unsupported by the fundamentals.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: Negative  
Secular Growth: Negative

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$39.70

21.6x 2027e EPS

**Stronger demand for PCs in 2026-27e:** Higher demand for PCs help Acer to offset more of the higher memory prices to drive margin expansion vs. our base case assumption.

BASE CASE

NT\$23.50

12.9x 2027e EPS

**NB shipment CAGR of -4% in 2025-28e:** Expect a ~5% revenue CAGR from 2025-28 but see impacts on end PC demand from higher memory and other commodity prices. We expect GM to inch up to ~11.7% by CY28, from 10.9% in CY25.

BEAR CASE

NT\$13.70

7.4x 2027e EPS

**Steeper decline in PC demand in 2026-27e:** Higher memory prices drive Acer's PC demand to drop more than expected, which results in operating deleverage, driving a bigger than expected impact on earnings.

Risk Reward – Acer Inc. (2353.TW)

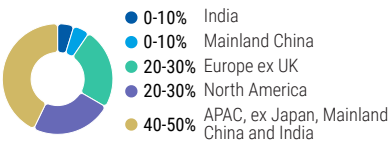
KEY EARNINGS INPUTS

| Drivers             | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|---------------------|----------|-----------|-----------|-----------|
| NB shipment y/y (%) | (1.1)    | (9.2)     | (4.8)     | 3.0       |
| NB GM (%)           | 11.6     | 12.2      | 12.5      | 12.6      |

INVESTMENT DRIVERS

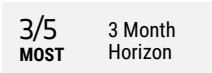
- Monthly sales
- PC demand
- Chromebook demand
- PC profitability

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS



Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger macro recovery than expected
- Share gains in the PC market
- Better-than-expected cost controls
- Lower-than-expected increase in memory cost

RISKS TO DOWNSIDE

- Weaker macro recovery than expected
- Share loss in the PC market
- Worse-than-expected cost controls
- Higher-than-expected increase in memory cost

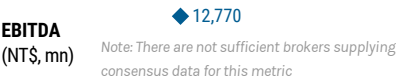
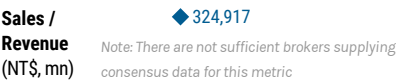
OWNERSHIP POSITIONING



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates  
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Asustek Computer Inc. (2357.TW)

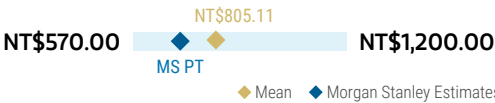
Demand headwind from higher memory prices, but dividend could be a support

PRICE TARGET NT\$700.00

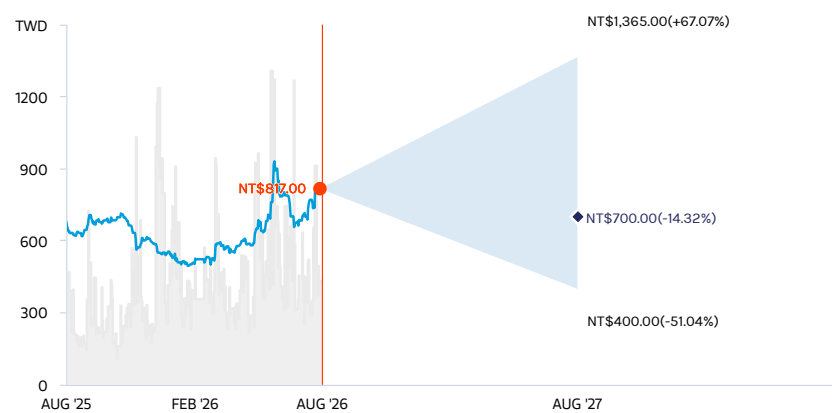
Base case, sum of the parts:  
We apply a 9x multiple to Asustek's 2026 brand profits. This is somewhat below the midpoint of its historical band of 7-15x since 2009, which we view as fair because memory prices are rising and will have a negative impact on margins.  
We value its stakes in Pegatron and Advantech based on our price targets in proportion to Asustek's holdings.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



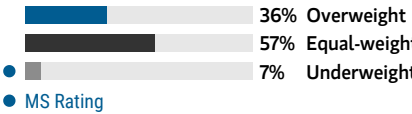
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- Rising memory prices will likely result in PC demand headwinds for Asustek.
- Asustek has ~80% of its PC business exposed to the consumer segment, which is relatively more sensitive to pricing adjustments.
- Server business was 28% of total revenue in 1Q26 (from 22% in 4Q25), but we think it will still not be big enough to wholly offset the weakness of its PC and PC peripherals business.
- Dividend yield is high at ~6%, which could be a support for the stock...
- ...but we remain cautious on Asustek because of memory headwinds.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- New Data Era: Positive  
Pricing Power: Negative  
Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

| BULL CASE                                                                                                                                                                                                     | NT\$1,365.00 | BASE CASE                                                                                                                                                                                                                                                                                                                                                                                                      | NT\$700.00 | BEAR CASE                                                                                                                                                                                                | NT\$400.00 |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| 20x 2027e EPS                                                                                                                                                                                                 |              | 10x 2027e EPS                                                                                                                                                                                                                                                                                                                                                                                                  |            | 5.9x 2027e EPS                                                                                                                                                                                           |            |
| Demand for AI servers and PCs is meaningfully better than expected, which makes it easier for Asustek to pass through the higher memory cost to end customers, driving margins to come in better than feared. |              | We expect higher memory cost to lead to Asustek raising its PC selling prices, which will weigh on PC end demand, with its NB shipments declining 7% and 1% y/y, in 2026 and 2027. Meanwhile, the mix of lower-margin AI server business will also continue to increase. Combined, we expect Asustek's OpM to increase to 5.8% and 5.4% in 2026 and 2027, from 4.9% in 2025, before declining to 4.9% in 2028. |            | Margins take a bigger hit as memory prices rise more than expected. Asustek has a hard time with its mitigation efforts. We also assume a weaker server demand environment for Asustek in this scenario. |            |

## Risk Reward – Asustek Computer Inc. (2357.TW)

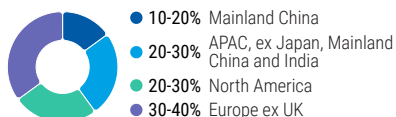
### KEY EARNINGS INPUTS

| Drivers                     | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|-----------------------------|----------|-----------|-----------|-----------|
| NB shipment y/y (%)         | 12.5     | (7.2)     | (0.6)     | 1.4       |
| NB OPM (%)                  | 1.8      | 5.0       | 5.2       | 5.0       |
| Smartphone shipment y/y (%) | (46.7)   | (100.0)   | 0.0       | 0.0       |
| Smartphone OPM (%)          | (27.4)   | (4.3)     | 0.0       | 0.0       |

### INVESTMENT DRIVERS

- PC demand and competition
- Chromebook demand and competition
- Smartphone demand and competition

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

**1/5**  
MOST

**3 Month**  
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Stronger global NB demand
- Stronger AI server demand
- Stronger ROG Ally demand
- Better margin recovery
- Slower rise of memory prices

#### RISKS TO DOWNSIDE

- Weaker global NB demand
- Weaker AI server demand
- Weaker ROG Ally demand
- Slower margin recovery
- Memory prices rises faster than expected

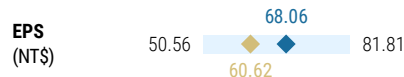
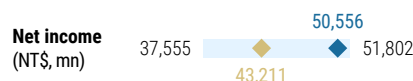
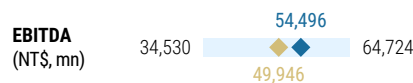
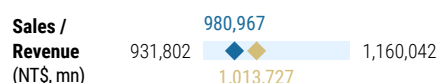
### OWNERSHIP POSITIONING

Inst. Owners, % Active 66.7%

Source: Refinitiv, Morgan Stanley Research

### MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Giga-Byte Technology Co. Ltd. (2376.TW)

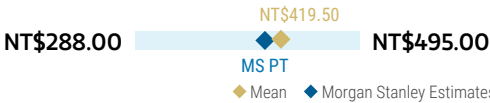
Not immune from higher memory prices

PRICE TARGET NT\$405.00

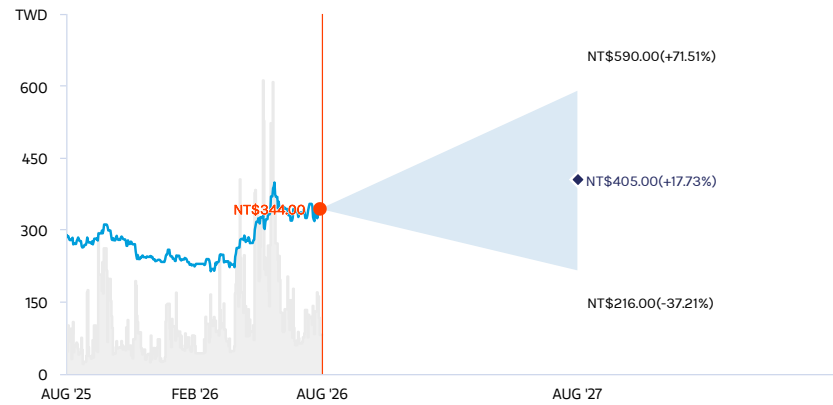
Base case, multistage residual income valuation model. Key assumptions: cost of equity 7.3% (risk-free rate 1%, equity risk premium 6.0% and beta of 1.0), medium-term growth rate 6%, terminal growth rate 3%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



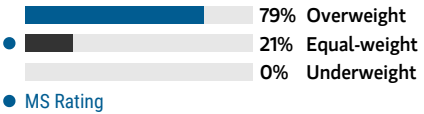
Key: — Historical Stock Performance      ● Current Stock Price      ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Servers accounted for ~38% of revenue in 2023, and we expect this to grow to 80%+ by 2028, thanks to the contribution from its AI server business.
- We view Giga-Byte as a main beneficiary of the AI server boom. AI server revenue should rise from only ~24% of the mix in 2023 to 65-70% in 2027.
- Our price target implies 11.8x 2027e P/E, slightly below the average of Giga-Byte's three-year historical trading range. We find this fair because its mix is shifting toward more commercial exposure, e.g., AI servers, but rising memory costs remain an overhang on profitability.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: Positive

Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$590.00

17.2x 2027e EPS

We estimate the server business will grow 60%+ y/y in 2026 as demand from non-tier 1 CSP customers exceeds market expectations. Demand for new PC GPUs from NVIDIA and AMD is also better than expected, growing 25-30% over the period.

BASE CASE

NT\$405.00

11.8x 2027e EPS

We project a ~32% CAGR for overall sales for 2025-28, driven mainly by AI server shipments. We expect a server revenue CAGR of ~46% over the period, with its contribution rising from only ~38% in 2023 to 75-80% in 2027.

BEAR CASE

NT\$216.00

6.3x 2027e EPS

Macro uncertainties lead to a weaker server business than in our base case, causing revenue to decline 10-15% in 2026. Demand for new PC graphics cards from NVIDIA and AMD is weaker than expected as the market is more saturated than we had thought.

Risk Reward – Giga-Byte Technology Co. Ltd. (2376.TW)

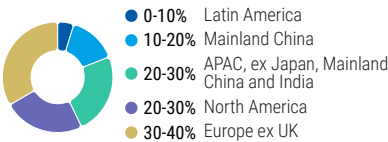
KEY EARNINGS INPUTS

| Drivers                | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|------------------------|----------|-----------|-----------|-----------|
| MB revenue y/y (%)     | 22.3     | (15.2)    | 9.1       | 4.5       |
| VGA revenue y/y (%)    | 45.5     | (7.3)     | 3.6       | 3.9       |
| Server revenue y/y (%) | 21.8     | 93.7      | 23.8      | 29.0      |

INVESTMENT DRIVERS

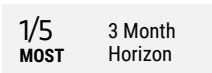
- Graphics card demand and pricing
- Motherboard demand and pricing
- Server demand
- Automotive demand

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS



Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected GPU demand
- Better-than-expected gaming motherboard demand
- Better-than-expected server demand from Tier 2/Tier 3 cloud customers
- Faster-than-expected AI server penetration rate

RISKS TO DOWNSIDE

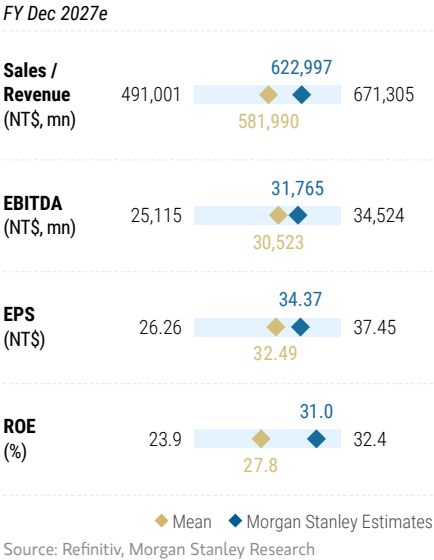
- Weaker-than-expected GPU demand
- Weaker-than-expected gaming motherboard demand
- Weaker-than-expected server demand from Tier 2/Tier 3 cloud customers
- Slower-than-expected AI server penetration rate

OWNERSHIP POSITIONING



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS



# Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options\\_Probabilities\\_Exhibit\\_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR\\_Themes\\_Exhibit\\_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG\\_Exhibit\\_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG\\_Sustainable\\_Solutions\\_External\\_Link.pdf](#)
5. View explanation of HERS methodology - [ESG\\_HERS\\_External\\_Link.pdf](#)

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(as of July 31, 2026)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1529              | 42%        | 442                              | 47%            | 29%                  | 750                                               | 43%                   |
| Equal-weight/Hold     | 1582              | 43%        | 396                              | 42%            | 25%                  | 773                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 560               | 15%        | 97                               | 10%            | 17%                  | 217                                               | 12%                   |
| Total                 | 3,674             |            | 936                              |                |                      | 1741                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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## INDUSTRY COVERAGE: IT Hardware

| COMPANY (TICKER)                | RATING (AS OF) | PRICE* (08/07/2026) |
|---------------------------------|----------------|---------------------|
| <b>Erik W Woodring</b>          |                |                     |
| Apple, Inc. (AAPL.O)            | O (05/26/2009) | \$313.33            |
| CDW Corporation (CDW.O)         | O (06/23/2026) | \$135.81            |
| Cricut Inc (CRCT.O)             | U (08/12/2021) | \$5.84              |
| Dell Technologies Inc. (DELL.N) | E (06/01/2026) | \$453.77            |

|                                    |                |          |
|------------------------------------|----------------|----------|
| Everpure, Inc. (P.N)               | O (08/10/2026) | \$90.05  |
| Garmin Ltd (GRMN.N)                | E (02/18/2026) | \$310.89 |
| GoPro Inc (GPRO.O)                 | U (12/12/2023) | \$0.73   |
| Hewlett Packard Enterprise (HPE.N) | O (08/10/2026) | \$53.22  |
| HP Inc. (HPQ.N)                    | U (11/16/2025) | \$30.05  |
| IBM (IBM.N)                        | E (01/18/2023) | \$237.28 |
| Ingram Micro (INGM.N)              | E (06/11/2025) | \$28.40  |
| Kornit Digital Ltd. (KRNT.O)       | E (11/06/2025) | \$17.08  |
| Logitech International SA (LOGI.O) | U (01/20/2026) | \$106.33 |
| NetApp Inc (NTAP.O)                | E (08/10/2026) | \$189.52 |
| Resideo Technologies Inc (REZI.N)  | O (08/11/2025) | \$26.08  |
| Seagate Technology (STX.O)         | O (03/26/2024) | \$812.76 |
| SmartRent, Inc. (SMRT.N)           | ++             | \$1.42   |
| Sonos Inc. (SONO.O)                | E (11/06/2025) | \$15.64  |
| TD Synnex Corporation (SNX.N)      | O (06/11/2025) | \$252.42 |
| Teradata (TDC.N)                   | E (08/10/2026) | \$27.39  |
| Western Digital (WDC.O)            | O (04/16/2025) | \$434.30 |
| <b>Sanjit K Singh</b>              |                |          |
| Nutanix Inc (NTNX.O)               | E (01/12/2026) | \$62.67  |

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\* Historical prices are not split adjusted.

## INDUSTRY COVERAGE: Greater China Technology Hardware

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (08/10/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Andy Meng, CFA</b>                                |                |                     |
| AAC Technologies Holdings (2018.HK)                  | O (01/29/2024) | HK\$41.88           |
| Accelink Technologies Co. Ltd. (002281.SZ)           | U (05/12/2022) | Rmb178.30           |
| BYD Electronics (0285.HK)                            | O (04/28/2023) | HK\$24.36           |
| China TransInfo Technology Co Ltd (002373.SZ)        | E (07/18/2023) | Rmb7.91             |
| Dahua Technology Co. Ltd. (002236.SZ)                | E (12/12/2024) | Rmb16.85            |
| Eoptolink Technology Inc Ltd (300502.SZ)             | O (02/27/2026) | Rmb399.60           |
| Genius Electronic Optical Co. Ltd. (3406.TW)         | E (04/23/2025) | NT\$546.00          |
| GoerTek Inc (002241.SZ)                              | U (04/23/2025) | Rmb22.83            |
| Gosuncn Technology Group Co Ltd (300098.SZ)          | U (11/07/2022) | Rmb4.68             |
| HIKVision Digital Technology (002415.SZ)             | E (12/12/2024) | Rmb37.44            |
| Largan Precision (3008.TW)                           | O (07/10/2026) | NT\$4,400.00        |
| LianChuang Electronic Technology Co Ltd (002036.SZ)  | U (06/12/2024) | Rmb7.31             |
| Lingyi Itech Guangdong Co (002600.SZ)                | U (04/23/2025) | Rmb12.63            |
| Luxshare Precision Industry Co., Ltd. (002475.SZ)    | O (10/24/2016) | Rmb55.79            |
| OFILM Group Co Ltd (002456.SZ)                       | U (06/12/2024) | Rmb7.40             |
| Q Technology (Group) Company Ltd (1478.HK)           | U (03/23/2026) | HK\$7.21            |
| Quectel Wireless Solutions Co Ltd (603236.SS)        | E (10/09/2024) | Rmb50.16            |
| Shanghai Conant Optical Co Ltd (2276.HK)             | O (04/10/2026) | HK\$37.10           |
| Shenzhen Transsion Holdings Co Ltd (688036.SS)       | E (03/23/2026) | Rmb58.11            |
| Sunny Optical (2382.HK)                              | E (03/23/2026) | HK\$59.00           |
| Suzhou TFC Optical Communication Co Ltd. (300394.SZ) | E (11/06/2025) | Rmb223.03           |
| Wingtech Technology Co Ltd (600745.SS)               | U (05/18/2026) | Rmb16.49            |
| Xiaomi Corp (1810.HK)                                | O (04/14/2021) | HK\$27.62           |
| Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)  | U (10/13/2021) | Rmb343.09           |
| Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)    | O (07/15/2026) | HK\$124.60          |
| Yongxin Optics Co Ltd (603297.SS)                    | E (11/15/2022) | Rmb103.22           |
| Zhejiang Crystal-Optech Co Ltd (002273.SZ)           | O (11/15/2022) | Rmb26.93            |
| Zhongji Innolight Co Ltd (300308.SZ)                 | ++             | Rmb864.58           |
| ZTE Corporation (0763.HK)                            | O (06/04/2026) | HK\$24.56           |

|                                                  |                |               |
|--------------------------------------------------|----------------|---------------|
| ZTE Corporation (000063.SZ)                      | E (06/04/2026) | Rmb34.30      |
| <b>Derrick Yang</b>                              |                |               |
| Accton Technology Corporation (2345.TW)          | O (06/06/2024) | NT\$2,165.00  |
| Advantech (2395.TW)                              | O (01/20/2021) | NT\$667.00    |
| AirTAC International (1590.TW)                   | O (04/16/2025) | NT\$1,570.00  |
| Asia Vital Components Co. Ltd. (3017.TW)         | O (07/30/2024) | NT\$2,765.00  |
| AU Optronics (2409.TW)                           | E (02/10/2026) | NT\$27.00     |
| Auras Technology Co Ltd (3324.TWO)               | E (05/04/2023) | NT\$1,010.00  |
| Bizlink (3665.TW)                                | O (03/10/2025) | NT\$2,190.00  |
| BOE Technology (000725.SZ)                       | O (09/06/2019) | Rmb5.89       |
| Chenbro (8210.TW)                                | O (07/23/2025) | NT\$1,075.00  |
| Chroma Ate Inc. (2360.TW)                        | O (10/05/2021) | NT\$2,030.00  |
| Delta Electronics Inc. (2308.TW)                 | O (07/13/2017) | NT\$1,815.00  |
| E Ink Holdings Inc. (8069.TWO)                   | E (08/10/2026) | NT\$176.50    |
| Ennostar Inc (3714.TW)                           | U (09/23/2022) | NT\$59.00     |
| Fositek Corp (6805.TW)                           | O (06/25/2025) | NT\$1,755.00  |
| Hiwin Technologies Corp. (2049.TW)               | O (03/30/2026) | NT\$387.00    |
| Innolux (3481.TW)                                | E (04/07/2025) | NT\$52.30     |
| King Slide Works Co. Ltd. (2059.TW)              | O (11/08/2023) | NT\$11,905.00 |
| Lens Technology (300433.SZ)                      | E (07/22/2020) | Rmb34.89      |
| Lite-On Technology (2301.TW)                     | E (01/15/2025) | NT\$271.50    |
| TCL Corp. (000100.SZ)                            | E (04/07/2025) | Rmb4.87       |
| Tianma Microelectronics (000050.SZ)              | U (01/24/2018) | Rmb6.75       |
| Wuhan Jingce Electronic Group Co Ltd (300567.SZ) | E (11/26/2021) | Rmb235.66     |
| <b>Howard Kao</b>                                |                |               |
| Acer Inc. (2353.TW)                              | U (04/23/2025) | NT\$31.00     |
| Asustek Computer Inc. (2357.TW)                  | U (11/16/2025) | NT\$818.00    |
| Catcher Technology (2474.TW)                     | U (11/17/2025) | NT\$201.00    |
| Compal Electronics (2324.TW)                     | U (04/23/2025) | NT\$36.30     |
| FIT Hon Teng Ltd (6088.HK)                       | O (11/03/2025) | HK\$5.98      |
| Foxconn Industrial Internet Co. Ltd. (601138.SS) | O (07/10/2019) | Rmb69.18      |
| Giga-Byte Technology Co. Ltd. (2376.TW)          | E (11/16/2025) | NT\$349.50    |
| Gold Circuit Electronics Ltd. (2368.TW)          | O (10/06/2022) | NT\$926.00    |
| Hon Hai Precision (2317.TW)                      | O (03/15/2024) | NT\$264.50    |
| Inspur Electronic Information (000977.SZ)        | E (08/28/2023) | Rmb76.70      |
| LandMark Optoelectronics Corporation (3081.TWO)  | E (03/26/2026) | NT\$2,535.00  |
| Lenovo (0992.HK)                                 | O (07/10/2026) | HK\$29.00     |
| Lotes Co. Ltd. (3533.TW)                         | E (05/12/2025) | NT\$1,960.00  |
| Nan Ya PCB (8046.TW)                             | O (02/23/2026) | NT\$1,130.00  |
| Pegatron Corporation (4938.TW)                   | E (03/25/2026) | NT\$89.50     |
| Quanta Computer Inc. (2382.TW)                   | O (05/01/2023) | NT\$313.50    |
| Shengyi Technology Co Ltd. (600183.SS)           | E (05/26/2022) | Rmb138.57     |
| Shennan Circuits Co Ltd (002916.SZ)              | E (08/24/2023) | Rmb372.40     |
| Unimicron (3037.TW)                              | O (02/23/2026) | NT\$992.00    |
| Visual Photonics Epitaxy Co Ltd (2455.TW)        | E (09/11/2023) | NT\$384.50    |
| Wistron Corporation (3231.TW)                    | O (07/12/2023) | NT\$193.00    |
| Wiwynn Corp (6669.TW)                            | O (11/10/2025) | NT\$6,010.00  |
| Yageo Corp. (2327.TW)                            | O (10/28/2025) | NT\$573.00    |
| Zhen Ding (4958.TW)                              | O (05/18/2026) | NT\$470.50    |

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